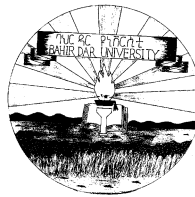


Bahir Dar University Distance Education Program



Law Faculty Law of Contracts II (Laws)

Prepared By: Balew Mersha (LLB, LLM)

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LAW OF CONTRACTS II
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Course Introduction

Dear student by now you have gone half way of the study of the course law of contracts in general. I now welcome you to the second part of the course, Law of Contracts II. In the first part of this course you have studied about grounds for extinguishing obligations such as invalidation, cancellation, and termination, remission of debt, novation, set-off, merger and limitation of actions.

The second part of the course will deal with the special terms of contracts. It raises issues related to time provisions, conditions, alternative obligations, earnest and provisions as to liability.

The third module tries to pin point issues related to plurality of debtors and creditors or solidarity obligations.

The fourth module covers the effects of contracts on third parties. The issues are on stipulations for the benefit of third parties assignment of rights, delegation of obligations, subrogation, rights and obligations of heirs, creditors of the parties.

The last module is on proof of contracts. A remarkable place will be given to burden and admissibility of proof in relation to contracts.

The course is accompanied by a number of activities or exercises that will help you better check your understanding of the course. I strongly suggest that you do all these activities or exercises.

Course Objectives

After having completed the study of this course, you will be able to:

- Distinguish the various grounds of extinction of obligations
- Discuss the special terms of obligations or contracts
- Analyze the rights and duties of parties at the time of plurality of debtors or creditors
- Discuss the effects of contracts on third parties Explain means of proof in relation to contracts

MODULE ONE

EXTINCTION OF OBLIGATIONS

Introduction

As we have seen in the law of contracts I, contract is an agreement made between two or more persons as between themselves to create, vary or extinguish obligations of proprietary nature. This shows that there is a contract to extinguish the existing obligations like creation and variation. For instance, contracting parties may agree to put an end their obligations by way of terminations, remission of debt, set-off and novation. However, these are not the only grounds that put obligation an end. Performance, cancellation, invalidation, merger and limitation of actions are also grounds for extinction of obligations.

In this regard, the normal cause of extinction of obligations is the performance of the contract, as article 1806 of the Civil Code states. Article 1807 of the Civil Code lists the other modes of extinction, which are taken up in the following units.

This module will address those various grounds that are recognized in our law as putting an obligation an end.

Objectives

At the end of this module, you will be able to:

- Distinguish invalidation, cancellation, and termination and explain their effects;
- Distinguish grounds of void and voidable contracts and explain their effects;
- Explain remission of debts and its effects;
- Discuss novation as a ground for extinction of obligations;
- Discuss set-off and merger as grounds for extinction of obligations;
- Explain limitation of actions as grounds for extinction of obligations.

Unit One: Invalidity and Cancellation of Contracts

Introduction

As invalidity and cancellation are important concepts, you should have a clear understanding about these concepts. Accordingly, one must first clearly define these terms. In an overview, invalidity intervenes where there is a ground for annulment arising out of the formation of the contract, and it is retroactive. On the other hand, cancellation intervenes where there is a ground for annulment arising out for the performance of the contract, and it is retroactive.

In this unit, you will study invalidity and cancellation as grounds for putting' an end to contractual obligations; issues relate to void and voidable contracts and confirmation of voidable contracts; and effects of invalidity and cancellation of contracts.

Objectives

At the end of this unit, you will be able to:

- Explain invalidity and cancellation of contracts as grounds for an obligation to come to an end;
- Distinguish void and voidable contract;
- Discuss who may request invalidity of void and voidable contracts;
- Explain the limitation of actions for invalidity of voidable contracts;
- Explain the effects of invalidity and cancellation of contracts.

1. Nature of Void and Voidable Contracts

Dear student, do you remember void and voidable juridical act in the introduction to law course? If so, please define them.

Before addressing the relevant provision" one has to recall a traditional distinction in Romano-Germanic law that: established between relative and absolute nullities. This distinction rests on the idea that certain grounds of invalidation are set out in the interest of the "victim" of the contractual vice, whereas others are provided in the general interest. The consequence is that confirmation of the contractual defect is possible in the first case, and not in the second, and that the limitation period to initiate an action is shorter for a relative nullity than for an absolute nullity.

As you can remember in the law of contracts I, there are certain prerequisites for the formation of a valid contract. These are the capacity of contracting parties, the existence of sustainable consent, the existence of possible, lawful and moral object of contracts and fulfillment of formality requirement if the law or agreement requires. If the contract lacks one or more of such preconditions, the contract may be invalidated.

The lack of one or more of these prerequisites will make the contract a void or a voidable contract. Thus, in order to see invalidation of contract and its causes, we have to see the nature of void and voidable contracts.

A contract which is incapable of taking effect according to its apparent purport is said to be a void contract. A void contract does not achieve its intended legal consequences as the contract is considered nonexistent or empty one. A contract is void due to a defect there in which is so fundamental as to deprive the contract of its very existence. The grounds of void contract relate to either lack of lawful, moral or possible object or non fulfillment of formality requirement in making a contract. In case of void contract, any contracting party or any interested third party can request invalidation of contracts.

On the other hand, a voidable contract is a contract which remains valid until it is invalidated. One which may take effect but is liable to be deprived of effect at the option of one of the parties is said to be a voidable contract. It has its intended legal effect though it contains defect at the time of formation of contract. Accordingly, although the defect in the voidable contract is sufficiently serious to enable the contract to be subsequently attacked by one of the parties it is not so serious as to prevent it from coming in to effect. The causes of a voidable contract relate to defect in the consent or incapacity of one of the parties.

In case of voidable contract it is only the victim person who can request invalidation of the defective contract. The other contracting party does not have such right. He may, however, demand the party entitled to request invalidation to either confirm or invalidate the contract.

One can summarize the above discussion as follows.

<i>Type of nullity</i>	<i>Person protected</i>	<i>Type of defect</i>	<i>Confirmation</i>	<i>Limitation Period</i>
Relative (voidable)	"victim"	vice of consent, personal defect	Possible	Short
Absolute (void)	Any person concerned	other defects that includes violation of law or morals or form	not possible	ordinary to be Extended

In our law, Article 1808 of the Civil Code distinguishes between two cases: sub article one addresses the case of invalidation of contracts that arises from a vice of consent or incapacity, whereas in sub article two we see a more general provision in respect of unlawfulness, immorality or violation of compulsory formalities. We can see that this provision is enlightened by the reminder governing the two types of nullity mentioned above.

Thus, article 1808 (1) of the Civil Code addresses the case of voidable contracts where as Article 1808(2) of the Civil Code is related to a void contract. The law, however, failed to include in the list an object that is impossible. An impossible object, as provided under Art 1715 of the Civil Code, equally makes the contract void. You must, therefore, read in the list of article 1808(2) of the Civil Code cases where the object is impossible.

Dear student, as it can be seen above, if the ground of invalidation of a contract makes it void, the contract is non-existent or empty. If that is so, what is going to be invalidated by the court as per article 1808(2) of the Civil Code?

A certain number of authors have also proposed the theory of inexistence; certain contracts would be so radically void that they would be not only liable to be invalidated, but they would simply not exist. The distinction with the situation leading to invalidation is somewhat difficult, which explains this theory is not universally endorsed. It may have advantages, such as the fact that one does not have to go to court to have the contract declared void, but simply declare one's intention not to perform.

As we have seen in the law of contracts I, when the object of the contract is impossible, unlawful or immoral, the contract shall be of no effect or non-existent as per Articles 1715 & 1716 of the Civil Code. Moreover, where the requirement of the law in articles 1723 through 1725 of the Civil Code or the parties' prescribed special *form* for the validity of the contract is not observed or when those contracts lack the conditions put under articles 1727 and 1728 of the Civil Code, those contracts are rendered *mere* drafts or non-existent. Thus, you may wonder how a contract which is void can be invalidated. When we say a contract is void, the law considers it as empty or non-existent, what is going to be invalidated by the court comes in your mind. In this regard we may say that "invalidation" of a void contract merely refers to the declaration of nullity of the contract like the French legal system.

However, Ethiopian law of contracts uses the term "invalidation" for both avoidance of voidable contracts and the declaration of nullity of void contracts. Apart from this our law does not make, any difference on the effects of invalidation of a voidable and void contract.

2. Who Can Ask For Invalidation?

Dear student, who can initiate the invalidity suit in case where a contract lacks one or more of validity requirements?

This will differ according to the type of nullity. Where the nullity is due to a defect of consent or capacity problem, the interest protected is that of one contracting party only, the "victim" of the situation. Thus, it is only the "victim" that may request invalidation. This is in conformity with the provisions of article 1696, especially. In other words, another contracting party cannot sue for invalidation. To the "victim" one has to add of course his legal representatives, especially in the case of incapacity. Such action will also be opened to his heirs and legatees by universal title (article 915 of the Civil Code), because they "continue" the person of the deceased.

However, how do you see article 1808(1) of the Civil Code and article 300 of the Revised Family Code regarding invalidation of contract concluded by a minor?

Finally, one will recall article 1993 of the Civil Code which allows a creditor to act as a "representative" of his defaulting debtor, i.e. not in his capacity as a creditor but as a replacement for the absence of action by the debtor.

In this regard, in different legal systems, A traditional limitation is embodied in the Latin maxim: "*nemo auditor propriam turpitudinem suam allegans*" (no-one is heard who claims his own base actions). Where a person has intentionally let the contract be vitiated, it would be immoral to open the right of invalidation of such a contract at his request.

One will note the expression "at the request" under article 1808 of the Civil Code which confirms the necessity to apply to a court for the invalidation a contract.

On the other hand, where the nullity is due to the causes mentioned under article 1808 (2) of the Civil Code, the invalidation application ("at the request") is open to any contracting party. This means that the list of persons mentioned above is to be referred to, but here on behalf of any party to the contract and not only the one whose private interests are violated. This provision goes further to extend the right to any "interested" party. This covers any person with a direct and personal interest in the invalidation of the contract. In other words even a third party may have an interest in the invalidation, where these conditions affect his future rights. One can also mention the spouse of the contracting party, where the contract affects their common property.

In order to illustrate by example, Alemayehu sold an immovable to Bekele but no written contract was made. Alemayehu later sells the same immovable to Chalachew in writing. Chalachew is a third party in respect of the first contract. Chalachew nevertheless has a direct

and personal interest in the invalidation of the first sale, because he then will be the rightful owner of the immovable.

The issue of who has an interest to allege a nullity of the type covered by article 1808 of the Civil Code can be examined further in two directions, which are linked to the idea of the protection of the general interest. The first question is to ask oneself if the public prosecutor can sue for the invalidation of a contract between two private parties if the contract is a void contract.

Dear student, Can the public prosecutor request the invalidation of a void contract?

The basis here would be article 42 of the Civil Procedure Code, which opens the possibility of an intervention without making a limitative list, only provided that the prosecution service is entitled to such action by the law. In other words, can this requirement of a legislative authorization be satisfied by the notion of “interested party”, it being stated that the prosecution service acts in the interest of the general public?

The following (authentic) example may be an indication: Abebe, a poor man, decides to sell one of his kidneys by auction, because he is jobless and wants to support his family. The last offer made is 6,000,000 V.S Dollars by a foreign buyer. Neither the buyer nor the seller wants the invalidation of the contract. Can the public prosecutor refer the contract to the court for invalidation, stating that it is a) illegal to sell a part of a person's body, and b) that it is immoral?

Another question is whether the judge himself may raise the issue of a cause of invalidity where he sees one that a party has not seen nor raised? For example, Paulos, a man, asks for the refund of 1,500 Birr he claims he has loaned to Selamawit, a woman. Selamawit does not dispute she owes the money but states she cannot repay. In the course of her examination, it appears that the money was handed over to encourage sexual relations. It is only when Selamawit decided to break off the relationship that Paulos, out of revenge, sued her for the repayment of a so-called "loan". May the judge raise of his own account the issue of the immorality or unlawfulness of the cause of payment?

The difficulty here is that the judge intervenes directly into the debate and stands a risk of being accused of partiality. Is he an interested person? The answer here is probably that he is not. But is he to tolerate before him an obviously invalid contract, and even lend the majesty of the law to enforce it? Is it not giving effect for unlawful act?

3. When to Ask for Invalidation?

There is another reserved right for the party who is entitled to require invalidation of contract. Such right is incorporated under article 1809 of the Civil Code. In considering this article, the phrase "a party who is entitled to require the invalidation of the contract" must be seen in light of article 1808 of the Civil Code i.e. whether the contract is voidable or void. In case of voidable contract, one of the contracting parties and in case of void contracts, both contracting parties are entitled to such refusal right. The phrase, "may at any time" implies, that as long as the situation is unchanged and the contract has not been performed, the party who is entitled to

request the invalidation of the contract may at any time refuse to perform his obligation. In such cases the law puts no limitation of time.

If on the other hand there has been performance, the party who is entitled to request invalidation of contract has to require invalidation of contract before the expiry of the time limit after which invalidation may not be requested.

Regarding period of limitation, Article 1810 of the Civil Code gives a short term for the bringing of a suit in view of an invalidation that is two years from the ground for invalidation having disappeared. This does not distinguish according to the cause of invalidation, or whether we are in presence of what can be called a relative or an absolute nullity.

But what does the phrase "from the ground for invalidation having disappeared", under article 1810(1) of the Civil Code refer to? The answer to this question seems to relate to the causes of a voidable and that of a void one.

As we have seen above the causes of a void contract are impossibility, immorality or illegality of the object, or failure to observe the prescribed form for the particular contract. The grounds for such contract's invalidity will disappear only in the unlikely event that a new law is enacted changing the formal requirements or the defects in the object.

On the other hand, in cases of a voidable contract when the mistaken party discovers his mistake, when the deceived party knows about the fraud, when the act of compelling ceases, or when the incapable party becomes capable, the ground of the invalidation of contract is said to have disappeared. It is therefore, logical to say that article 1810(1) of the Civil Code doesn't apply for void contract, rather it is for voidable contract.

On the other hand, Professor Rene David states here that "in practice, the only case where this limitation is likely to be important is where the invalidity results from a vice in consent, since

normally this is the only case where the ground for invalidation would disappear. Since other cases are not covered by article 1810 of the Civil Code, their solution depends on the general provisions on limitation of actions".

Prof. Rene David does not mention incapacity. However, is incapacity governed by this short-term limitation?

There does not seem any textual ground to exclude it. The expression "within two years from the ground of invalidation having disappeared" may also cover the coming of age of a minor. It is an objective occurrence. In other words, we do not agree with the interpretation of Prof. Rene David when he restricts it to vice of consent strictly speaking.

It is therefore quite clear that the short term limitation will only concern invalidity suits based on article 1808(1) of the Civil Code, whilst the ordinary limitation period of ten years (article 1845 of the Civil Code) covers the situations provided by article 1808(2) of the Civil Code. We find here exactly the respective characters of the two types of nullities mentioned above.

The distinction can be justified by the fact that the protection of private interests should have less bearing on the general security of contracts than violations, which concern the general interest. One must not forget that limitation rules are laid down so as to ensure the predictability of contractual situations after the passing of a certain time.

Concerning the beginning of the limitation period, one sees that the day chosen will be the one when the ground for invalidation disappears. For instance where duress ceases, or the mistake

is discovered, or the incapacity ends. But one must not forget however the possibility of an interruption or a suspension of such limitation periods, as stated under article 1851 of the Civil Code. Such interruption will be valid in respect of all.

Thus, in case of voidable contract the two years of period of limitation is to be calculated from the moment the cause for the invalidation of the contract has disappeared, though proving the exact time would be difficult. Similarly, article 1810(2) of the Civil Code fixes a two years period of limitation on action for invalidation of an unconscionable contract as per article 1710(2). However, the two years period starts from the date of the formation of the contract. Accordingly, the limit is a strictly defined one: it starts from the day of the conclusion of the contract. This is explainable because the code wishes to keep such grounds of invalidation within a tight framework. This restriction cannot be opposed to minors.

Nonetheless, the other party may put an end to action for invalidation of an unconscionable contract pursuant to article 1812 of the Civil Code. Even when the conditions for the invalidation of the contract under article 1710(2) of the Civil Code are satisfied and the two years given under article 1810(2) of the Civil Code did not expire; the other party may stop such an action by offering to make the damage good. As you can remember, the cause for the invalidation of unconscionable contract is the exploitation of one of the parties by the other contracting party. The exploiting party, therefore, can rescue the contract from being invalidated by making the damage good.

The limitation rule only operates as long as the situation between the parties is unchanged, even though the contract was concluded. As long as the contract was not performed, there is no time limit for a party to claim the ground of invalidity to refuse such performance. Article 1809 of the Civil Code states a very ancient rule, which is known as the following Latin maxim: *quae temporalia sunt ad agenda, perpetua sunt ad excipienda*” (the right to bring an action which is barred by limitation, is perpetual when it is presented as an exception).

Examples: A sells B a picture at a high price, having fraudulently made him think it was a masterpiece. B can require the invalidation of the contract within two years of the time when he pays the agreed price (or rather from the moment he discovered the fraud, see article 1810 of the Civil Code).

4. Confirmation of Contracts

We mentioned earlier that a big difference between relative and absolute nullities was the possibility of confirmation. Confirmation is where the aggrieved party, having gained knowledge of the vice affecting the contract, decides nevertheless to maintain such a contract. This is the rule set down by article 1811(1) of the Civil Code. A double condition is imposed. That is it expressly concerns a vice of consent and that the confirmation may only be granted after the defect is known of and has disappeared. If confirmation is refused, the two-year delay to sue for nullity starts from this point (article 1810(1) of the Civil Code). Where the contract was in a special form, the confirmation must be made in the same form (article 1811(2) of the Civil Code). In other words, in addition to the above requirement, article 1811(2) requires that any confirmation under sub article one must be made in the same form as the contract where a special form is prescribed for the contract. Thus, where the contract requires formality requirement for its validity, *ad validitatem*, then any confirmation relating to such a contract has to be made in the same form. This means that where no special form is required, confirmation may be tacit, through the voluntary performance of the contract for instance. The solution is logical because the confirmation is neither a preliminary contract nor a modification of the original contract.

Accordingly, the other right given for a party who is entitled to request invalidation of contract is incorporated under article 1811 of the Civil Code. Upon being requested to opt for either invalidation or confirmation of a voidable contract, such a party whose consent was vitiated may either choose to invalidate the contract or confirm it. However, you have to note that a contract which is void may not be confirmed as there is always a public interest in making a

contract void. Thus, the persons who may grant confirmation will be the ones mentioned above who are entitled to sue on the basis of a relative nullity.

Note here that no mention is made of incapacity under Article 1811 of the Civil Code, contrary to the wording of article 1808(1) of the Civil Code. It expressly deals with grounds of invalidation of a contract based on defect in consent of one of the parties. The party whose consent was vitiated may either choose to request the invalidation of such a contract or waive this right or confirm the contract. Such confirmation can, however, be validly made only after the cause vitiating, his/her consent has disappeared. Any confirmation made prior to this is not valid.

Dear student, does article 1811(1) of the Civic Code apply to situation where one of the contracting parties is incapable?

The strict interpretation of confirmation leads to consider that a confirmation can only concern the person who grants the confirmation. If several contracting parties were affected by the same vice of consent, mistake for instance, the confirmation granted by one does not prevent the other parties from suing for nullity as far as they are concerned.

The next question is what is the effect of a confirmation? Once there is a valid confirmation under article 1811 of the Civil Code, the vice in consent disappears and the contract now becomes free from defect. Thus; if there has not been performance, it must be performed. However, if the contract has been performed, any act done by way of performance may no longer be in validated.

Thus, the main effect of confirmation is that the contract is purged of its vice, and can therefore be executed or even enforced. The performance of the contract before the confirmation is also purged of any vice and cannot be challenged any more. May the confirming party claim damages? In principle the answer is no; if he confirms, it is assumed he does so freely because it is his interest to do so.

In many situations the risk of seeing the contract invalidated or cancelled by a contracting party is a considerable one for the other party, who suffers from the insecurity of his situation. Hence the provisions of article 1814 of the Civil Code, where the party entitled to apply for invalidation (or entitled to claim cancellation) is requested to make a speedy answer (*"without delay"*) to the question whether he intends to confirm the contract. The time necessary for such an answer will be within the scope of appreciation of the court. But the consequence of silence is clearly stated; the contract will be considered as "cancelled" (article 1814(2) of the Civil Code). We are in the presence of an almost "enforced confirmation". The wordage here is unclear as to whether it should be construed as only covering the hypothesis of cancellation strictly speaking, or also addressing invalidation. Considering what was said in respect of the exceptional nature of confirmation, which is a renunciation to an action, the correct interpretation is probably to consider that an absence of answer is equivalent to the opinion that the contract is invalid and that no confirmation will be granted (but a court action will also have to be initiated for the invalidation, and should be extended to invalidation).

The special regime governing unconscionable contracts is found again in the exception open by article 1812 to the possibility of refusing a confirmation. This article affords a special defense to the party responsible for the defect, in as much as he is entitled to re-establish the balance of the contract to keep it in force. In this sense he may put an end to the action to regularize the situation. For example: A, taking advantage of B's senility, buys from him a house agreeing to pay a life annuity of \$100 per year. A "fair price" would have been an

annuity of \$ 300 per year. B requests the invalidation of the contract on the ground that A exploited his senility. A can have this action dismissed by promising to pay B an annuity of \$ 300 per year in the future and \$ 200 supplement for each payment already made.

4. Effects of Invalidation and Cancellation

The effects of invalidation and cancellation are treated under articles 1815 through 1818 of the Civil Code. However, the phrase "in the position which could have existed" under article 1815(1) of the Civil Code should be taken as "in the position they would be in". The principle is stated in the Latin Maxim. *"quod nullum est, nullum producit effectum"*, what is void produces no effect.

This principle is clearly taken up in article 1815 of the Civil Code, which exposes that the invalidation or cancellation of the contract leads to putting the parties back in the position they were in before the conclusion of the contract. In other words, invalidation or a cancellation has a retroactive effect, and "all the acts done in performance of the contract shall be of no effect". This means that, for instance, in a contract of sale the thing sold must be returned by the buyer and the price paid for it must be refunded by the seller. One can add that the accessory agreements to the principal contract are in principle also to retroactively disappear: a security such as a pledge or mortgage loses its cause of existence where the main contract is annulled; a penalty clause cannot survive to the extinction of the reciprocal obligations, and so on.

You must note that article 1815 of the Civil Code makes no distinction with regard to the effects of invalidation of a void and that of a voidable one.

Dear student, would the court reinstate the contracting parties to their original position after declaring the invalidation of a void contract? If not, what are the other possible remedies?

Regarding the effect of invalidation of void contract, There is maxim which is stated as "*nemo auditor propterea turpitudinem suam allegans*" (no one is heard who claims his own base actions). It is often linked in French case law with another traditional maxim, which states that no restitution is due where both parties are equally to blame for their immorality or disrespect for the law ("*in pari causa turpitudinis cassat repetitio*"). Such is the case of a contract where a man pays a woman to have sexual intercourse. The cause of the contract is immoral and cannot therefore be enforced. But, conversely, the majesty of the law is not required to lend a hand to the restitution of the money, should it have been paid first and no performance made by the woman.

The contract is of no effect, says article 1716 of the Civil Code and that even goes in French case law to refusing any restitution. Note here that we even do not have the word nullity or invalidation. It goes further than that; this is an application of the theory of inexistence. Too bad for the party who paid before obtaining the promised performance!

A question sometimes arises of the possibility in such case to claim there was an unlawful enrichment. Let's first say that the translation of the French "*enrichissement sans cause*" would better be rendered by enrichment without (good) cause or unjust enrichment, which avoids the expression used in the, English version, which leads us to believe that the enrichment violates the law. But above all, one must realize that the rule in question is only there as a subsidiary foundation to obtain the compensation of a loss within the framework of legitimate activities. It cannot be used to recover money illegitimately spent not to enforce an unlawful or immoral contract. It is even more out of the question to grant such an action because it would mean in practice that the authority of the law is compromised to enforce such unlawful or immoral situations. To return to the example above, is :the court going to support the man who claims his money back at the risk of encouraging prostitution?

A problem, however, arises regarding the effects of cancellation under article 1815 of the Civil Code. This is so because article 1790(1) of the Civil Code also deals, inter alia, with the effects of a cancelled contract.

Article 1790(1) reads as follows: Apart from or in addition to the enforcement or cancellation of the contract, a party may require that the damage caused to him by the other party failing to perform his obligations be made good. Accordingly, this provision provides that in cases of cancellation of a contract, the damage to be compensated is that which is caused by the other party's non-performance. In such cases the other party will, financially be put in the position he would be in, had the contract been performed.

Thus, you may, by now, see the inconsistency between articles 1815 and 1790(1) of the Civil Code with regard to the effect of cancellation of contracts. Such inconsistency has to either be solved by reconciling them and if this is not possible, one of these articles has to prevail.

In this regard, Professor George Krzeczunowicz assumed that the inconsistency cannot be reconciled and made a suggestion regarding which of these two articles shall prevail. The following is extracted from his commentary.

Article 1790(1) V article 1815.

A difficult question: Is the kind of damage to be compensated the same in the case of, respectively, enforcement or cancellation of contract? Article 1790(1) of the Civil Code makes no distinction-in both cases (see" concurrently with"), the kind of damage to be compensated is that caused by the defaulting party's non performance of the contract. Where forced performance is applied in either of the ways described by us under articles 1776 to 1778, damages for delay are recoverable, as are also enforcement costs under article 1776, or expenses for subsidiary performance under article 1777-1778 of the Civil Code. Where such

actual or subsidiary performance cannot be obtained, the creator still ready to perform his part (or having validly "deposited" the thing due by him) will be compensated for the damage caused by non-performance of the contract by the defaulting party, that is, will financially be put in the position he would be in, had the contract been performed. Unfortunately, however, the provision of article 1790(1) of the Civil Code granting the same remedy to a party who has obtained or declared cancellation of the non-performed contract is inconsistent with the provision of article 1815 of the Civil Code on the effects of cancellation of contract: the purported effect is to put ("reinstate") the parties "in the position they would be in, had the contract not been made" (recovery criterion including restitution and reliance expenditure) and not "had the contract been performed" (recovery criterion including loss of the expected performances). Unless they can somehow be reconciled (see Encyclopedia. Treatise sees. 183-184), which of the inconsistent articles shall prevail? We suggest that article 1790(1) of the Civil Code should prevail for the following reasons.

- (1) Article 1790(1) figure in the very section on Non-performance of contracts.
- (2) Article 1815 should not have equated the effect of cancellation of a valid contract because of its non-performance with the effect of invalidation of an originally defective contract (cf. Engel, P.496cc).
- (3) The predominant special contract is Sale. In a sale, damage caused by non-performance is recoverable "Whether or not the contract is cancelled or upheld"; see article 2360 cum 2362(1). Reinstating the buyers and sellers "in the position they would be in, had the sale contract not been made" would obviously be absurd. They are released from their contractual obligations only" subject to the compensation that will be due" (art. 2355(1) translation corrected). Cf. Farnsworth (cited under art.: 1778) p.249, top and fin4.
- (4) Practice seems to follow article 1790(1), unembarrassed by its, inconsistency with article 1815. Incidentally, the canceling party will not recover for damage from non-performance in the cases where he suffers none because he can get what was due by the debtor from other sources at the same or lesser cost.

See comparative law discussion in Encyclopedia, Trestle, pp.31-40(caution: Trestle uses the word "termination" for what our code calls "cancellation").

Dear student, would the effect of invalidation and cancellation affect the rights of third parties? Would the contract always be invalidated? What would happen if restoring the original position is impossible?

By way of exception to the rule under article 1815 of the Civil Code, articles 1813, 1816 through 1818 provide a solution to these questions.

A first exception to the principle of full restitution is stated in article 1813 of the Civil Code, which governs partial invalidation: only void clauses of the contract shall be invalidated and the rest of the contract will survive. The mere fact that only part of the contract or some of its clause's are defective is not sufficient for the whole contract to be invalidated pursuant to article 1813 of the Civil Code. The whole contract would be invalidated only when the invalidation of the defective part of the contract affects the essence of the contract.

The question that may be raised is "when are we to say that the essence of a contract is affected?" We may say that the essence of the contract is affected where the enforcement of the contract without the invalid clause would be like making a new contract for the parties. It may be said that the person requesting the invalidation of the contract may not have entered in to the contract without the invalidated part. Thus, if the essence of the contract is not affected, only the defective part will be invalidated and the contract will remain in force.

This is an illustration of the principle seen earlier in the law of contracts (article 1785 of the Civil Code), which rules that contracts may not be cancelled unless a "fundamental provision of the contract was breached". Once *more* the judge is encouraged to save the contract.

The reason for this exception, a reason that should be pondered, as a guideline for the decisions of the judiciary, is that the legislator obviously wants to restrict the number of invalidated or cancelled contracts. The economy needs security, and the assumption of the parties should be that a contract signed is a contract, which shall be executed. Only in exceptional cases should it be affected. If the courts are too lax in granting invalidation or accepting cancellations, the result will be legal insecurity. Hence this provision seeks to restrict the sanction of invalidity or cancellation to the minimum indispensable scope. Another consideration is that the attitude of the court will be known to the public via the advocates very fast: if it is deemed easy to, obtain invalidation, the court will receive many new cases.

So the intellectual approach of the judge should be first, on the party's application for invalidation, to appreciate strictly if there is a cause for invalidation, and, second, to try and limit its scope to the only clauses vitiated, and try to maintain the rest of the contract.

But of course, certain clauses are so important that their invalidation removes all interest from the contract, "affects the essence of the contract" as indicated in article 1813. The question here is how to interpret clauses to see whether they are of such a nature. It is necessary here for the judge to lead an investigation into the intentions of the party when they concluded the contract, a search back in time, which is not always easy. It is an illustration of the principle of consensualism. An indication may be sought in French case law, which rules that the judge should seek the "impulsive and determinative cause" which guided the parties in the conclusion of the contract. In other words, the judge needs to put himself in the subjective position of the contracting parties. The affected clause does not need to be the essence of the contract for the two parties; one party is enough, especially where we are in front of a relative nullity.

Contemporary law tends to follow economic: imperatives, what is called "public order of protection", for instance by imposing certain clauses or prohibiting others in the intention of

favoring a given category of contracting persons. This is often the case for the protection of consumers, with the clauses on expiry dates, or the limitation of penalty clauses, or the prohibition of liability exoneration clauses. The technique here is that of a partial invalidation of the contract, which for the rest of its provisions is beneficial to the consumer. The law will simply deem the prohibited clause to be "unwritten", or automatically replaced by a lawful clause.

Article 1813 addresses a partial invalidation within the same contract, with the assumption it is a simple convention with a single objective. But there are situations where a given convention may contain several contracts, or even there are cases where different contracts are directly linked one to the other ("group of contracts"). The solution here is for the judge to look if there is a true indivisibility between the various contracts. If so, the invalidation of one will carry the invalidation of the other. If not, and in case of doubt the guideline will be to consider that indivisibility is not demonstrated, the judge will maintain the unaffected conventions.

Please read the following examples. 1. A, an employer, wishes to recruit B as a laborer to work on his farm. He also offers B to live in a farmhouse on his premises, against the payment of an annual rent. In the same document we have a contract of employment and a contract of lease. If we suppose the contract of employment is invalid, what of the contract of lease? All depends on the question where the parties considered that the lease was indivisible from the contract of employment. This is a question for the judge to arbitrate after researching the parties' intentions. The question will be all the more difficult where the two agreements were concluded simultaneously, but in two different documents.

2. A sells a new car to B for 1a, 000 Birr. B borrows the money from bank C. A also requires the guarantee of D. The global convention has thus generated three different contracts between four different persons. Suppose the sale is invalidated, what happens to the other agreements? The suretyship is necessarily granted in respect of the sale. Following the rule *accessorium sequitur principale* (the accessory follows the principal), it is logically void because the obligation is guaranteed - the sale - is retroactively destroyed. The situation is different in respect of the loan. If the loan was explicitly granted to buy the car, it may be considered as

accessory. The reverse happens if there was nothing in the contract of loan stating it was concluded for the purchase of a car: the contract of loan is not invalidated, and the borrower B, has to pay the agreed installments and interest to C, the bank.

The second exception relates the effect of invalidation and cancellation on the right of third parties. The principle here again is that an invalidation or cancellation of contracts also operates in respect of third parties. The retroactivity of the disappearance of the contract may however seriously affect third parties, and create a big measure of legal uncertainty. Remember the maxim, *nemo plus juris ad alium transferee potest quam ipse habet*, which is translated as no one may transfer to somebody else more rights than he himself disposes of.

Several limitations to the effect of the invalidation or cancellation in respect of third parties exist however.

First, the decision on invalidation will only be demurrable to the third party if he has himself been involved in the proceedings. But this is only a temporary limitation.

Second, and more importantly, one must quote articles 1161 of the Civil Code and following, which provide that the person, who buys in good faith a movable, is protected by the simple fact that he is in possession of the good. See in particular article 1163(2), within the framework of an invalidation application.

Third, article 1816 of the Civil Code states that act done in performance of the contract shall not be invalidated where the interest of third parties in good faith so requires. Good faith is where the third party did not know of the reason, which vitiated the right of his transferor. This provision has to be construed exactly. We talk here of the acts made in performance of the contract, and not of the contract itself, which is invalidated.

Accordingly, the phrase "third party in good faith" under article 1816 of the Civil Code refers to a person who acquired the right in question without knowing the ground for invalidation that tainted the right of his transferor. If one of the parties has transferred to a third party in

good faith something he received as a result of the performance of the contract that is being invalidated or cancelled, restitution of deliveries made under article 1815 of the Civil Code does not apply. The third party in good faith will retain the thing he acquired in good faith.

In this regard Ato Tilahun argues that this article does not apply if the subject matter of the contract is an immovable or special corporeal chattel the transfer of which requires certain formalities like registration.

To illustrate with an example: A is recruited as a salesman by B, but the contract is vitiated. Before the contract of employment is declared invalid, A has made several sales to clients. The normal run of events is that the invalidation of the first contract of employment amounts to say that A was never the salesman for B, and therefore could not validly sell B's goods to third parties. Therefore, the sales contracts with the clients should be invalidated; they should return their goods and be refunded by B. The simple exposition of these consequences shows that they would be excessive for the clients, who bought in good faith from A, when they had every reason to think that he was indeed the salesman for B. Article 1816 of the Civil Code allows us to say, in our example, that the sales contracts, which are "acts done in the performance" of the contract of employment, do remain valid.

The third exception provided under article 1817 of the Civil Code relates to impossibility of reinstating contracting parties.

Article 1817 states that: 1) Acts done in performance of the contract shall not be invalidated where such invalidation is not possible or would involve serious disadvantages or inconveniences.

2) The parties shall as far as possible be reinstated in the position which would have existed, had the contract not been made, by the payment of damage or any other remedy which the court thinks fit.

In certain cases, the restoration of the situation, which existed between the parties before the conclusion of the contract, is simply impossible. This is the case very often in contracts

involving "a successive performance, such as a contract of employment or a contract of lease, or a contract, which led to the consumption of a specific good. . . .etc ...

The invalidation of the "acts made in the performance of the contract", as in the previous case, simply cannot be invalidated - which does not mean that the contract itself is not invalidated. Furthermore, article 1817 of the Civil Code extends the situation to cases where such invalidation of the acts made in the performance of the contract would bring about "serious disadvantages or inconveniences". The guidelines given to the court are clear, but leave a wide margin of appreciation: parties will be reinstated as far as possible in their original condition, and for the surplus an indemnity will be paid, or any other appropriate measure decided by the court. In short, all depends of what the court deems to be an impossibility to restore or the seriousness of a disadvantage or inconvenience. The court leaves such appreciation to the good sense of the judges, who should not abuse it of course.

On the other hand, Article 1818 of the Civil Code relates to a situation where restoring the thing is possible. In such a case if the person who was possessing the thing altered or entailed expenses then he may be able to claim such payments from the other party. He may do this based on the provisions of the code dealing with unlawful enrichment because the contract has either been invalidated or cancelled.

Article 1818 addresses the specific problem of expenses made for the thing returned. It is possible that the buyer of a car has had it repaired or maintained before the invalidation of the sale took place. The rules governing unlawful enrichment (articles 2168 to 2178) are to be implemented here. In short, necessary expenses and value added 'to the property will be indemnified. But the rules operate also the other way, where the temporary owner of the thing caused deterioration or loss, in which case he will be held to pay an indemnity. This is only the implementation of the principle of reciprocal full restitution

However, article 1818 of the Civil Code does not mention directly the issue of the fruits a person may have collected in the course of the performance of the invalid contract. But its

reference to the section governing unlawful enrichment enables us to refer specifically to article 2178, which gives us the traditional continental solution. Fruits obtained in good faith shall be retained and will not be returned. Such fruits may not be claimed beyond the date of the summons to appear in court, because from such day the usufructuary is informed of the existence of a cause of invalidation. The exception to the keeping of the fruits is of course where the usufructuary enjoyed such fruits whilst he knew the contract was invalid.

Example: Shegaw sells a house to Belachew. The contract is invalid but Belachew does not know this. B leases the house to a tenant. Even if the contract of sale is invalidated at a later date, Belachew may keep for himself the rent money paid by the tenant.

Unit Two: Termination of Contracts and Remission of Debts

Introduction

In this unit termination of contracts and remission of debts will be discussed as grounds of invalidation of contracts. This unit has two sections, devoted on termination and remission. The first section deals with termination of contracts and its various forms of termination: contractual, legal and judicial termination. Moreover, the effects of such termination will be given a place.

Section two of this unit deals with remission of debt as a ground for putting contractual obligations an end.

Objectives:

After completing this unit, you will be able to:

- Discuss the nature of termination of contracts;
- Distinguish the various forms of termination of contracts;
- Explain the effects of termination of contracts;

- Identify the conditions for valid remission of debt and its effect on the contract.

Section One: Termination of Contracts

One has to see that we are not here in a situation where there is a cause for the cancellation or the invalidation of the contract. The contract is valid and is being executed normally. The principle here is the intangibility of contracts, which is necessary to ensure the safety of contractual relations. The primary role of judges is to enforce the obligation if it is not respected, and the normal end of the contract is the full performance of the agreed obligations.

However, the parties may wish to put an end to this contract before its full performance, and therefore terminate it. The termination of the contract is its invalidation for the future, and in this sense it is the opposite of a cancellation, which has a retroactive effect. Termination intervenes where there is a ground for extinction during the performance of the contract, and it is for the future only.

Under Ethiopian law of contracts, termination of a contract may occur in any of the following three ways: termination by the agreement of the parties, unilateral termination or judicial termination. In other words, termination may be made by mutual consent or by one party only, through a unilateral termination or by the court.

1. Termination of contracts by mutual consent

The foundation of contractual obligations is the mutual consent ("*mutuus consensus*") of the parties, which illustrates their contractual freedom. But this contractual freedom operates not only in entering contracts. It may also be used to end them: there is a mutual consent for this termination ("*mutuus dissentus*"). Such is the meaning of article 1819 (1) of the Civil Code.

Accordingly, termination by the parties' agreement is the rule. Ordinarily, contracts are terminated when the parties so agree pursuant to article 1819(1) of the Civil Code. Parties who voluntarily entered in to a contract may likewise terminate it. This is also reflected under article 1675 of the Civil Code.

As this is again an expression of consent, such consent must obey the general rules governing contractual agreements as stated under articles 1679 and following of the Civil Code. For instance, the parties must still be capable and their consent to the termination must not be vitiated by the usual vices of consent. This definitional article indicates that the parties may, inter alia, agree to extinguish obligations created by a contract. This implies that termination of a contract is an agreement. As such it is subject to all the requirements necessary for the validity of a contract.

The law does not, however, prescribe any formality requirement for termination agreements. Article 1819 of the Civil Code does not mention the requirement of an express statement of the parties' intention to terminate the contract. It is therefore to be assumed that a tacit consent of the parties is possible. For instance a party may ask for the termination, whilst the other party does not answer but nevertheless ceases to perform the contract or require payment. If a dispute arises later as to their mutual consent, judges will have to consider the facts of the case. Their guideline here will be that the consent, although tacit, must be unequivocal. In case of doubt, the court will consider there is no valid agreement as to the termination of the contract and, if a party so requires, they will proceed to have it enforced. There is an illustration of the principle that simple silence does not amount to acceptance. (see article 1682 of the Civil Code.)

Finally, such mutual consent to terminate the contract is only valid where it does not affect the lawful rights of third parties, which have derived of the contract.

For instance, A sells a horse to B. B then sells the horse to C. C's rights have to be protected even if A and B decide to terminate the initial contract of sale.

2. Unilateral termination of contracts

The greatest difficulty when it comes to the termination of contracts is where the parties are not in agreement; one party wants to end contractual relationships whilst the other one claims the benefit of the contract to continue such relationships. Moreover, there is no cause for invalidation or cancellation: the contract is perfectly valid and is normally designed to go on.

The answer given to this problem by the core principle of the law of contracts is that a party may not of his own accord (unilaterally) terminate a contract. But many exceptions are put to this principle. Although termination by agreement is the rule, there could be certain exceptional cases where a contract can be terminated by a unilateral declaration of one party. Based on the source of the right to unilateral termination, this form of termination may be classified in to two categories: it may be provided for by law, or through the contract itself.

A. Unilateral termination through the contract

The first category of termination of contract by unilateral declaration is when the contract itself has a termination clause which allows one or either party to terminate the contract by his/her unilateral declaration. This is clearly provided under article 1820 of the Civil Code. Article 1820 (1) opens the right for parties to provide in the interest of each contracting party, or of one of them only, to terminate unilaterally the contract. This is again an illustration of the principle of contractual freedom, and therefore not such an exception as a confirmation of this principle.

Under sub article one of 1820, the contract contains what is called a termination clause permitting one or both of the parties to unilaterally declare the contract terminated. The parties may attach a condition to such termination. In such cases it is only when the condition has been fulfilled that the party may unilaterally declare the contract terminated. A party who has a right to terminate the contract by a unilateral declaration is, however, bound by the contract until the time the contract is terminated.

The form of such termination is a "simple unilateral notice". The onus here is on the absence of formality or evidence rules. Notice may be given therefore in any form, orally, for instance. In the event of a dispute, it would seem however preferable to have some written trace of such notice.

In multilateral contracts, which involve more than two parties, the parties are allowed to include a provision in the contract where by the contract may terminate with regard to one of the parties and remain in force with regard to the other parties. Article 1820 (2) of the Civil Code sets out a special situation, that where more than two persons are parties to the contract. Will the termination asked by one party entail the end of the contract for all the others, because for instance it disturbs the economy of the contract? Or will the contract remain for the others because it is in their interest. Prof. Rene David illustrates this last situation by mentioning the contract of association; it would indeed be impractical for the management of association if the withdrawal of one member meant the dissolution of the entire association.

The drafting of this provision states that such a situation can be provided for in the contract that is to mean an express clause stating that a unilateral termination does not affect the existence of the contract between the remaining parties. It amounts to granting each party a right to withdraw from the contract, which nevertheless remains effective for the remaining parties. But the logical consequence is that, where there is no such express provision, and then the contract is terminated for all. In case of doubt, the court will have to declare the contract terminated for all.

B. Unilateral termination of contracts by law

Apart from the situation under article 1820 of the Civil Code: the right to unilaterally terminate may also be given by law. One such is clearly provided under article 1821 of the Civil Code where the contract is made for an indefinite period.

Article 1821 of the Civil Code states the rule according to which each party has the right to put an end to an indefinite term contract. In other words the law creates a legal right to unilateral termination, which has to be considered as an implicit clause in every contract of this type.

The rationale of this rule is a consequence of the prohibition of perpetual obligations. The law does not want a party to enter an open-ended contract of work, for instance, which would amount to a form of slavery, or be held indefinitely for his whole life with a given supplier or buyer in a contract of sale.

This general principle finds many different illustrations, as in the revocation of agency (article 2226 of the Civil Code), the letting or hiring contracts (article 2737 of the Civil Code), for a contract of bailment (article 2787 of the Civil Code), the lease of immovable (60 years maximum, article 2927 of the Civil Code), for commercial companies (partnerships, article 258 Commercial Code, share companies, article 495 Commercial Code... etc...)

Moreover, Special laws often provide for the right of a unilateral termination, generally where it is considered that a party has to be protected from the possible abuse committed by the other, specifically by the economically more powerful party. For instance read the provisions of Procl No 377/2004 on unilateral termination by the parties.

In certain legal system also Special circumstances may lead the legislator to unilateral rights of termination of contracts, for instance where economic conditions have dramatically changed

since the conclusion of the contract. Such was the case in France to take into account the important inflation and correlative devaluation of currency in the wake of the world wars.

Where the contract or the law gives a right to one or either of the parties to terminate the contract by a unilateral declaration article 1822 of the Civil Code imposes, on such party, a duty to give notice. Such period of notice must be in accordance with either the "law, custom or It shall be reasonable taking the particular circumstance. The reason is obvious: the party who does not ask the termination is entitled to expect a further performance. At the least he must be given time to find a replacement solution or another partner. For instance, A, a newspaper firm, has concluded a contract with B for the daily supply of paper. Even if a contractual clause enables B to terminate, A must have a minimum of time to find another supplier of paper, failing which he will not be able to print the next issues of his newspaper. In some cases the parties who a~ to include a termination clause in their contract may also fix a period of notice.

Failing such a contractual, legal or customary period of notice, article 1822 (2) of the Civil Code requires the terminating party to observe a "reasonable delay". This will depend of circumstances, and again has to be appreciated by the court in the event of a dispute. The term will vary, especially, according to the practical case of finding an equivalent performance, for instance where it concerns imported goods not readily available in Ethiopia.

3. Unilateral termination of the contract decided by the court

A part from termination by the above ways, the court may in certain exceptional situations terminate a contract at the request of one of the parties. Articles 1823 and 1824 of the Civil Code provide such cases.

The principle of the intangibility of contracts is of course demurable to the courts; the contract having legislative value between the parties, it logically therefore is also to be imposed to the courts. This principle bears reminding, because it is very frequent for a party who defaults or wishes to default on his obligations to call upon the judge to amend the contract, deemed to

hard or difficult to execute. The answer of the court should by principle be negative: the court has no general power to revise contracts made by private persons, be it out of considerations of humanity, equity or others, where there is no explicitly contractual clause to this end.

This restriction explains why the Civil Code only limitatively mentions two cases where the unilateral termination may be decided by a court. On the other hand, it does not distinguish here between contracts for an indefinite period of time and the ones may for a given term.

A. Special relationship of trust

The first case open for judicial termination of the contract is set out under article 1823 of the Civil Code. Where the contractual relationships rest on a special measure of trust, or cooperation or community of views one party may apply for the court for termination of the contract. This is the realm of the contracts concluded " *intuitu personae*" (by consideration of the person of the other contracting party).

In this case, there are two remarks. The first is that such a unilateral termination may not be decided by a party on his own, he has to submit his position to the appreciation of the court. The second is that "trust, cooperation or community of views" will have to be analyzed by the court from the circumstance of the case and the intentions of the party. The burden of proof is on the requesting party. The court should be guided here again by the idea it may only order the termination, where a) a "special" relationship of that type is established, and, b) where a valid reason is alleged for the loss of trust, cooperation or community of views. Again, the onus on the court is to maintain the contract and to order termination only as a last resort. The opposite position would be too lax, because one can always claim there is a measure of trust, cooperation or common outlook between contracting parties.

The civil code gives special illustrations where the loss of trust in the other party leads to the possibility of a unilateral termination - just as if an implicit clause was inserted by law in the

relevant contract. Thus article 2226 of the Civil Code enables the principal to revoke the contract same goes pursuant to article 2786 of the Civil Code as soon as the bailor claims the chattel concerned by the bailment. But the difference in both these cases is that the principal or bailor does not have to resort to the court's authorization.

B. Gratuitous contracts

Article 1824 of the Civil Code opens the right for the party on whom weighs all the burden of a gratuitous contract to apply for a unilateral termination if he has a "good cause" (English version) or rather a "serious cause" (French version) to do so. This will be an economic reason - the contract is too costly -- or even a moral one for instance where there is ingratitude of the creditor of the obligation. Sometimes also the burden of obligation becomes too expensive because of the current inflation. The French version further speaks of an exclusive "interest" rather than an exclusive "advantage" (English version).

The rationale for this provision is that the person who is impoverishing himself without a counterpart obligation of the other party is entitled to a special provision. The civil code generally does not look favorably on such unbalanced agreements.

3. Consequences of the termination of contracts

Once termination occurs either by the parties agreement, by a unilateral declaration of one of them or by the court, its effect is the same. Unlike invalidation and cancellation, the effect of termination is prospective. All acts done in performance of the contract remain valid as they are not to be affected by termination. The terminated contract ceases to be enforceable or to produce new effects in the future. Article 1819(2) and (3) provide what the effects of termination are.

Therefore, the specific nature of termination is that it puts an end to the contract but does not work retroactively; it is only for the future that the contract disappears (article 1819 (2) and

(3)). What was done or performed remains, as opposed to the situation after invalidation or cancellation. The performance of the contract remains valid until the date of termination.

Section Two: Remission of Debts

Dear student, what is remission of debt? What are the conditions for its validity?

Remission of debt as a cause for an obligation to come to an end is provided under article 1825 of the Civil Code. The creditor has a right to demand the debtor to perform his obligation or if he so wishes he may also relieve him from his obligations. The choice is to be made by the creditor.

Thus, if the creditor decides to release the debtor from his obligations, the following conditions must be made for the remission to be valid. Firstly, the creditor must inform the debtor about his intention of releasing the debtor from his obligations. Secondly, remission is not completed by the mere declaration of the creditor but it must be accepted by the debtor. Article 1825 states that after the creditor informs the debtor his intention to remit the debt and the debtor does not immediately object this, the debtor is deemed to have accepted the remission.

This special type of extinction of debts calls it for its definition to be précised, so as to avoid confusions. It is conditioned by special conditions of validity. Finally, the issue of remission

of debt must address the question of the plurality of debts or guarantors, and that of bankruptcy suits.

Through the remission of a debt, the creditor voluntarily sets the debtor free of his obligation, or, more precisely offers to set him free. The intention of the creditor is usually a liberal one, or this attitude may be explained within the framework of a wider agreement, where several outstanding and reciprocal debts are set off. The second part of the article shows that a remission of debt needs the consent of the debtor to be achieved. This is not as curious as it seems, because in certain situations the disappearance of the debt may create difficulties to the debtor. But of course, the general situation is that the remission of the debt is in his favor, which explains why his silence may be deemed an acceptance, contrary to the general rule in that respect.

This is a clear illustration that the remission of the debt is not a unilateral decision made by the creditor. It cannot be assimilated to a simple waiver of his rights. It is on the contrary a consensual decision, a contract, even if a unilateral contract.

The remission of debt being contractual in nature is necessarily subject to the ordinary conditions or validity of contracts (vice of consent, incapacity, morality, lawfulness... etc...). Another illustration of its nature is that the court may not impose it on the will of a party. Rather, the will of the remitting party must be clear and not ambiguous, failing which there is no remission of the debt.

This being said, no special form is imposed for the remission of a debt. The creditor simply had to "inform" the debtor of his intension to discharge him. The information may therefore be purely oral, although the best mode of evidence is to do it in writing, of course.

Another point to raise is the consequence of article 2020 of the Civil Code, which presumes a payment when the document title (the title deed) is handed over to the debtor. This rule

operates of course also for a remission of debt, but one will note it only concerns the essential document proving the existence of the debt.

Finally, the validity of the remission of a debt depends on the consent of the debtor, which may be explicit, of course, but may also derive of his silence. Here, the effect of keeping silent is widely construed. Unless there is an immediate refusal, the debtor is deemed to have accepted. In other words, the burden of being diligent and reacting "forthwith" is on the debtor, as well as the burden of proof of his refusal.

Once there is a valid remission, the fundamental consequence of the remission of a debt is that the debt disappears and cannot be asked for anymore. Any accessory of the debt also disappears, for instance, a suretyship granted by a third party (articles 1924 and 1926 of the Civil Code). But the rule of indivisibility will operate in complex conventions.

The most difficult point is where there is a plurality of debtors or guarantors. Does the remission of the debt of one debtor benefit the others? How does the remission of a suretyship granted by one guarantor affect the other guarantors?

This calls for a reminder of the distinction between divisible and joint obligations. Don't worry we will see in Module Three.

Unit Three: Novation and Merger

Introduction

In the previous two units, we have seen some of the grounds for extinguishing obligations. In this unit you will study the other causes that put obligations end. These are novation and merger that are going to be discussed in two sections.

The first section deals with novation as a means of extinguishing obligations. There is an effort to define novation and its condition for its validity in different legal systems and under Ethiopian law. The effects of novation are also discussed.

The second section covers merger as a means of putting obligation an end. This section will discuss what merger is and its effects. You will also study merger and the right of third parties.

Objectives

Having completed this unit, you will be able to:

- Define novation of contracts under different legal systems;
- Discuss novation as a ground of extinction of obligation;
- Explain the various effects of novation;
- Discuss the nature of merger;
- Explain the effects of merger and the rights of third parties.

Section One: Novation

1. Novation in different legal systems

The concept of novation by the substitution of a new obligation for a prior obligation is recognized in both the civil and common law. In the common law, the term "novation" is applied to the process of discharging one obligation by the substitution of another obligation, whether or not accompanied by a change of parties. There are four requisites in every novation: a previous valid obligation; the agreement of the parties to the new contract; the extinguishment of the old contract by the new contract; and the validity of the new contract. In common law, though an express agreement to novate is required, assent to a novation may be implied from the circumstances attending the transaction and the conduct of the parties thereafter. Also, novation is effective by the substitution of contracting parties.

In French law, novation abolishes a preexisting obligation and replaces the pre-existing obligation with a new obligation which comes in to being. In this legal system, novation may take place in three ways: when a debtor contracts a new debt with his creditor and the new debt extinguishes the old one; when a new debtor is substituted for the prior debtor who is discharged by the creditor; when a new creditor is substituted for the prior creditor and the debtor is discharged in so far as the prior creditor is concerned. The three requisites to novation are: intent to novate, capacity to novate, and a valid obligation which is replaced by a new valid obligation. Since it is a well-settled rule that novation cannot be resumed, a clear intention must be present in the instrument of novation.

While the existence of a valid obligation is a requisite to novation, if the original obligation is absolutely null novation would not be effected because *causa* is lacking. However, if the original obligation was relatively null, when contracted, novation may operate if the relative nullity no longer exists.

In French law, novation of an obligation necessarily results in the extinction of the accessories which are attached to the novated obligation. However, the preferences and securities of the original claim may extend to the new one if the creditor has expressly reserved them.

2. Novation as a ground of extinction of obligation under Ethiopian legal system

A. Definition

Article 1826 of the Civil Code states the principle. An obligation may be extinguished where the parties agree to replace it by another. It is again an illustration of the idea of contractual freedom. For instance, the parties agree to replace a contract of sale against cash by a contract of loan. Two elements have to be stressed however: the condition of the novation is that something new characterizes the new obligation, and here article 1826 limits this to a new object, in the meaning of article 1711 of the Civil Code and following, or to a new cause. But there remains necessarily a link between the old and the new obligation, or there would be no novation. The second element however is the extinctive effect of a novation: the former obligation disappears. We can therefore underline the dual or ambiguous nature of the institution of novation.

Prof. Rene David gives the example of a person accepting to work a certain number of days to pay for his debt: a contract of employment thus replaces a contract of loan; or the case where a contract of loan may replace a contract of sale.

B. Conditions of the novation

For a valid novation, under Ethiopian legal system, to exist, three conditions are expressly provided. Firstly, there has to be an agreement between the parties. Novation has to be effective only when the contracting parties agreed.

Secondly, the new obligation must also offer something new in respect of the former obligation, as article 1826 of the Civil Code states in fine. This provision mentions exclusively a new object or cause. There is a novation when for instance a thing replaces money as the obligation of a party, when the latter has no cash for instance, or where a contract of employment replaces a contract of partnership. The same goes when an annuity replaces the

payment of a capital or where the lessor provides another house to occupy than the one initially considered.

But there is no novation if the change only concerns an accessory element of the contract. This will be the case when the change concerns only the rate of interest, the place of payment, the term for performance, the amount of the debt, the qualification of the contract, the currency 'in which the debt is labeled, the agreement extending the scope of work to be done within the framework of a contract of services.

As to the element of a new cause of obligation, an illustration can be the case where a lessor confronted with a default in payment of rent by the tenant grants him a delay to pay the rents due. It can be construed as a loan of money to be repaid, whilst the lease goes on for the future.

But there is no novation in the following examples given under article 1829 of the Civil Code where simply a new document is drafted, where debtor signs a promissory note or bill of exchange for the payment of an existing debt, or where new securities are granted to secure the payment of the obligation. Generally speaking this is not novation where the parties simply agree to create a new instrument to prove the existing obligation, or where the debtor acknowledges the existing obligation.

However, in the Ethiopian civil code, there is no novation by change of debtor or creditor.

The third validity requirement is that the parties' intention to undertake novation must be clear and unequivocal. In cases where there is doubt as to whether the parties intended novation or not, the law takes a presumption that novation has not been made. Article 1828 of the Civil Code sets out the traditional Roman law requirement, known as *the animus novandi*, i.e., the intention to create a new obligation through a novation. Let's see immediately that such an intention must be clear on both sides. Both the creditor and the debtor must be in agreement on

the novation. In other words, either party may not oppose the novation. Therefore, it cannot be presumed, for instance where the parties amend a given clause in the contract. In case of doubt, the court will consider there is a succession of different obligations, rather than a novation. For instance, the offer made by the debtor of considering the defaulting payment of rent as a loan may not be construed as a novation where the creditor remains passive.

No special form is required however for a novation. It is here again the law of mutual consent. We will however mention as to form the exception already stated above of article 1722 and following of the Civil Code where a special form for the original contract logically should entail a special form for the second, irrespective of the latter's nature, because of its link to the first obligation.

The next questions relate to the validity of the substituted and substituting contracts. Dear student, what would happen if the original contract is invalidated? What would happen to the original obligation if the latter agreement is invalidated?

In this regard, the provisions of the code dealing with novation do not provide a clear solution.

The argument that is based on the French legal system is that, the first condition for a novation is that the original or former obligation is itself should be valid (in respect of the conditions of formation of thy contract, vices of consent, object, cause, form, limitation...). As a consequence of this requirement of validity, the nullity of the first obligation will carry about the nullity of the second. For Example: A sells a part of his body to B for a medical transplant.

Then the parties agree to say that B, who cannot pay; will be granted a loan by A. The cause of the first obligation is immoral and unlawful; the second one - the loan has no valid cause. Thus, there is no valid novation.

However, this rule only operates automatically for absolute nullities. Relative nullities can be covered, as witnesses the institution of confirmation, which is a form of novation.

Regarding the new obligation also there is an argument that it has to be valid. If this second obligation is invalid, the substitution through novation cannot be implemented. For instance, A sells a house to B. A and B wish to enter a novation by substituting a loan for the amount of the sale. The normal consequence is that the sale contract disappears. But some time later, the court decides the contract of loan is void because it does not observe the formalities imposed by law. The second obligation is invalid, and the initial contract of sale reappears.

C. Effect of novation

The principal 'effect of a novation is the extinction of the main debt, which is precisely what the parties are looking for. On the other hand, the new debt has new characteristics, which is also what the parties are considering as their objective; the limitation time will be different for instance. But article 1827 of the Civil Code further sets out two far-reaching consequences.

In addition to the principal effect, as per article 1827 of the Civil Code, if the right of the creditor has been guaranteed by a real or personal security, such securities may not be transferred to the new obligation. However, if the creditor wants to retain the securities, he must expressly agree with the debtor in setting aside the application of article 1827(1) of the Civil Code.

Similarly, unless there is an express agreement otherwise, the creditor who enjoys preferential rights cannot involve these rights after the original obligation has been extinguished by

novation. Novation puts an end to such preferential rights that the creditor may have with regard to the original obligation.

In case of novation, the extinction of the original obligation results in extinction of the accessory obligations. For instance, interest due as a result of the original obligation may not be claimed after novation. But the parties may expressly agree otherwise. This is logical because such interest was linked to the original debt, and has no bearing on the new one. For instance, A leases a house to B for 400 Birr a month, and the lease contract stipulates that any delay carries a 10% interest. C has guaranteed a pledge for the payment of back rent. However, B has difficulty in paying an accumulated unpaid debt of six months, or 2,400 Birr plus 240 interests. The parties decide to go on with the lease but to change the arrears in rent into a loan. The consequence of the novation is that C is not held any more to secure the outstanding rent debt by the pledge (article 1827 (1) of the Civil Code), and that if the parties did not consider the interest, but only the capital, A loses any claim to the 240 Birr interest.

This example shows that entering a novation is generally in favor of the debtor and a dangerous situation for the creditor, who is waiving certain prior rights. This is why the code provides in both subparagraphs of article 1827 of the Civil Code that the creditor who accepts a novation may expressly reserve his right to maintain the securities and the accrued interest. But this will have to be stated clearly, or 1827 will play in case of doubt against the creditor. Furthermore, beyond the classical problem of burden of proof, the reservation must be made before or at the latest at the moment of the agreement of novation, if not it will be too late and the rights to securities and accrued interest will be extinguished by the novation.

Article 1830 of the Civil Code considers specifically the question of current accounts. One has to remind first of all the definition of a current account. A deposit account is an account where the holder of the account may only draw as much as he has already deposited. On the contrary, a current account is an account which records a succession of many credit and debit movements between the parties, which compensate each other. A current account may have a negative position whereas a deposit account should not.

Bearing this definition in mind, article 1830(1) lays the rule that such successive movements do not amount to a succession novation. In other words, they do not have an extinctive consequence on the amounts due, and for instance, sureties remain valid to cover the sums concerned. In other words, it is an exception. Article 1830(2) of the Civil Code indicates that the novation only appears where the account's balance has been calculated and acknowledged by the debtor. We are here in a new situation; the parties have made their calculations at the end of a series of movements and finalized an individualized debt. The traditional image is that these various positive and negative items are "molded" into one. There is however still a special exception to the general or extinction of sureties (article 1827 sub. I), which is given in article 1830 sub. 3. If an item (or movement) is granted a special security, the balance of the account is still covered by this surety, which in a way extends from the item it covered to the whole balance because the item is part of this balance (but within the limits of the security of course).

Section Two: Merger

Merger is the cause of extinction of obligation. Merger arises where one person in respect of the same debt becomes both creditor and debtor. In such cases the effect of merger is to put an end to the obligation, which in fact has become impossible to perform. The rationale for merger to be a ground for extinguishing an obligation is that one cannot be a creditor and at the same time a debtor with regard to the same debt. Under our law article 1842 defines what merger is.

Article 1842 of the Civil Code defines merger as the situation where the positions of creditor and debtor are united in the same person. An infrequent situation, the classical illustration of which is what happens when the debtor inherits the estate of his creditor, in which the debt was included. Another case is where a company redeems its own debentures: the latter are in the nature of a debt owed by the company, and so it is extinguished when the company buys it back. "Merger" is also commonly used to describe the situation arising when two companies

associate themselves to become only one; there again mergers happen, in the meaning of the fusion of the position of creditor and debtor of the same debt.

In cases of merger, there is one debt, which is extinguished when the position of the debtor and the creditor are merged in the same person. The phrase "in the same person" under article 1842 of the Civil Code may refer to either the creditor or the debtor or even a third party. The creditor or the debtor or even a third party may become both debtor and creditor with respect to the same debt.

The effect of merger, as stated, the obligation merged becomes irrecoverable. But it survives under certain aspects.

However, the merger shall not affect the rights which a third party may have in respect of the obligation, as said under article 1843 of the Civil Code.

Another sign of this imperfect" extinction is given by article 1844 of the Civil Code which provides for the revival of the obligation where merger comes to an end. This is the case for instance where the heir assigns his successoral rights amongst which are found a credit of deceased against him or a debt he had against the deceased. Also, when the heir, debtor, is declared to be unworthy, merger comes to an end.

UNIT FOUR: SET-OFF

Introduction

A part from the previous grounds of extinction of obligation, set-off is the other ground that puts an obligation to an end. Thus, this unit will focus on set-off as a ground for extinguishing obligations. You will also study the three forms of setoff: automatic set-off, contractual set-off and judicial set-off. On top of this, we will study the effects of such forms of set-off.

The provisions of the civil code dealing with set-off are articles 1831 through 1841.

Objectives

After you have successfully completed this unit, you will be able to:

- Explain set-off as a ground of extinction of obligation;
- Distinguish the three forms of set-off;
- Explain the conditions for those different types of set-off;
- Explain the effects of set-off.

1. Definition of set-off

The principle of set-off is dictated by good sense: where two parties have a debt against each other, it is easier to make one compensate the other rather than forced performance on each party. Thus, set-off amounts to the extinction of the lowest debt of the two. For instance, A owes B 1.500 Birr, whilst B owes A 1.000 Birr. Rather than force A to pay 1.500 Birr to B and expect 1.000 Birr in return, a set-off can be implemented where only A stands to pay 500 Birr to B, whose debt is extinguished.

Set - off is an institution which simplifies payments and economizes on the need for fiduciary money. A high level of institutional set-off is the sign of an active and developed financial system. For instance, banks can create between themselves set-off pools, where they confront the cheques drawn upon each other, so as to limit the amount of money transfers and ensuing costs.

Set-off is an exception to the prohibition of part payment stated by 1746 of the Civil Code. Such part payment occurs thus automatically as soon as the conditions for set-off are present.

Through set-off certain prohibitions regarding payments may be avoided. Prof. Rene David quotes the example where A owes B, a minor 1.000 Birr, whilst B owes 1.000 to A. Normally, because B is a minor, and therefore an incapable, he is not allowed to pay, nor is A allowed to make him a payment. But A may claim set-off and obtain the cross-extinction of the two debts.

Set-off is also a way of granting each party the equivalent of a preferential right of payment, even though he is a non-secured or ordinary creditor. Suppose the debtor is insolvent, and has only 1.000 Birr to his name to pay three creditors who each hold a 1.000 debt against him. The creditor who is in a position to compensate will in fact be advantageous. This situation knows in fact an important exception in the law of bankruptcy. In order not to advantage the creditor who may claim a set-off, the bankruptcy statement carries an automatic suspension of payments of the debtor's debts, and article 1029 (b) of the commercial code expressly prohibits

set-off. One can also say that a current account between traders is the ultimate illustration of a series of set-offs.

2. Types of set-off

Under Ethiopian law of contracts, there are three forms of set-off namely automatic set-off, contractual set-off and set-off by a court of law.

A. Set-off by operation of the law (automatic set-off)

A further way of extinguishing obligations is where the parties each have a debt against the other. The debts are said to be set off one another. The extinction will be as of right if the conditions required by law are present; this is the situation for legal set-off. Those conditions are positive conditions of set-off.

For automatic set-off (set-off by virtue of the law), there are three conditions under article 1832 of the Civil Code.

Firstly, both debts must either be money debts or relate to a certain quantity of fungibles of the same species. If both debts are not money debts or relate to certain quantity of fungibles of the same species, there can be no automatic set off. Set-off may not operate between specific goods or fungible things of a different nature. There is no legal set-off between a debt labeled in money and the delivery in payment of a material good, not between different material goods. In the same way there cannot be a legal set-off between obligations to perform a service (a haircut against the washing of laundry, for example), or not to perform, or between obligations to give (barter).

Secondly, both debts must be liquidated. This means the debts must be certain as to their amount. If one of the parties for various reasons challenges his debt, then this debt has to be liquidated by court of law. In such cases there can be no automatic set-off.

Lastly, both debts must be due. It means before the debts are due, there may not be set-off by operation of the law. However, a period of grace granted to a debtor under article 1770 of the

Civil Code does not bar the application of automatic setoff. In such cases the debt is considered to be due even if the court granted the debtor a grace period for the discharge of his obligations.

But once a debtor decides to claim the existence of set-off, and provided the positive conditions are present, the other contracting party cannot oppose it. Set-off operates through the effect of the permission granted by the law, and the reciprocal extinction of debts operates. In other words, the party informed by the other that a set-off is possible and desired has no defence; in practice he does not even have to accept and may remain silent.

The *contrario* consequence of the rule laid down by article 1838 is that a party may decide not to claim set-off, even if the conditions for a set-off are present. The code respects contractual freedom. Article 1839 and 1840 (2) of the Civil Code are two extensions to this provision. The first states that a party may waive a right to setoff, and even in advance, probably through a contractual clause. The second indicates that parties may decide under which conditions set-off may operate: in the present context they may for instance decide to restrict its scope by imposing upon themselves strict conditions than the ones required by law.

In some cases, however, even when the positive conditions are satisfied, there may be certain debts that cannot be made subject matter of set-off. The law lists such debts under the negative condition of article 1833 of the Civil Code.

The first situation listed under article 1833(a) of the Civil Code relates to debts having special nature requiring the creditor to be actually paid. The law gives an enumerative list of such debts like in cases of maintenance owed by the person obligated or wages which are necessary for the livelihood of the creditor and his family. For instance, pensions and alimonies may be included by applying the principle of interpretation by *apari*.

This exception is based on the idea that the creditor of such special obligations has an absolute need of the money concerned simply to survive. Therefore an employer cannot set-off the payment of wages with the money the worker has borrowed from him. Or more precisely, if we refer to article 2546 of the Civil Code, the prohibition is limited to what is actually necessary for the livelihood of the worker and his family. Where a part of the salary can be assigned or attached for the payment of damages, this part may be used as a set-off. Thus the protection of salaries is relative.

This last limit allows us to consider that the expression "special nature" of the obligation opens a right for the court to check, upon the application of a party, which is the exact scope of the limit put to the set-off. If a person claims \$10,000 a month which were granted under the heading "maintenance" by contract, the court is probably entitled to decide that this sum far exceeds what is reasonably required for such person to live normally, let alone survive. The court will then allow set-off to happen up to a certain limit it will fix.

The drafting of this provision is not limitative, and it is open for the protection of any type of debt designed to ensure the livelihood of a person. But the expression "special nature" and this non-limitative approach should lead to the interpretation that set-off is prohibited in every case where the law provides for a special ground for the impossibility of an attachment. The rationale is that in each of these cases, there is indeed a "special" interest to protect, such as for the income of minors (article 274 of the Civil Code), legacies (article 931 of the Civil Code), life annuity (article 2509 of the Civil Code).

The second situation listed under article 1833 (b) of the Civil Code relates to a debt owed to the state or municipalities. Here the state and municipalities must be construed narrowly to refer to those listed under articles 394 through 397 only. It should not be interpreted liberally so as to apply to public enterprises owned by the state in which the state operates in the economy as a private individual or firm.

This prohibition is perfectly understandable, because debts owing to such bodies are in the public interest and answer the needs of the collectively. One could say further that the state or

municipality is not strictly speaking the creditor, but more the receiver or collector of funds which he then has to employ to the benefit of the public. Finally, set off would run counter to principles of public account.

Sub article c of article 1833 of the Civil Code incorporates idea that anyone who has unjustly deprived of a thing from another has a duty to restore it back to its lawful possessor. If the law were to allow set-off in such cases it would be justifying an unjust act. Set-off may of course only be claimed between parties who hold good faith debts against each other. Where there is a dispute as to the undue possession of a claim by a party -an extreme example being where this party is accused of theft of the other's property - it would be too easy to advance a set off to solve the situation. Hence, the exception stated under article 1833 (c). This provision is designed to avoid parties attempting to do justice themselves rather than resorting to appropriate channels.

The last negative condition under article 1833 of the Civil Code relates to a situation where one of the obligations is to return a thing given on deposit. This provision decides that set-off may not be claimed where one of the obligations derives from a contract of deposit. Here, the object of the contract is to keep the thing momentarily, and it would be an abuse if it were to be used as an argument to impose a set off. Prof. Rene David, in his commentary, goes beyond the only situation of deposit and also mentions the loan for use. He justifies the solution for these two situation in as much as these are “gratuitous contract and thus require a high degree of fiduciary responsibility. The question is therefore open whether the courts should extend this prohibition of set off to all or at least other gratuitous contracts.

Once the conditions are satisfied, article 1836 of the Civil Code provides that there will be automatic set-off which results in extinguishing the debts each other from the day when they both exist and up to the lesser amount of the two debts.

You must note that although set-off occurs when both debts are liquidated and due, this does not, however, mean that this very fact by itself results in automatic set-off. Article 1838 of the

Civil Code provides that set-off will be effective only when it has been asserted by the debtor. Thus, there cannot be automatic set-off unless the debtor, upon being requested by the creditor to discharge his obligation, asserts that he considers his debt set-off with the one owed to him by his creditor.

B. Contractual set-off

In accordance with the principle of contractual freedom, the civil code provides also for the possibility of a contractual set-off next to the legal modes of set-off. This by definition will only be of interest in situations where legal set-off cannot be implemented. For instance where more than two parties are involved, or where debts are not liquidated, or not due. This is an important degree of flexibility in the possibilities of achieving set-off, provided by article 1840 (1) of the Civil Code.

We mentioned earlier that this contractual freedom could extend to a waiver in advance to the right to claim a set-off (article 1839 of the Civil Code). Conversely, parties may agree to make set-off easier, by relaxing the conditions imposed by law. This is the reason for the provisions of article 1840 (2) of the Civil Code.

But one must however not forget that contractual freedom is not absolute. There are mandatory or "public order" provisions (article 1731 of the Civil Code) which govern the payment of debts which are as many limitations to a contractual set off. For instance, it would not seem admissible to see a contractual agreement derogate from the prohibition in the area of the special nature obligations of article 1833 (a) of the Civil Code.

C. Judicial set-off

Judicial set-off as per article 1841 of the Civil Code offers also a possibility for the loosening of the rules governing legal set-off. It opens two possibilities where one of the debts is not liquidated. The court may either declare by a constitutive judgment - that set-off has already been achieved up to the amount which is already indisputable (article 1741(1) of the Civil Code), or, if the unliquidated debt may be easy to liquidate, they may postpone the

sentencing of the other party to pay his debt until the moment where the cross-debt is calculated (article 1841(2))

One will note of course that such a judicial set-off requires first of all a court intervention. Second, this is only an option open to the court and by no means a right of the creditor of the unliquidated debt. Judges will rule out of considerations of expediency and equity. Third, the option is only open in respect of liquidity; the other conditions, and specially the fact that the debt is certain are not affected; the debt has to be certain and the only remaining difficulty can only be in respect of its final amount. Finally, the option is only open, in the second case "without delay" (English version) or "within a brief period of time" (French version). What is meant is that the possibility of a set-off must not be used by judges to delay judgment for more than a short time; if not it would be too easy to paralyze proceedings where a creditor wants to get a legitimate payment.

A last point is to know when judicial set-off is supposed to be achieved. It seems difficult to make it work retroactively. So the solution seems to be that judicial set-off operates on the date of the judgment, unless when the court decides otherwise, which leaves it a certain margin of appreciation.

3. Effect of set-off

The principle effect of set-off is the reciprocal extinction of the debts involved, as indicated under article 1836 of the Civil Code. The extent of the extinction is the amount of the lower of the two debts, because generally the two debts are of an unequal amount. The effect is that only one debt remains. The amount of which is equal to the difference between the two pre-existing debts.

One cannot stress too much the importance of this extinctive effect. The lesser debt disappears, and with it all its accessories, such as sureties or accrued interest. Limitation periods are interrupted. But the remaining debt remained secured, if a surety was provided for.

Dear students, what solutions can you think of in cases where several debts liable to set-off owe from the same person?

A specific situation may appear where one party has several debts to pay to the other. Which one will be extinguished by priority? Article 1835 of the Civil Code refers back to the rules governing the appropriation of payments, stated under articles 1752-1754 of the Civil Code. For instance, A owes 3.000 Birr to B. B owes A two debts of 2.000 and 1.500. But the last one has generated 200 Birr costs and 289 Birr interest. The 3.000 will first reimburse the 200 Birr costs, then the 286 Birr interest (article 1752 of the Civil Code). So there will remain 2.511 Birr which A may assign to one or the other of the two principal debts (article 1753 of the Civil Code). In the event of an absence of indication, the allocation will be proportional (article 1754 of the Civil Code).

Article 1837 of the Civil Code sets out an important limitation in respect of third parties: they may not see their rights affected by the set-off. This is the case where a third party has a claim in respect of one of the debts, which cannot be affected by the set-off, which is simply a mode of payment. For instance if one party's debt is assigned to, or attached by a third party, this makes the set-off impossible. For instance, A owes B 1.000 Birr. B's creditor C gets a court order forbidding B to pay A. Later A acquires a right against B for 1.000 Birr. Set-off cannot take place between this right and B's debt to A. Set-off would prejudice the rights of the third person, C, who has acquired a privileged position through attachment of the right that B, his debtor has against A.

Unit Five: Limitation of Actions

Introduction

The last unit of this module deals with limitation of action as a ground for putting an end to obligations. The issues related to limitation of actions are provided under articles 1845 through 1856 of the Civil Code.

This unit deals with the nature of prescription, period of limitation of actions on contracts, calculation of period of limitation, grounds of interruption of period of limitation and its effect and the effect of limitation of actions in general.

Objectives

- Discuss limitation of action as a ground of extinction of obligation;
- Explain the calculation of period of limitation;
- Discuss the causes of interruption of period of limitation and their effects;
- Explain the power of the court in awarding judgment on limitation of actions.

1. Limitation of Actions in General

Before going to the civil code provisions dealing with limitation of actions, you need to understand what prescription is. "Prescription is defined as a manner of acquiring the ownership of property, or discharging debts, by the effect of time, and under the conditions regulated by law". Each of these prescriptions has its special and peculiar definition. The prescription, by which the ownership of property is acquired, is a right by which a mere possessor acquires the ownership of the property which he possesses by the continuance of his possession during the time fixed by law. The prescription, by which debts are released, is a peremptory and perpetual bar to every species of action, real or personal when the creditor has been silent for a certain time without urging his claim.

Thus, in this regard, there are two types of prescription. These are acquisitive prescription and liberative prescription. The acquisitive prescription is type of prescription by which the ownership of property is acquired where a person possesses a thing for a certain period of time fixed by law and fulfilling the requirements of the law. (See Art. 1168 of the Civil Code).

On the other hand, liberative prescription relates to a situation where a debt is extinguished because the creditor failed, for a certain period of time fixed by law, to assert his claim. Limitation of actions falls under this category.

The idea of limiting actions is justified out of several reasons. Where a creditor fails to enforce his right over a certain period of time, the safety of legal relationships will call for setting a time limit. Perpetual actions would create too much legal uncertainty. Furthermore, if the creditor does not act for a long time, it is to be assumed that his action is extinguished by payment or some other form of extinction – remission for instance – or that he has waived his right. On the side of the debtor, one has to ensure that his situation is stabilized after the passing of a certain period of time, rather than let him live in a perpetual state of instability. Limitation is also a simple technique to establish the extinction of obligations as it rests only

on the factual element of the passing of time, and it also makes easier the burden of proof for the party claiming it.

Coming to our law, Art.1845 of the Civil Code fixes a ten years period after which actions are barred by limitation. The phrase "unless otherwise provided" under article 1845 of the Civil Code must be seen carefully. The parties can't agree to shorten or extend the period fixed under article 1845 as such agreement is prohibited by law (article 1855 of the Civil Code). The legal limitation period is of ten years.

The law may, however, provide a shorter or longer period than general period provided in this article. See, for instance, articles 165 of the pro No 377/2004,603 and 648 of the Commercial Code which provided a different period from the one fixed by article 1845.

In cases where the special law does not fully resolve the issue, the general period fixed by article 1845 will apply. This provision lists three types of actions: actions based on the non performance of a contract; actions for the performance of a contract; and actions for the invalidation of a contract. Such actions shall be barred if the creditor fails to assert his claim within ten years. Thus, limitation enables to: refuse the performance of a contract; avoid having to pay for the consequences of non-performance; or avoid seeing the contract invalidated.

Dear student, how do you see the ten years period for actions of invalidation under article 1845 and two years period of limitation for actions of invalidation of a contract under article 1810 of the Civil Code? Does article 1845 apply to invalidation of a contract which is void?

Regarding those questions Rene David explains the application of article 1810 in the following manner. The only case where the limitation provided under article 1810 is likely to be important is where the invalidity results from a vice in consent since normally this is the only case where the ground for invalidation would disappear. Since other cases are not covered by article 1810, their solution depends on the general provision on limitation of actions. Therefore, the invalidity facts done in performance of the contract can be invoked as long as the action to invalidate these acts is not barred by the limitation that extinguishes all actions". Thus, it seems that Rene David up holds the view that article 1845 applies to invalidation of contracts which are void.

This being said, four questions may be raised in respect of the period of time necessary to achieve limitation of a contractual right: the starting point of the period, its calculation, its interruption, and finally the interpretation of article 1854 of the Civil Code on bad faith.

2. Starting point, Calculation and interruption of Period of Limitation

A. Starting point of limitation

The starting point of the limitation period is fixed by article 1846 of the Civil Code by reference either to the day when the obligation is due, or from the day when the rights existing under the contract could be exercised.

The first starting point is based on the idea that the creditor cannot act until the debt is due. This is so because limitation of actions extinguishes an obligation due to the failure of the creditor to assert his claim in due time. Before such date, the debtor is not late in executing his obligation. But, from the instant the date agreed is not respected, the creditor has the right to act and the limitation period starts to run. For example a limitation cannot start running until the contractual time-limit for the delivery of a good has arrived. Of course, there could be exceptional situations where this may not hold true. In case of conditional contracts, it is only from the time of the occurrence of the event that the period of limitation will start to run.

The second possibility for the start of the limitation period is to consider the time when "the rights under the contract could be exercised" which for instance covers the situation where the contract is only enforceable after a notice. In this situation the ten-year period does begin from such contractually imposed notice. The formulation also covers many other situations. Such is the case where a suspensive condition was stipulated, or a specific term provided for, or again until the mistake opening an invalidation action was known to the victim of the mistake, where an eviction was implemented, and so on. These situations are illustrations of this general rule that limitation can only start to run from the day when the contractual right could effectively be exercised.

A special provision was necessary for annuities. Article 1847 of the Civil Code provides for the beginning of period of limitation with regard to annuities. This provision deals with a situation where there is a contractual obligation to pay life or perpetual annuities. (See article 2490 & ff of the Civil Code). These are different from the legal obligation pay maintenance that does not arise from contract; rather from the law. It does not apply to periodical payments like bank loans, rent.. .

The idea generally advanced here is that one does not want the debtor to be presented after a certain number of years with an enormous debt to pay. This explanation is moderately convincing. Another reason is that such annuities are often related to maintenance costs, and here the rule is that such payments do not add up. Either the debtor really needs them or there is no reason to believe he will not stake a claim immediately, or if he doesn't, the presumption is that he can live without. In the event of annuities limitation starts to run for ten years from the date of the earliest unpaid annuity. This limitation is final, and it is not simply a case of losing a ten-year expanse of time: the right itself to the annuity is truly lost after ten year.

The provision considers the situation of a constant absence of payment from the first unpaid term. Suppose there is a two years interruption and then presumption, but no claim on the omitted annuities what should be the solution? We can consider here that each successive

payment is a cause of interruption, because they can be analyzed as installments paid by the debtor.

We have to underline here that this provision governs the limitation of the right to the annuity itself, and not the limitation of each installment of the annuity, which is covered by the presumption of payment of article 2024 (e) of the Civil Code, fixed at two years only.

However, there is another argument that the word translated by "annuity" is '*rente*' in French, which could also be translated by "pension". Thus we find the same idea under, for instance, article 2024 already quoted, 2094, 2154 of the Civil Code and specially 2490, which can even be extended to articles 813, 828, 1032 or 2095. The contention is that, from the context as well as from the commentaries made by Prof. Rene David, the word "annuity" cannot be restricted to the idea of the institution mentioned under article 2490. This would entail a far too restricted scope for the concept of limitation. On the contrary, the operative criterion seems to be a periodical due which for instance could extend to rent, alimonies, periodical expense ... etc... by periodical due, which means a sum of money which is certain, and due at regular intervals on the basis of a contract. In this respect the "annuities" do not appear to have to be "life" or "perpetual" annuities only. In the opinion of these individuals it can cover an annuity limited in time.

B. Calculation of limitation period

Calculation of the limitation period is the second difficulty in this area. One will refer usefully to the more general provisions regarding the calculations of delays (see article 1857 and following of the Civil Code).

Once the starting point is known the calculation of the ten-year limitation period is made daily, according to article 1848 of the Civil Code. For the action to be barred by limitation ten years must have lapsed without the creditor asserting his claim. Sub article one of this article provides that the period shall not include the day from which such period begins to run. Thus, you start counting the ten years period a day after the obligation becomes due and the last day

of the period must have lapsed without the creditor take any action. The rule of calculation is to omit the initial day from the count (*the dies a quo*, article 1848 sub. 1 and 1858 of the Civil Code) and to end the period at the very end of the last day of the period (*dies ad quem*; articles 1848 sub. 2 and 1860 of the Civil Code). However, if the last day is a holiday at the place of payment, then the action will be barred on the next working day.

In this regard, the English version doesn't qualify "holiday" as a legal holiday while the Amharic version does. You must also note that the holiday must be with respect of the place of payment. If the last day of the period is a holiday at the place of formation of the contract but not at the place of payment, the period of limitation will not be extended to the next working day.

As in other causes of extinction of obligations, the logical consequence of the extinction by limitation is that the accessory claims of the right concerned also disappear, as stated under article 1849 of the Civil Code. This article states that if the principal claim is barred by period of limitation so does the collateral claim. The creditor may not argue that interest started owing after the principal debt and therefore it shall not be barred with the principal debt. This article clearly states that interest and all collateral claims shall be barred if the principal claim is barred.

A special situation is made of pledges by article 1850 of the Civil Code, by allowing the creditor whose claim is secured by a pledge to exercise the rights deriving from the pledge, notwithstanding that the claim is barred. Note that this provision does not extend for instance to a mortgage, lien or antichresis. If the debt is secured by pledge and the claim of the creditor is barred by limitation, he may still enforce his right on the pledge. So the creditor may recover his claim from the proceeds of the sale of the pledge. What he may not claim is over and above the value of the pledge. If the proceeds of the sale do not fully satisfy the debt, he may have no further right.

C. Interruption of period of limitation and its effects

Article 1851 regulates the situation where the running of the limitation is interrupted. The period of limitation may be interrupted in two ways. The first is where the debtor acknowledges the claim, for instance by paying interests or an installment, or by granting a pledge or guarantees (article 1851 (a) of the Civil Code); the second is when the creditor brings an action to enforce his rights against the debtor. Article 1851 does not put the two causes of interruption on the same standing.

The list is not limitative for the debtor. Limitation is interrupted by any expression of his acknowledging the debt, and therefore even a tacit but unequivocal attitude is sufficient. Such is the case where, after having stopped some time, he resumes the payment of installments. The interruption is valid for the whole debt, even if the acknowledgement only concerns part of it. On the contrary the creditor has to bring a court action, and only this step may interrupt the limitation running against him. Especially no type of notice, summons, extra-judicial process, attachment or other proceedings are mentioned in this article. The creditor cannot simply adopt a tacit behavior. Furthermore, the provisions of article 1851 b) impose that the court action initiated does concern the precise right subject to limitation and no other.

The interruption is only achieved by a court action when the debtor is effectively notified of such action. But the creditor is not penalized if the court referred to is incompetent: he has clearly stated his will not to let his right be extinguished. One can analyze it, following the suggestion of Professor Rene David, as an official notice of default, which therefore should generally be considered as a valid means of interrupting a limitation period, and thus extend somewhat the scope of interruptive steps liable to be taken by the creditor.

The effects of interruption are listed under article 1852 of the Civil Code. The first is that the entire limitation period re-starts from the beginning on the date of the interruption. For

instance, an obligation falls due on November 25, 1992. The normal period of limitation is ten years later, or November 25, 2002. Suppose the creditor initiates a court action on November 25, 2000. The limitation is extended to November 25, 2010.

Interruption has as interesting consequence where the limitation period is less than the 10 years prescribed by article 1845. If the debt has been acknowledged in writing or set out by a judgment, the renewed term of limitation is ten years even if the initial one was shorter. There is a substitution of limitation periods.

D. Discretion of the court on setting aside of period of limitation

Article 1853 of the Civil Code gives the court the power to set aside the defense of period of limitation in cases where there is a special relation among the parties. For this article to be applicable, the following conditions must be met:

Firstly, the period of limitation has already run with out the creditor enforcing his claim;

Secondly, the debtor and creditor are linked by close relationship of parentage or subordination as in the case of husband and wife, servant and master, child and father;

Thirdly, the creditor failed to exercise his rights in due time on account of the obedience he owed or fear he felt of the debtor.

If these cumulative conditions are satisfied, the court may set aside a plea based on limitation. When the court set aside the plea which is based on limitation, third parties who guaranteed the payment of the debt are to be released.

Article 1853, in the words of Professor Rene David, states a rule that is unique to the Ethiopian code. This rule is an exception to limitation statutes: the defense of limitation may be rejected by the court because the creditor was prevented from asking for performance of the contract out of obedience or fear for a debtor, with whom he is bound by a link of

subordination or family relationship. Prof Rene David goes on to say in substance that this provision offers a measure of simplification because it avoids the need for another institution called suspension of limitation. Suspension in this meaning has the effect of breaking the limitation period, just as in the case of an interruption, but the difference is that when the cause for suspension disappears, the limitation does not run a new from the beginning but resumes from the point where it stopped.

Nonetheless, the wording of article 1853 of the Civil Code stresses that the protection is only an option open to the court ("The court may set aside.. .'), and is in no way an automatic protection, by opposition to other systems where the cause of suspension is a right granted to the person protected. The problem is the definition of what is a subordination or family link, especially if it is a "close" one.

Also, the assumption that specific rules suspending limitation, adopted in other legal systems, to protect incapables, servants or spouses in the initiation of actions against their guardians, tutors, masters or parents are based on the obedience or fear covers a wide series of situations of course, but not necessarily all of them. If they cannot prove fear or obedience and the burden of proof is on the person asking for the limitation to be set aside – but only simple ignorance, the court will have to dismiss their application.

Article 1854 of the Civil Code lays out a rule which may seem quite surprising to wit, that even a party in bad faith may plead limitation. So a creditor in good faith may see his claim dismissed by the court even if the debtor is "without scruples", or shows "the most obvious bad faith".

Prof. Rene David explains this provision by saying it is a general provision without the whole institution of limitation would be undermined. This is true in the sense that a creditor may prove relatively easily that a debtor is in bad faith (for instance, that he served him a summons to pay so that the .debtor is in bad faith claiming limitation, which amounts to say he was not

informed and the creditor didn't do anything about the absence of payment). The creditor therefore should not on this simple ground block the use of limitation. It remains that a provision which seems to condone bad faith is somewhat unsatisfactory.

Furthermore, there are situation in foreign case law where attitudes on the part of the person claiming the benefit of limitation have been sanctioned as unacceptable. Such is the case of the economically powerful and well informed debtor who lets things last a long time by his maneuvers (without however ever admitting the claim, see article 1851 (a) of the Civil Code, requests for information, false information, oral promises *r''* etc... until the limitation period has expired. The bases for such decisions is the principle that „fraud corrupts everything", or again the theory of abuse of right.

Though article 1855 of the Civil Code mandatorily prohibits waiver of limitation by prior agreement, article 1856 of the Civil Code provides that the debtor may waive limitation after it has become effective. If the debtor fails to plead limitation at the earliest possible, the law presumes that he has waived them. (see article 244 of the Civil Procedure Code).

Sub article two of article 1856 further states that the court may not of its own motion have regard to limitation unless it has been raised by the debtor. This is so because limitation is not, in the words of article 244(3) of the Civil Procedure Code/ "a ground of objection such as to prevent a valid Judgment from being given". The reason for allowing limitation as an objection is to benefit a party and failure to raise it constitutes waiver.

3. Effect of limitation

The principal effect of limitation is of course the extinction of obligations, an extinction which entails that of all the accessories of the debt. But this limitation has to be requested, or rather more frequently, raised as a defense against the creditor who has initiated a suit for payment or performance of the contractual obligation. This is also illustrated by the fact that limitation can be waived, after it has become effective (article 1856 sub 1), whilst the court may not raise the issue of limitation unless it is pleaded by one party (article 1856 sub 2.). Waiver of limitation

can be tacit, as illustrates the rule fixed by article 2166 of the Civil Code, which states that the payment of a debt extinguished by limitation is nevertheless valid and that the debtor cannot claim a refund.

In respect of third parties, we find general rules already considered for other causes of extinction of obligations. Limitation cannot be waived by the debtor if it increases his insolvency to the determinant of third parties (*actio pauliana* of article 1995 of the Civil Code). Any joint debtor may oppose the defense of limitation (article 1901 of the Civil Code), whereas any interruptive act made by one creditor benefits all other joint creditors (article 1912 of the Civil Code). Proceedings initiated against the principal debtor interrupt the limitation in respect of the guarantor (article 1929 of the Civil Code).

MODULE TWO

SPECIAL TERMS OF CONTRACTS/OBLIGATIONS

Introduction

Dear student, welcome to the second Module of the course entitled "special terms of contracts/obligations". So far, we have, I hope, a clear understanding about extinction of obligations. This module lists a number of specific clauses which may be added to the general rules, or in other words special modalities of contracts. One must stress that the variety of such clauses is more or less, infinite and reflects the flexibility of law of contracts echoing the principle of contractual freedom. This implies that, subject to the mandatory provisions of the law, the parties can freely determine the terms of their agreement. In this regard there are some contractual provisions that are frequently used and governed under articles 1857 through 1895 of the Civil Code.

In the first *part*, you will study time provisions, the second part covers conditional *contracts* part three deals with alternative obligations and the remaining two parts cover earnest and provisions as to liability.

Objectives

At the end of this module you will be able to:

- Explain time provisions;
- Discuss conditional contract and their types;
- Explain alternative obligations;
- Define earnest and its effect;
- Discuss contractual provisions as to liability.

Unit One: Provisions as to Time or Term

Introduction

The general rules examined up to now are based on the assumption of an immediate performance of the contract. But of course this is far from being the general situation. It is common that one or all of the obligations under the contract are to be performed some time after the formation of the contract. Performance may be delayed in time, or the contract itself may provide that the parties' intention is to perform the contract over a given period of time. Thus, a very frequent provision is the one where the parties decide to give a limit in time to their contractual relations.

This unit deals with cases where the parties stipulate in their contract a certain time for the performance of their obligations. Accordingly, a contract may provide that performance should be effected on a given date, or in so many days, weeks or months, or at the beginning, middle, or end of a particular month; or before a particular days or even after a given year. In this regard, Art. 1857 of the Civil Code sets guide lines or general principle on time provisions as to how time provisions are calculated.

Objectives

At the end of this unit, the student will be able to:

- Calculate the period of time when the date is fixed in terms of days, weeks, months and years;
- Identify the person who benefits from time provisions;
- Explain the rights and duties of the contracting parties.

NB Regarding the usage Of time provision and term there is a difference among scholars. Nonetheless, in this unit I have used time and term interchangeably.

1. The Calculation of Terms

Where an obligation is to be discharged or another act of a legal nature is to be performed after a certain period time from the date of the formation of the contract or any other date, such period is to be calculated by reference to articles 1858 through article 1869 of the Civil Code.

It may be the case that the contracting parties may have set the time of performance in days. In such cases, article 1858 of the Civil Code provides that the obligation becomes due on the last day of the period. In calculating the period, the day of the making of the contract may not be included. Accordingly, where the term is fixed in days, one does not count the day of conclusion of the contract, and the term expires at the end of the last day of the term. For example, the debt has to be paid within ten days from Sene 20. Sene 20 does not count, and the term expires at the end of Sene 30.

Where parties have fixed that the obligation shall be due in so many weeks, then the obligation becomes due on such day of the last week which corresponds by its name to the day of the conclusion of the contract (see article 1859 of the Civil Code). In other words, if the term is fixed in weeks, article 1859 lays down the rule that the term falls at the end of the day (Monday to Sunday) in the last week which bears the same name as the day of conclusion of the contract. For instance, the contract is concluded on the Wednesday at 11.00 A.M. for a three week period. The term arrives on the last minute of the Wednesday of the third week. Accordingly, what should be given emphasis is the name of the day of the making of a contract.

However, where the parties fix the time of performance in so many months, article 1860(1) of the Civil Code states that the obligation-becomes due on such day of the last month which corresponds by its number to the day when the contract was made. Thus, if the term is fixed in months, article 1860 refers to the day with the same numeral as the one of the conclusion of the contract. For instance, if the contract is concluded on Tir 23 for six months, the term is Hamle 23, at the end of the day.

The problem, however, is that you may not always find days having corresponding numbers. This is so particularly with regard to Gregorian calendar. Some months have thirty days, others have thirty one and February has either twenty eight or twenty nine. Similarly, there may be a similar problem in the case of a period fixed in accordance with the Ethiopian calendar. This may arise with respect to the month of pagume which has either five or six days. Thus, each calendar has its specificities, which article 1860 caters for.

To avoid the problem in the Gregorian calendar, article 1860(2) of the Civil Code states that where there is no day in the last month that correspond to the day of the making of the contract the obligation becomes due on the last day of the month. With respect to the problem of pagume in the Ethiopian calendar, the thirteen month is considered to be non-existent. (See article 1860(3) of the Civil Code). Thus, in respect of the irregular lengths of Gregorian calendar months, the rule is to choose the last day of the last month when numerals do not coincide. In respect of the month of Pagume, the rule is even easier, one does not count it.

Let us illustrate with examples. 1) Three months from August 31 will be November 30, because November 31 does not exist in the Gregorian calendar. The overall length will be $30 + 31 + 30 = 91$ days. 2) Three months from Sene 30 will be calculated to end on Meskerem 30. The overall length will be 30 (Hamle) + 30 (Nehase) + 5/6 (Pagume) + 30 (Meskerem) = 95/96 days.

Dear student, as we said, thirteen month, pagume is not to be taken in to the calculation of period fixed in months. But when is the contract said to have been formed in this case? Is it on that day of the month Meskerem as corresponds by its number to the day of the making of the contract or on the first day of Meskerem?

In this regard, the law does not give us a clear answer. But Prof Rene David says that where ever a contract is concluded on the month of pagume, it is deemed to have been concluded on Meskerem one. Thus, if the period starts during Pagume, the calculation will in fact begin as from Meskerem 1. However, this problem happens when the date of performance of a contract is fixed in terms of months, not in days or weeks.

Some time parties may not fix the period by stating that it will be due after such months. Rather they may fix the period by stating in their contract that the obligation has to be discharged at the beginning, in the middle or at the end of a certain month. In this case it is deemed to expire at the first, fifteenth or last day of that month respectively. Accordingly, if the wording of the term is "at the beginning of the month", it is deemed to be on the first day of the relevant month; if it is "at the end" of the month, it is deemed to be on the last day of the month; if it is "in the middle of the month", it is deemed' to expire at the end of the fifteenth day. (See article 1861 of the Civil Code.)

After calculating the period with the relevant provisions of articles 1858 through 1861 of the Civil Code, the last day of the period may be a holiday at the place of payment. In this regard, article 1862 states that the obligation becomes due on the next working day. However, this provision doesn't qualify the "holiday" to be a "legal holiday". No distinction is made between an official or non-official holiday, between religious and non-religious holidays. It is sufficient that it is a holiday in such place, a question of fact the court may have to check if it is disputed. The term may be extended by as many days as the remaining length of the holiday. Also, the scope of application of article 1862 of the Civil Code is confined to articles 1858 through 1861. In other words, this provision in respect of holidays cannot be applicable to the situation considered under article 1863.

Also, there may be a situation, where the parties have agreed that the obligation is to be performed with in a certain defined period of time pursuant to article 1863. Article 1863 of the

Civil Code indeed provides that where the term is specified as giving the debtor a certain Period of time to perform his obligation, he may do so at any moment before the arrival of the term. In this regard, the debtor is required to discharge his obligation prior to the expiry of such period. In such cases, it is for the debtor to determine the exact time on which he will perform within a certain defined period of time pursuant to article 1863. In this regard, the debtor is required to discharge his obligation prior to the expiry of such period. In such cases, it is for the debtor to determine the exact time on which he will perform his obligation unless the circumstances imply that the choice is to be made by the creditor.

In such cases, article 1862 does not apply. An attempt to use the provision of article 1862 if it happens that the last day of the period is a holiday would be an expression of bad faith, because the undertaking is to perform effectively during the period, and therefore take the minimal precaution of avoiding a holiday, which is detrimental to the creditor.

Regarding choice of performance, the debtor has the right to choose the exact date of performance, and of course he will choose what is most favorable to him, unless circumstances show that it is for the creditor to choose the date. So, even when the last day of the period under article 1863 is a holiday, the obligation must be discharged on that day and not on the next working day. For example, A and B agree on a contract of sale of wheat, for B to take delivery when A has cut the wheat. It is for A to decide when the wheat is cut, i.e. when it is ripe. If the parties state that B will take delivery after the crop when his lorry is free, circumstances of the contract show it is for him to decide of the day of delivery.

Finally, where the parties agree on an extension of the term, article 1864 decides that the new period of time starts to run from the first day following the expiry of the previous period. The parties may vary their contract with respect to the time of performance as per article 1864 of the Civil Code. This provision governs cases where the parties by agreement extend the time of performance, but not by the court pursuant to article 1770 of the Civil Code as a grace period.

Thus, where the parties have varied their existing contract by extending its time of performance, the new period will begin to run from the day following the day on which the original period expires. This, however, is so where the parties have not agreed otherwise. For example: a three month term expires on Miazia 6, 1999. The parties agree to a two month extension on yekatit 30, 1999. The period starts on Miazia 7 and ends on Sene 7, unless parties agreed otherwise.

However, the situation is more difficult where the parties have defined a term to their contract, but without agreeing on the way to calculate it. For instance, a loan is granted, to be repaid "when the debtor can afford to repay". It may be also the situation where there is no proof as to the date of term of the obligation. For instance a loan was granted and nothing said as to the day for refund. How will the court solve the difficulty?

It will lead an investigation into the conditions of the contract and try to identify the will of the parties through documents, affidavits, witness statements ... etc ... If it cannot, it will have to decide itself in accordance with the circumstances of the case, and will probably rely on an element such as the "reasonable" term in consideration of the contract considered.

2. Benefit of Time

The other issue worthy treating is benefit of period of time. A term is a –clause which- may benefit either party or both of them. For instance a term for the effective payment of the price in a contract of sale is in the interest of the debtor who does not have to pay immediately. An extinctive term is generally in the interest of the creditor. But in certain cases both parties derive a benefit from the stipulation of a term; this is the case where a bank loans money to a debtor because the debtor does not have to pay immediately, whilst the bank is entitled to interest on the money lent as long as the loan lasts.

Accordingly, the significance of a time provision differs according to whether it was included in favor of the debtor, in favor of creditor alone or in favor of both parties. To solve the difficulties, that may arise, the law takes a rebuttable presumption that the time is fixed for the benefit of the debtor. However, this presumption may be rebutted either by invoking a legal

provision, the parties' agreement or by proving on the basis of circumstantial evidence that the time provision was put in exclusively for the benefit of the creditor or for the benefit of both parties.

However, it is easy to note that article 1865 of the Civil Code fails to include the situation where "the provision is fixed for the benefit of both parties". But it should have been included. One example where the time is fixed for the benefit of the creditor is the case of contract of deposit as per article 2779 and 2786 of the Civil Code. In this case, even when the time fixed in the contract, has not reached, the bailer may claim the thing deposited from the bailer. In considering period of time fixed for the benefit of both parties you may take construction contracts.

Coming to the effect of benefit of time, where the period of time is fixed for the benefit of the debtor, then the creditor may not demand performance prior to the expiry of the agreed period of time. The debtor may, however, renounce his right or forfeit it. Where the period of time is fixed for the benefit of both parties, logically, then the consent of both parties is required for there to be performance prior to the lapse of the agreed period of time.

In case where the period of time is fixed for the exclusive benefit of the creditor; the law imposes a duty on the creditor to give, where necessary, reasonable period of time for the debtor to discharge his obligations. (See article 1867 of the Civil Code.)

Thus, the above considerations must be kept in mind when addressing the issue of waiver of the benefit of a term. Who is entitled to waive the benefit of a term?

The contract has first to be examined. It may specify for whose benefit the term is stipulated. If it is in the exclusive interest of a party, this party may waive it and perform the obligation (suspensive term), or terminate it (extinctive term). The reverse rule is applicable: where the term is not in the exclusive interest of a party, it may not be unilaterally waived, because this would prejudice the other.

If the contract does not specify anything, articles 1865 and 1866 of the Civil Code then direct the court to examine the circumstances under which it was concluded. In the above example of the loan made by a bank, it is not necessary to state that the term is in the interest of both parties; this derives from the contract itself. The borrower cannot be allowed to waive the term of the contract of loan unilaterally by imposing an anticipated refund, because in acting in such a matter he would deprive the bank from collecting interest on the money loaned to him. This is the *acontrario* logical consequence of the provisions of article 2482(2) of the Civil Code. But the law may also decide explicitly that a term is to benefit both parties, such as under article 2420(1) of the Civil Code, in the case of a contract of supplies.

But special laws might also decide that a term is designed to profit a given party to the contract. As an illustration we can refer to article 2786(1) of the Civil Code in respect of bailment, which states that the bailor may claim the return of chattels at any moment, unless a fixed term is provided for the bailee. A similar legal provisions exists in favor of the lender under article 2772, sub 2 of the Civil Code.

If neither the contract, nor law, nor circumstances allow identifying the beneficiary of the term, article 1865 of the Civil Code decides that such term is deemed in favor of the debtor. This presumption is a simple or rebuttable presumption. The debtor is then allowed to waive the benefit of the term unilaterally and to discharge his obligations before the agreed term arrives (article 1866 (1) of the Civil Code). This waiver is final, and payments made cannot be recovered (article 1866 (2) of the Civil Code). But here again special legislative rules may confirm this prerogative of the debtor, such is the case where a loan without interest is concluded (article 2482, sub. 2 of the Civil Code).

The *acontrario* consequence of the previous rule is that a creditor may only be granted the right to waiver of the term through an explicit provision in the contract, stating furthermore that it is in his exclusive interest. If this is not the case, the term will be deemed at the minimum in the common interest of the parties and the creditor barred from waiving it. But if

the conditions of an exclusive waiver are set out for the creditor, he may indeed ask for an anticipated performance of the contract, as article 1867, sub. 1 of the Civil Code confirms. But this situation, although provided by the contract may be detrimental to the debtor. Hence, the provision of article 1867(2) imposes on the creditor to grant, where necessary, a reasonable period of time for the discharge of the obligation.

What is necessary and what is a reasonable period of time are questions of fact which will be decided upon by the court in the event of a dispute.

In general, with regard to waiver by the debtor, article 1866(1) provides that where the benefit of time is that of the debtor's, then he may discharge his obligation before the due date. Such waiver entails that the debtor may not claim recovery of what he has given by way of performance as an undue payment under article 2164 because the debtor has paid what he owed. Apart from this, the debtor who has waived his benefit of time may not demand counter performance from the other party before the due date. This explains that a payment or performance made in advance by the debtor is valid, even if it is made before the term granted in the contract. One assumes he has waived his right to benefit from such term. This is precisely set out under article 1866 (2), a provision which of course can only concern suspensive terms. Note that this is an explicit exception to the rule set out generally in respect of undue payments under article 2164 of the Civil Code.

There is forfeiture of benefit of time given for the debtor. Article 1868 provides two causes of forfeitures. These are judicially established insolvency and diminution of securities.

The first is where the debtor becomes insolvent. By definition, there is no or little interest to grant him the continuation of the term (subject to periods of grace) because he is supposed not to have enough money to pay. On the other hand, it would be unfair to the creditor limited by such a term to be barred from any action whilst the other creditors take part in the bankruptcy suit.

Regarding the first ground, the word "established under article 1868" indicates that the debtor's insolvency has been judicially established. Insolvency is judicially established by a decree in bankruptcy or by the levying of a fruitless execution by a creditor of the insolvent.

This excludes insolvencies by reputation and those that consist, example, in the mere fact of not paying one's creditors. In this regard, read article 1027 of the Commercial Code.

The second situation where the debtor forfeits the benefit of time is where he reduces the value of the securities given by him to the creditor. In this regard, Prof. Rene David states that "if the securities given by the debtor have been lost or reduced in value by something for which the debtor is not responsible, the debtor does not lose the benefit of the time provision and he does not have to furnish new securities to the creditor". This shows that the condition of the reduction of the securities granted by the debtor supposes of course that such reduction is attributable, directly or indirectly to the debtor. Such cannot be the case if the article is fortuitously lost. The same goes for instance where the security is a house, whose value falls because of the downwards trends of the housing market.

Thus, this one relates to the situation where the debtor reduces of his own accord the securities given to the creditor. The debtor destabilizes the overall economy of the contract when he acts in such a fashion: the term was probably only conceded precisely because of the existence of the surety. Therefore, the best sanction is to anticipate on the arrival of the term. For example: A sells a car to B and grants him a term of payment of six months, but he requires that B deposits a jewel of great value in a bank safe. Later on, before the term arrives, B withdraws the jewel from the bank and sells it for cash. The security is gone. A is entitled to claim that B has lost the benefit of the term and that the contract of sale must be performed immediately.

3. Legal and Judicial Terms

The presentation of the concept of term would not be complete if it only addressed contractual terms, that is to say, terms decided upon by the parties to a contract. There are many cases where the parties may be imposed for given terms for the performance of their contractual obligations, either through law or by the courts.

The legislator has often intervened in other countries to soften the consequences of exceptional circumstances for parties to a contract, and more specifically the debtors of course, by deciding that a term or moratorium would be granted for the performance of their obligations. Such was the case in the difficult circumstances of a war, where performance is

made very difficult, for instance, because of the restrictions on means of transport or the accessibility of raw materials. France has in the past enacted also such provisions where a long postal strike led to millions of letters – and checks – to be stranded -in the post offices.

More systematically, consumer laws are promulgated *to* protect the consumer from entering detrimental contracts *too* fast, pushed by *too* effective salesmen. *For* instance, in France, no contract of sale concluded after a salesman has *come to* the home of a private person may be effective before seven days from the conclusion. This suspensive term is designed to enable the consumer to think twice about the purchase before it is *too* late, and is accompanied by statutory right *to* unilaterally cancel the contract within these seven days.

It is clear that contracts are compulsory for the parties, and where no term is provided *for*, or where such term has expired, the contract has *to* be performed. But there remains a possibility of a judicial term *to* be fixed.

This is the meaning of the term of grace open *to* the judge on the basis of article 1770 of the Civil Code. If neither the contract (article 1770, sub 3 of the Civil *Code*, 1787 of the Civil *Code*) *nor* the law (see article 2337 of the Civil Code, *for* instance) impose a compulsory date, the judge, may grant a term of grace.

This is an exceptional power of revision of contracts granted *to* the judges, and article 1770 restricts *to* a great extent *by* stating that judges have *to* identify – and clearly express in their written reasons in the judgment – that the position of the debtor and equity call for such a measure. This is further only possible in a limited number of cases and for a maximum term of six months. One must *not* forget either that a term of grace is *no* obstacle *to* set-off, as article 1834 of the Ethiopian Civil Code states.

What is interesting is that this provision is derived from the French law as it stood at the time of the drafting of the Ethiopian code. This French law has greatly changed since that time, and has greatly extended the powers of the judge, because of the change in economic circumstances, and the needs *of* consumer protection. French judges may extend the term up to two years, restrict or limit the scope *of* contractual interest, suspend enforced execution-

measures ... etc. It has also called to-define which obligations were not open to such a term of grace, and more specifically alimonies, contracts of deposit or commercial papers.

Dear student, how do *you* see such developments on legal and judicial terms in France?

UNIT TWO: CONDITIONS

Introduction

The contracting parties, by exercising contractual freedom, can make their contract either absolute i.e. one which contains a pure obligation or they can make their contracts conditional i.e. one which does not contain a pure and simple obligation. The latter types of contracts are governed under articles 1869 through 1879 of the Civil Code.

In this unit we will discuss the nature of conditions: suspensive conditions and resolutive conditions. As the conditional contract is a contract by itself the requirements of the validity of conditional contracts will be elaborated. On top of this, this unit will cover the rights and duties of the contracting parties for the existence and nonexistence of conditions.

Objectives

At the end of this unit, the student will be able; to:

- Explain the nature of conditions;
- Distinguish condition precedent and condition subsequent;
- Discuss the validity requirements of conditional contracts;
- Discuss the rights and duties of contracting parties;
- Explain the effects of conditional contracts when the contracting parties violate their duties.

1. Definition of Condition

Article 1869 of the Civil Code states that a contract is conditional where the obligation concerned sees its existence depend of an uncertain event. This is the major

A condition is an event situated in the future but of which no one knows whether it will in fact happen or not. It has to be distinguished from a term of no fixed date, which is a future event which is sure to happen, even if the date is unknown. For instance, the death of A, the insured party in a life insurance contract is an event sure to happen because they will all die; this is a term of no fixed date. But if the event is labeled "if A dies before B", this is a condition because no one is sure that A will die before B} the reverse might also happen.

In general a conditional contract is one whose effectivity or extinguishment is subordinated to the fulfillment or non fulfillment of an uncertain event or fact. A condition in the meaning of articles 1869 and following of the code affects the very existence of the obligation. It either postpones the existence of the obligation ("condition precedent" or "suspensive condition") or it retroactively makes the obligation disappear ("condition subsequent" or "resolutive condition").

However, close reading of article 1869 seems to consider contracts as conditional only when the obligation is subjected to a condition precedent. This is so because article 1869 provides that a conditional contract is one that relates to an obligation "whose existence" depends upon the occurrence or non occurrence of an uncertain event.

Conditions may be condition precedent (suspensive condition) or condition subsequent (resolutive condition). A suspensive condition is a condition or uncertain event up on the happening or the fulfillment of which a contract subjected to it becomes effective. It is a condition that keeps the contract in suspense until its fulfillment.

A condition subsequent or resolutely condition, on the other hand, is a condition or an uncertain event up on the fulfillment of which the contract subjected to it extinguished. A

contract subjected to a condition subsequent becomes effective immediately after its conclusion, but its effects are wiped out upon the fulfillment of the condition. The obligation related to such type of contract exists, right from the time of the formation of the contract and it is not its 'existence' which depends upon occurrence or non occurrence of an uncertain event but its cancellation.

Therefore, article 1869 by stating that a contract is deemed to be conditional where it relates to an obligation whose existence relates to the occurrence or non occurrence of an uncertain event, excluded a contract subjected to a condition subsequent from being a conditional contract. However, this is not the intention of the legislative organ as article 1872 lay down the nature of a contract subjected to a condition subsequent.

2. Different categories of conditions

Firstly, conditions may be classified as negative and positive conditions. Conditions may be negative -("if there is no rain on the first day of the contract) or positive (if there is rain on the first day of the contract).

Secondly, conditions may be suspensive and resolutive conditions. Articles 1871 and 1872 of the Civil Code define respectively what suspensive and resolutive conditions are, and this is the major distinction in the area of conditions.

A suspensive condition is the situation where an otherwise perfectly valid obligation is suspended to the arrival of a future and uncertain event. The undertaking of the parties is final but will only come into force with the conditional event. In other words, the obligation is temporarily ineffective. Example, the sale will take place if the bank lends money to the buyer for the purchase.

The rule here derives from article 1871: the conditional right is created, but it is only a potential right. The conditional right is created by the common intention of the parties from

the day of the contract. The debtor is already bound by the contract, and the creditor may take preservation measures (attachments, seizures, sureties...) in accordance with article 1877 of the Civil Code, if the debtor is not acting in good faith. But the creditor may, not implement *actio pauliana* nor exercise the debtor's rights if the latter is negligent. On the other hand, if the conditional right is a real one, it is to be assumed that the creditor has to register it in the register for immovable. If a bankruptcy suit is initiated, he should also be allowed to state his claim. The conditional right is in the estate of the creditor: he may therefore assign it, give it as a surety; his heirs inherit it if he dies before the condition is fulfilled.

But the conditional right is only a potential one. The main consequence is of course that the creditor cannot ask for performance of the obligation, nor ask for termination for absence of performance. He has no right on the thing concerned by the contract. Limitation periods do not begin. Risks are for the debtor. If a payment is made, it is an undue payment and the rules of articles 2164 and following apply. Unless there is an unequivocal waiver of the benefit of the suspensive condition by the debtor, such anticipated payment is ambiguous.

These are thus the normal, legal consequences of a suspensive condition before it is fulfilled. But article 1871 always allows the parties to agree on a modification of such consequences; here again we find an illustration of the principle of contractual freedom.

After the suspensive condition is fulfilled, the contract becomes effective. In Ethiopian law, contrary to other systems, there is in principle no retroactivity to the day when the contract was concluded (article 1871). The parties have to provide for an express provision in the contract, if they want it to operate retroactively. In other words, where no specific provision to that end is provided, a suspensive condition only operates for the future.

A resolute condition is the situation where the contract is concluded and performed, but it may be challenged by the arrival of a future and uncertain event. It then ceases to be effective if the condition is fulfilled. The obligation is thus only temporarily effective. Example, the

contract of lease is performed subject to the regular payment of rent. If the lessee does not pay a monthly term, the contract of lease is terminated.

To put it differently, the principle is set out in article 1872 sub 1; the contract is effective forthwith where the condition is a resolutive one. The condition only affects the possible termination of the contract. The contract has to be performed. The creditor may have it enforced. He may exercise the debtor's rights and the *actio pauliana*. The creditor assumes the risks. His right may be transferred to another person, may be mortgaged or serve as a security, subject in each of these cases to inform third parties. Limitation periods start to run normally from the day of the contract.

But the rights of each party are not absolute. It is as if the debtor is granted in turn the benefit of a suspensive condition: he is then the one who may take preservation measures on the basis of article 1877 of the Civil Code, and the debtors rights may be assigned or transferred, to a third party.

However, after resolutive condition is fulfilled, we are in the reverse situation from the case where a suspensive condition is fulfilled. Article 1872(2) provides that the contract ceases to be effective from the moment the resolutive condition. is fulfilled. But this consequence is established only for the future. There is no principle of retroactivity and any consequence deriving from the performance of the contract is in principle valid. For instance, if the resolutive condition applies to a lease for non-payment of rent, the rents due for the period prior to the fulfillment of the condition remain due to the creditor.

There is also another way of classification of conditions as independent, mixed and potestative conditions. Article 1879 of the Civil Code addresses the situation where a condition is solely in the hands" of the party who assumes the obligation", in other words, in the hands of the debtor. This is classically called a "*condition purement potestative*" in French civil law, which we have chosen to translate as a "*potestative Condition*"

Article 1879 thus declares a case for nullity where the obligation is conditioned by a condition which solely rests with the debtor, who may or may not, arbitrarily, decide to fulfill it. For instance, such is the case where the debtor would say, in a contract of sale, "I will pay if I feel like it". The arrival of the condition is entirely at his discretion. It therefore cannot be said that there is an enforceable contract; the creditor would be powerless.

Such a potestative condition is a cause of nullity of the obligation itself, and not only of the condition. A potestative condition is a condition whose fulfillment depends exclusively up on the will of either of one of the parties to the contract. The arbitrariness is so gross as to make the agreement inexistent. *One* has to note further that no distinction is made here between a suspensive or resolutive condition in respect of arbitrariness. One or the other may be affected by this ground of nullity.

The potestative condition is only considered from the side of the debtor. Under article 1879, it is only when the condition is potestative on the obligor that the contract is deemed to be null and void. A debt does not cease to exist simply because the creditor does not claim its payment. On the other hand a debt cannot exist if the debtor is not obliged to pay. The reason behind this provision is that the fact that the promissory qualifies his obligation with a condition whose fulfillment depends up on his will shows that there is no intention obliged i.e. he has not intended to be bound by the contract. This makes the contract devoid of its binding character. Therefore a potestative condition may be admissible when it is in the hands of the creditor.

However, the fact that contract is subjected to a potestative condition need not always be expressed in the contract. Article 1879(2) assumes that a contract could be null and void where the promisor's non performance of the contract is excluded in the contract.

Accordingly, the civil code purports to give an illustration of a potestative condition under article 1879 sub 2. It states that where the party who assumes the obligation is granted a clause in the contract which excludes his liability for nonperformance, the obligation is deemed contracted under a potestative condition, and is therefore void.

It is sometimes difficult to identify a potestative condition. The criterion is generally the situation where no outside element may come and influence the decision of the debtor; he is entirely free to do as he wishes. If such an exterior element exists, and may be checked as to its existence by the judge, the condition does not solely depend on the debtor, and it is therefore valid. We may thus have so-called "mixed" conditions where the will of the debtor plays a role, but is not the sole element in the fulfillment of the condition.

To illustrate mixed conditions with examples: 1. I will make a donation to the Church if I marry before Christmas. 2. The temporary contract of employment will continue unless the employer stops manufacturing a given series of articles.

Of course any condition which is unconnected with the will of a party is perfectly valid. This is the case where the event only depends of fortuitous circumstances, of natural causes, or of the will or behaviour of a third party. This is the category which may be called independent conditions;. They are always valid provided they observe the criteria of licitly and morality examined hereafter.

Examples of independent conditions: 1. The contract will be terminated if it rains tomorrow. 2. The insurance compensation will be paid in the event of an accident. 3. The contract of employment will be confirmed if the employer is granted an administrative license to trade.

3. Requirements for Validity of Conditional Contracts

For a conditional contract to be -valid the contract is subjected to conditions laid down under article 1678 of the Civil Code. These are capacity, sustainable consent, lawful, possible and moral object, and form, if any. Article 1878 provides that where the contract depends is impossible, unlawful or immoral; the contract shall be of no effect. (See articles 1715 and 1716 of the Civil Code). Article 1878 of the Civil Code provides that the rules stated under articles 1715 and 1716 shall apply in respect of impossible, unlawful or immoral conditions. These categories have been explored in the Law of Contracts I and only call at this stage to be considered under the angle of a condition.

For instance, for impossible condition, someone may say that I will sell you this horse if you touch the sky with your finger. The impossibility covers a material situation. But it may also include legal situations. But the impossibility must be certain at the moment of the conclusion of the contract. If the impossibility appears at a later date, one implements the provisions of articles 1768, 1780 and 1788 (cancellation) of the Civil Code. For unlawful condition, I will pay you if you steal the trade secrets of my competitor. Immoral condition: the prospective employer says he will employ the housemaid if she accepts sexual relations with him.

Here again such categories of illicitly, immorality, or impropriety in respect of morality have been studied earlier. The provisions of article 1878 simply refer "by analogy" to articles 1715 and 1716, and this imprecision of the drafting creates a difficulty. The condition is certainly void, but does it bring about the nullity of the entire contract? Articles 1715 and 1716 do indeed provide for the nullity of the entire contract but they are drafted to address the question of the obligation itself.

Professor David writes in his commentary that the consequences of such impossible, unlawful or immoral conditions" depend on the importance of the condition in relation to the whole contract". This answer echoes that given in French case law. It amounts to fall back on the fundamental rules of the law of contracts and attempt to identify the intention of the parties. If the parties intended to make the unlawful, immoral or illicit condition central to their agreement, the "impulsive and determinative cause" of their respective obligations, then the

defect of the condition infects the contract itself, which must be declared void. If, on the contrary, the defective condition was only a secondary or accessory clause within the entire economy of the contract, the nullity will be restricted to this condition only and the rest of the contract will be allowed to survive.

This analysis is confirmed by what is said under article 1813 on partial invalidation, and it allows for consistency in the approach of the issue of nullity of contracts by the courts.

Dear student, how do you see the above illustrations?

In general, parties to a conditional contract may, in general, attach any condition they desire to their contract. But such freedom is subject to a limitation that the condition they attach to their contract should fulfill the requirement laid down by law. This means the condition should not be potestative on the obligor pursuant to article 1879.

4. Rights and Duties of Contracting Parties and Consequences of Violating Duties

Good faith is a very frequently cited concept: to illustrate how the duties of the parties must be discharged. It is a far ranging concept which implies that a party is bound by the consequences of the obligation undertaken if; specially, they are dictated by good faith in the performance of the contract (article 1713 of the Civil Code). The general sanction of the absence of good faith will be the termination of the contract, decided by the court, as provided under article 1785 of the Civil Code.

But in the event of a condition, such a sanction would probably not be the best. This is why we have a special provision in respect of the good faith which has to be observed in the event of a conditional obligation. Article 1870 of the Civil Code states that where a party has prevented

the fulfillment of the condition in a manner contrary to good faith, the other contracting party may deem it fulfilled. The sanction of bad faith is therefore in the hands of the "innocent" party: he has the option either to let the condition run until its ordinary fulfillment, or to deem it already fulfilled. This second situation is precisely what the party acting in bad faith sought to avoid; it is the best sanction that could be devised.

Example: A concludes a contract of sale for a house with B, for the price of 100,000 Birr. A suspensive condition is provided whereby B must find within three months a bank who will loan him the money at 8 % interest over ten years. If no such loan can be obtained by B, the contract of sale will be void. But B discovers a cheaper house a little later, and wants to avoid buying A's house. B then either does not look for a loan, or asks his bank only to make offers above 8 % so as to make the contract of sale void. Such bad faith behavior should be sanctioned by the fact the condition is deemed fulfilled. A will be in a position to ask for the enforcement of the sale and payment by B.

Thus, where a condition's fulfillment is influenced by parties, they are required to be in good faith as per article 1870. Accordingly, when one party acted in a manner contrary to good faith and his act resulted in bringing about the non fulfillment of the condition, the other party has the legal right to consider the condition as fulfilled even though in reality the condition is not fulfilled. This would result in producing the normal effect of a condition fulfillment on the contract subjected to it. In this regard, when the contract is subjected to a condition precedent the party who is given the option under the provision of article 1870 may regard the condition as fulfilled and there by demand performance of the obligation under the contract.

In cases where the contract is subjected to a condition subsequent, where one party interferes with the condition's fulfillment and the other party exercising the option given under article 1870 decides to consider the condition as fulfilled, the contract would be cancelled. The effect would then be returning back to their original position.

There is also a duty of loyalty in the performance of condition. This is illustrated by a second article derived of the principle of good faith, article 1873 of the Civil Code. This provision prohibits the parties from interfering with the normal performance of the contract after the fulfillment of the condition. Here again we see an echo of what was said in respect of potestative or mixed conditions. There is always a danger that a party abuses the influence he has on the fulfillment of this uncertain event.

Accordingly, parties to a conditional contract are not only required to refrain from tampering with the condition's fulfillment but they are also required to refrain from carrying out any acts that are likely to prevent the normal performance of the contract upon the condition's fulfillment as per article 1873. This article seems to be applicable only to contracts subjected to a condition precedent.

This is so because it is where a contract is subjected to a condition precedent that performance takes place up on the fulfillment of the condition. Where a contract is subjected to a condition subsequent, upon the fulfillment of the condition, the contract will not be performed rather it will be cancelled or extinguished. Thus, one can't talk of performance with regard to, contracts subjected to a condition subsequent.

However, does article 1873 apply only where the contract is subjected to a condition precedent? It may not be. In cases, where a contract is subjected to a condition subsequent, parties are not allowed to carry out any act that would interfere with the process of reinstatement i.e. with the effect of cancellation. This is because the subsequent two articles which flow from article 1873 do not make a distinction between contracts subjected to a condition precedent and those subjected to a condition subsequent. In addition ProE. Rene David made no distinction in his commentary between these two types of conditions regarding the application of article 1873. This provision shall be read as parties shall refrain from doing any act that is likely to prevent the normal effect of the conditions fulfillment on the contract subjected to it.

Finally, the criterion of good faith is also found in respect of acts of management (article 1874 of the Civil Code), and fruits and profits (article 1876 of the Civil Code). Despite the fact that article 1873 provides that parties should not interfere, there are certain acts allowed by law which parties to the contract can undertake and which, therefore, would not amount to interference. These are called acts of management.

Article 1874 lays down what acts a conditional right holder can perform while the condition is still pending and which would be considered valid and enforceable against the other party. This shows that acts of management are not considered as interference with the normal effect of contract up on the fulfillment of the condition.

Acts of management are in principle valid where they have been made before the fulfillment of the condition (article 1874). Acts of management are defined only in the section dealing with agency under article 2204 of the Civil Code and this can be applied by analogy to article 1873. They are deemed to be in the common interest of the parties. Accordingly, a conditional right holder can exercise those acts listed under article 2204 which are considered normal and might prevent the right from being dissipated or disappeared while the condition is still pending.

The fact that the conditional right holder is entitled to carry out acts of management does not mean that such party can carry out these acts as he wishes. Such person cannot carry out these acts as he wishes. Such person cannot carry out these acts in disregard of the interest of the other party. These acts of management should not be carried out by the conditional right holder so as to injure the other party or in disregard of interest of the other party. If such party acts in bad faith, then article 1874 states that he will be liable to pay damages. You must note that what the other party can do in such cases is only to claim damages, but not invalidation of such acts. It is only if they have been implemented in bad faith that they may open a right for damages.

For instance, A sells a house to B under a resolutive condition. B, during his tenure, has all the trees in the garden cut down and cashes the money for the wood. If the sale is terminated B may keep the price *of* the wood, because it is implicit that the trees were mature. If it appears this is not the case and B had them cut to make a quick profit before the termination *of* the sale, he has acted in bad faith, and he will be obliged to return the money, without prejudice to further damages.

Where a conditional right holder performs acts that are beyond management, then according to article 1875 such acts may be invalidated. The effect *of* invalidation is governed under articles 1808 through 1818 pursuant to article 1875(3) of the Civil Code.

Acts beyond management are always open in principle to the party who exercises the right (the seller where a suspensive condition is provided, and the buyer where a resolutive condition is provided). This is the implicit meaning of article 1875(1), and is explainable because until the uncertain event happens, the party who holds the right is supposed to be the rightful and exclusive owner of the asset concerned. But things are very different if the condition is fulfilled in this case a right is open to the other party to request invalidation *of* such acts. Note that this is only a possibility and depends mainly on the decision *of* the court. This provision covers *de facto* the absence *of* retroactivity of conditions in Ethiopian law.

Article 1875, sub. 2, settles the question of the uncertainty created by the option opened under the previous paragraph. It allows any interested party, which means the other contracting party or parties, or even third parties with a legitimate interest, to force the person benefiting from the fulfillment *of* the condition to state clearly his option: will such party ask for invalidation of acts beyond management? The answer has to be given within a reasonable delay, which will be appreciated according to circumstances by the court. This provision is necessary so as to limit the time during which this legal uncertainty might endure.

Example: A sells a house to B under a resolutive condition. B decides to sell the living quarters attached to the house to C. B is entitled to do so because he is the rightful owner of

the house. But the condition is fulfilled. The sale is rescinded by consequence of article 1872. C is in the uncomfortable position of not knowing whether A wants the living quarters returned to him or not. C may therefore request that within a reasonable time A tells him his intentions as to such living quarters.

Where acts beyond management are invalidated, article 1875(3) states that the consequences are those provided for under articles 1808 to 1818 governing invalidation. In the previous example, the sale of the living quarters may be invalidated on the basis of article 1815, unless the court decides to protect the rights of C, who acted in good faith (article 1816 or 1817 sub 1). The court will then grant damages to A for the loss of the living quarters (article 1817 sub. 2).

Fruits and profits are in principle for the party who exercises the right prior to the fulfillment of the condition, provided such party acted in good faith (article 1876). For example, A sells a house to B under a suspensive condition that B obtains a loan to pay for the house. In the meantime, A leases the house to C. A may keep the rent when finally B obtains his loan to his price for the house.

Thus, a party who is a conditional holder is also entitled to keep whatever fruits and profits he has collected while the condition is still, pending as per article 1876. What would happen if the conditional right holder has collected the fruits and profits in bad faith? For instance, the conditional right holder might have collected the fruits prematurely and accelerated the accrual of the profits. In such cases, the provision of article 1876 does not allow the conditional right holder to retain such fruits and profits. It means such fruits and profits should be returned to the other party upon the fulfillment of the condition. If the person who collected the fruits and profits has disposed of it, then he would be able to pay damages.

Moreover, a party whose conditional right is endangered has a right to take measure in order to preserve and protect his rights. Prof. Rene David provides that "he can provide for publicity

that will protect him fully running against possible acts beyond management by the other party, he can interrupt the running of a period of limitation with respect to a right that he has acquired subject to a condition precedent".

Acts of preservation are always allowed in the interest of the party who considers his rights imperiled (article 1877). According to circumstances, this will be open to the creditor or to the debtor, based usually on a court order he will have applied for. Example: A sells a house to B with the suspensive condition that B obtains a loan from the bank. In the meantime, A decides to create a chemical company which he locates in the house. B fears that fire will destroy the house and he knows A refuses to take a fire insurance. B may conclude such insurance, and the cost will be finally for A.

5. Conclusion as to the institution of conditions

The resorting to conditions in obligations is a more and more frequent situation as an economy develops and becomes more complex. Contractual operations become more sophisticated, the will of private parties is more and more restricted by legislative provisions or administrative decisions, the technique of sureties becomes more and more frequent, contracts tend to become more and more complicated and to involve many parties with differing rights ... etc ... Conditional rights therefore introduce a measure of flexibility in this more complex world.

Different codes adopt different approaches as to the effects of conditions. The Ethiopian code seems to follow the tradition of the German and Swiss codes which do not provide for full retroactivity were the condition is fulfilled (but these codes allow contrary agreements and see legal limits). The opposite is true for the French code for instance. But the latter achieves approximately the same results by protecting the situations created through preservation or management decisions, as well as the rights of third parties.

On top of this there are difficulties. A first type of difficulty which may be encountered by the judge is where the definition of the condition is unclear. We must not forget that the parties are considering a future and uncertain event, and that it is frequent that they did not exactly define such event.

Example: A and B conclude a contract whereby A undertakes to play music at B's outdoor party, 'unless the weather is rainy'. On the day of the party, rain does occur, but only falls for ten minutes, the rest of the day being cloudy. Is the condition fulfilled?

The principle will as usual be that the judge must research the exact intention of the parties, with the means of investigation at his disposal. He may not substitute his own appreciation of the condition, not the way in which it should have been discharged. Finally, as ever, the rules of burden of proof will guide his decision in case of doubt. Here it is for the party who claims that the condition was fulfilled to prove it was so (resolutive condition).

Also, a question may arise when a condition is attached to a contract without a given time-limit. For instance, a suspensive condition leaves the contract in limbo for years. Or, on the other hand, a resolutive condition may seem remote after several years of performance of the contract. If no time-limit was contractually set, the parties, failing an agreement, will have to resort to the court, which will use the criterion of "reasonable period of time"; the latter is in fact but a variation on the consequences principle of good faith in contracts.

UNIT THREE: ALTERNATIVE OBLIGATIONS

Introduction

The discussion of the general law of contracts was based, up to now, on the assumptions that were dealing with a given obligation, which had a single object. But of course this presentation is made in the interest of simplification. In practice things may be much more complex.

Between a single creditor and a single debtor the obligation may cover several objects. This will be the topic addressed under this unit below.

In this unit we will discuss the nature of alternative obligation, the rights of contracting parties in the choice of obligations at the time of performance and the effect of the contract when one of the obligations is impossible for performance.

Objectives

After completing this unit, the student will be able to:

- Define alternative obligations;
- Identify the person to whom a right of option is given;
- Discuss duties of the contracting parties in case where performance of one of the alternative obligations is impossible.

1. In General

An obligation may cover several obligations. Amongst these, the traditional division is between conjunctive, alternative and optional obligations.

A conjunctive obligation is a single obligation which entails several things to perform for a party. For instance, a party sells by the same contract an immovable and the business which it houses. But of course, a conjunctive obligation may involve several creditors or debtors.

The opposite category is that of disjunctive obligations, which are either alternative obligations or optional obligations.

An optional obligation is solely open to the debtor. It has a single object, but the debtor may choose to release himself through another performance. An illustration is given by article 1812 in respect of unconscionable contracts, where the debtor may block any attempt to cancel the sale by using the option of paying a supplement. Another case is where an immovable is bequeathed by the decedent to a third party, and the heir prefers to pay an amount of money rather than handing the immovable over. The difference between an optional and an alternative obligation is that in the case of the optional obligation, the debtor is not held to perform the subsidiary obligation if the principal one becomes fortuitously impossible or is void (where this is not his fault of course). Conversely, the creditor may only require the performance of the principal obligation.

The regime of alternative obligations will thus be exposed-against this background of conjunctive and optional obligations and discussed in the following paragraphs.

2. Definition of Alternative Obligations

Article 1880 defines alternative obligations as special form of payment in the hands of a debtor. It addresses the situation where the contract provides that the debtor may discharge his share of the contract by selecting one of two identified obligations.

Professor David gives the example where a person has the choice either between two houses for a lease, or between delivering a certain length of material or so many shammass. But other examples can be found. For instance the debtor of maintenance may be held either to feed or to lodge the creditor. A price may be fixed at a given sum if payment is immediate, or be increased by accrued interest if payment is pushed back three months. Alternative obligations are frequent in international payments: the price will be paid either in U.S. dollars or in Euros...

In this regard, several comments may be made. The alternative obligations have to be provided for by contract. It is not for the debtor to impose an alternative where the creditor was not in agreement on this point. This is the rule indicated under article 1745 in respect of the requirements of identity of object. Only the alternatives provided in the contract are open to the debtor, who may not attempt to suggest a third mode of payment - this is again a direct consequence of article 1745 of the Civil Code.

Article 1880 of the Civil Code only considers the right to exercise the option under the angle of the debtor. But the reader must not forget that in the immense majority of contracts each party is creditor and debtor. Example: A sells a television which may be either a Sony or a Vestel to B, who may pay either in Birr or in U.S. dollars. Here each party is debtor of an obligation and A may freely deliver either a Sony or a Vestel.

This article defines an alternative obligation as a choice between two obligations. But this does not mean that the parties may not decide to have a greater number of obligations to choose from.

The obligations are set out in the contract as alternative. This is the illustration of the free will of the parties. They may consider as alternatives two obligations which are not of the same value. This element is irrelevant as soon as the parties have decided to establish unequal

obligations as equivalent, and the judge, for instance, may not intervene out of equity or other grounds to amend the will of the parties.

3. The Right of Option

The central interest of the technique of alternative obligations is the right of option of the debtor between two (or more) obligations to perform.

This option is for the debtor only, it being reminded that in a synallagmatic relation both parties may be considered as debtors. The option is discretionary the choice does not have to be justified by the debtor who makes it.

Article 1881(1) of the Civil Code takes a presumption that the debtor is to make the choice on which of alternative obligation he is to perform. This presumption may not operate where the choice has been expressly conferred on the creditor or a third party.

The contract may provide, according to article 1881(1), that the creditor or even a third party may be the person with the right of option. The *acontrario* reasoning leads us to consider that where no explicit provision exists in the contract as to who may exercise the option, the presumption will be in favor of the debtor.

Example 1: A sells a car to B, who will pay either in Birr or in US dollars. The contract may decide that the option is for the creditor, who will choose of course according to what is more interesting for him.

Example 2: A sells a car to B, who will pay either in Birr or in U.S. dollars, according to whether his commissions will be paid in Birr or in U.S. dollars by his employer C. The choice is in the hands of C, who is a third party in respect of the contract of sale (but who must be mentioned in the contract anyhow as having the right of option- see problem of damages due by third party below).

The right to exercise an option does not mean that the debtor may mix the options to satisfy the creditor. For instance if the option is either 100 meters of cloth or 20 shammamas, the debtor cannot force the creditor to accept 50 meters of cloth and 10 shammamas. This can be considered as an illustration of the rule prohibiting part payments, stated under article 1746 of the Civil Code.

Article 1881(2) of the Civil Code, considers the problem of the failure by the party entitled to choose to do so, thus paralyzing the performance of the, obligation. The code offers a simple and efficient solution. The party with the right of option will be summoned to exercise the option, failing which the right will pass to the other party. The usual difficulties of delay and form of notice will have to be addressed here. The answer will as usual to refer to the notion of reasonable delay and to the rules governing the burden of proof and the use of written notices.

Example: A sells a car to B for 10,000 Birr or the equivalent in U.S. dollars. B refuses to make a choice. A will serve him a written summons stating that he is entitled to choose the currency, within seven days, B has not made his choice known.

It is worthy of noting that the English version of the provision omits an entire section of the sentence which is found in the French versions. This says that if the party entitled to make the choice fails to opt "immediately after having been summoned to do so the right is granted to the other party".

Thus, where the right has not been express conferred on the creditor or on a third party, the debtor must make his choice as soon as the creditor puts him in default to perform his obligation, assuming that performance is due. If the debtor fails to make his choice immediately, the right to make choice passes to the creditor. This latter rule incorporated in article 1881(2) becomes important if the creditor intends to ask for forced performance and in the calculation of damages when there is non performance.

Similarly, article 1881(2) provides that where the right to make the choice is reserved to the creditor, the creditor must state his choice immediately upon being given notice by the debtor. If the creditor fails to exercise his right of making choice, the choice passes to the debtor.

A last difficulty remains. This is where the option is reserved for a third party who does not make his choice known, and thus prevents the performance of the contract.

What would be the solution where the choicer is to be made by a third party and such person fails to make choice? Prof Rene David acknowledges this is not provided for by the code. He further provided that "In this case one would apply the rules relating to an insufficiently defined object. If the third party has promised to make the choice, he may be liable to indemnify the contracting parties for damages suffered. The Ethiopian code does it allow like Italian civil code, under which the court chooses which obligation is to be performed in such a case".

However, Ato Tilahun suggested that the choice should be given to the debtor in cases where the third party fails to exercise his right to make choice as it would make the contract effective. Furthermore, the solution is in conformity with the basic principle of interpretation incorporated under article 1738 of the Civil Code that doubts should be resolved in favour of the debtor. But one could suggest also that a court order could transfer the third party's option to the debtor, where appropriate, on the basis of the presumption that the option should be for the debtor, as indicated above. Others argued for other solution that the problem will be settled by the payment of damages.

4. Performance Impossible

Article 1882 settles the question of the impossibility to discharge one of the obligations of the alternative. The logical solution is that the debtor will discharge the other obligation. The decision as to the impossibility will be in the hands of the debtor himself. The impossibility may arise out of the contract itself or in the course of the performance of the contract, this is indifferent.

Article 1882, sub 2 of the Civil Code, considers the case where the impossibility is due to the fault of the party who was not entitled to choose. In effect this will lead to prejudicing-the party who loses his right to choose. This provision shows that an alternative obligation, in the mind of the drafter, is a facility open essentially to debtors. The party losing his right to choose will be granted damages. Note that in such a case the sanction is not the invalidation of the contract.

The problem will be to prove the fault, the burden of which will be of course on the person claiming he was deprived of his right to choose. But one must not forget that through the operation of the sanction of absence of diligence provided for under article 1881 sub. 2, the party entitled to make the choice of obligations may be the creditor, who then is given the right to claim damages if his choice is restricted by the debtor's behavior. For instance, A sells a car to B for 100,000 Birr or the equivalent in U. S. dollars, drawn from B's foreign currency account at the National Bank. B wants to come back on the sale. So not only does he refuse to make a choice, but he closes his foreign currency account and changes all his dollars into Birr. He has made it impossible to pay in dollars, but since his refusal to express a choice may have led to transferring the option to A, A may claim damages.

This being said, article 1882 leaves open a certain number of situations. Firstly, if the two obligations are or become impossible in the course of the contract, we shall have to resort to the general provisions of article 1715 and decide the contract is void. Article 1788 may in this situation lead a party to anticipate and cancel the contract, as article 2352 of the Civil Code specifically does for a contract of sale. This leaves the issue of damages open.

Secondly, if one obligation is only impossible in part, the question is whether article 1768 can apply. May the debtor choose to implement the partly impossible obligation rather than the fully possible one? The answer appears to be no, because it would call for a court action where, by definition, an equivalent performance was agreed upon by the parties. The conclusion seems to be that article 1768 of the Civil Code is inapplicable to alternative

obligations. The question may be different, if one of the obligations is impossible and the other only impossible in part.

Thirdly, the *acontrario* consequence of article 1882, sub. 2 of the Civil Code, is that no damages are due to the creditor where the debtor himself makes an obligation impossible, if the debtor was entitled to choose the obligation to be discharged. This is admissible because the creditor accepted that either obligation was satisfactory. But we still have the issue of the case where the choice was in the hands of a third party, who then is responsible for the impossibility of one of the obligations, thus acting to the detriment of both the debtor and the creditor. Here, *acontrano* reasoning would lead to excessive consequences and in the absence of an express provision to the contrary, it appears possible for the debtor to sue the third party for damages.

Finally, article 1882 only addresses the issue: of impossible obligations, whereas in the civil code this question is often considered at the same time as illicit or unlawful obligations. A logical answer is to reason by analogy, and to apply the solutions exposed above in respect of an impossible obligation to unlawful or immoral obligations. Where one obligation is unlawful or immoral, it obviously cannot be implemented and so only the remaining one is enforceable.

UNIT FOUR: EARNEST

1. Definition of Earnest

The code nowhere defined what earnest is. However, Black's law dictionary defines earnest and earnest money as follows:

"Earnest is the payment of a part of the price of goods sold, or the delivery of part of such goods, for the purpose of binding the contract, a token or pledge passing between the parties by way of evidence or ratification."

"Earnest money is a sum of money paid by a buyer at the time of entering a contract to indicate the intention and ability of the buyer to carry out the contract. Normally, such earnest money is applied against the purchase price. Often the contract provides for forfeiture of this sum if the buyer defaults."

Though the civil code of Ethiopia does not provide a definition of earnest, the provision of article 1885 of the Civil Code seems to imply that earnest exists whenever a certain sum of money is given. This is implied from the phrase "the amount he received" under article 1885 (2). Also, Article 1883 of the Civil Code puts earnest by saying that this form of payment shall be proof of the conclusion of the contract. Earnest is therefore the action of giving a certain amount of money by the debtor to the creditor, with the intention of making the contract finally binding on the parties. It is in the nature of a part payment securing the transaction.

This is frequently used by parties who do not have the full amount of a sale price available, but who nevertheless wish to clinch the deal. B pays 5 % of the price of the house he wants to buy from A. The contract is concluded and A cannot sell the house to another person. In the meantime B can search for funds to pay the remaining 95 % of the price.

But earnest has a further advantage, which makes it a specific institution. It enables the parties to- terminate the contract unilaterally, as an exception to the binding force of contracts. If the payment is stipulated as being an earnest, this amounts to include into the contract a unilateral termination clause.

The difficult problem that arises in respect of earnest is when the parties have not qualified the payment in the contract. A certain sum has been paid, but no proof is brought that it is an earnest rather than a simple part payment which the seller has agreed to. Because earnest is a special situation which entails the exceptional clause of unilateral termination (a forfeiture clause, in fact), the logical solution for the court seems to be that in case of doubt, such payment cannot be interpreted as earnest.

Example: A sells a house to B and accepts 15% of the price immediately, and agrees to be paid the remaining 95 % after three months. Can B claim that the 5 % is in fact earnest and ask for a unilateral termination of the contract? The answer is no, if the agreement is not specific. The court will rule that the 5 % was simply a down payment and that A may enforce the sale by forcing B to pay the remaining 95 %.

2. Consequence of Earnest

Where the contract is finally performed, article 1884 of the Civil Code states that the party receiving earnest - the seller - has the option either keeping or returning the earnest, and therefore get paid the full price, or, what is of course the more frequent situation, to deduct it from his claim. In this last case earnest will be considered as a down payment on the final price.

Article 1884 nevertheless opens the possibility for the parties to agree otherwise. This will be the case where the earnest will in fact be kept by the seller, and the buyer will pay on top of such earnest the full price. But this exceptional situation must clearly be derived from the contract.

The more interesting situation is where the contract is finally not performed. This is where the possibility opened by earnest to terminate the contract unilaterally becomes useful. Each party has a right to terminate the contract unilaterally. Of course, such a right has a price. The party who-gave earnest (the buyer in a contract of sale) will lose this amount of money, which is a form of global indemnity for the seller who loses the benefit of the sale (article 1885, sub. 1 of the Civil Code). Conversely, the party who received earnest (the seller in a contract of sale) can cancel such unilaterally by repaying the double of the amount received (article 1885, sub 2 of the Civil Code). The situation is exactly balanced.

The indemnity is fixed by agreement between the parties and the consequence of this provision is that no reasons have to be given for unilateral termination. The option is entirely open to the parties who do not have to explain their choice.

But one sees here that the first interest of earnest, that of clinching a contract, is somewhat fragilised by this bilateral possibility of terminating the contract. This is why article 1885 of the Civil Code provided that contrary provisions may be agreed between the parties.

UNIT FIVE: PROVISIONS AS TO LIABILITY

Introduction

As you remember in the Law of Contracts 1, in respect of contractual liability, the general rules are the ones set out under articles 1771, sub.2 and more in detail under 1790 to 1805 of the Civil Code.

In the area of financial compensation of the non-performance of contractual obligations, liability may be amended by two types of specific clauses. In the first sense the clause affects the scope of the liability, and in this sense it may make the liability more or less extensive than that normally provided for by articles 1791 to 1798 of the Civil Code. In the second sense, the clause affects the amount of the compensation normally derived from articles 1799 to 1805(2) of the Civil Code, either by establishing a penalty clause or by providing for other sanctions.

In this unit we will see clauses affecting the scope of contractual liability, clauses modifying the statutory provisions as to damages or penalty clauses, and other sanctions.

Objectives

At the end of this unit, you will be able to:

- Explain the clauses for limiting or extending liabilities;
- Discuss the nature of penalty clauses;
- Explain other form of sanctions.

1. Clauses Affecting the Scope of Contractual Liability

Parties by exercising their freedom of contract may enter provisions in their contract regarding their liability. As you remember in the law of contracts I, the Ethiopian law of contracts is based on irrespective of fault that is strict liability principle as provided under article 1791(1) of the Civil Code. The rationale for this strict contractual liability is to secure economic transactions and ensure contractual security. On the other hand, article 1791(2) of the Civil Code provides that occurrence of force majeure exonerates or liberates a party from contractual liability. However contracting parties may agree to extend or limit their liabilities as opposed to the above provisions.

Clauses defining the scope or extent of the parties' liability in case of non performance are common in contracts. They offer the advantage of making the consequences of a breach of contract clear to the parties, and in some cases, of avoiding litigation. Such clauses may increase an obligor's liability, making him answerable for the consequences of fortuitous events for instance, whereas under general principles he would not be liable. There may also be special stipulations that are introduced to diminish the liability of the obligor.

Coming to extension of liability clauses, article 1886 of the Civil Code declares that even if no performance is caused as a result of force majeure, the debtor would be held contractually liable, if the parties have agreed to that effect. Thus, contracting parties can agree to extend their liabilities. It is possible for an obligor to increase his liability beyond its normal scope. An agreement may thus provide that the obligor will be liable for the consequences of his failure to perform, even if the performance is prevented by a fortuitous event or an irresistible

force. There can be no doubt that such a stipulation is valid, since it is expressly contemplated in Art.1886 of the Civil Code.

Thus, if the parties wish to extend contractual liability, therefore, the extension will consist in preventing the defaulting party from being able to claim the defense of force majeure, either generally or for special cases only. The extension consists in fact in a waiver of a possible defense of force majeure (article 1886 of the Civil Code). One may also imagine an extension of liability where the parties agree to change the nature of the obligation from an obligation of means to an obligation of result.

You may also take a situation where the parties have inserted a penalty clause in their agreement. Penalty clause may also be taken as one situation where the parties have agreed to extend their liability. This is so when the penalty clause becomes due when no actual damage was caused to the creditor. (See article 1892(2) of the Civil Code) In this case, had there been no penalty clause, the creditor would not be entitled to receive damages as he has suffered none. So by inserting a penalty clause in their agreement stating that, they would be held liable for their non performance even when no actual damage was suffered, or while the actual harm is less than what is provided under the penalty clause, the parties are thereby extending their liability.

It is not only in cases of force majeure that parties can extend their liability by agreement. Even in other cases the parties may agree to extend their liability beyond what it would have been had there been no such agreement. (See articles 964, 2283, 2296 of the Civil Code). But this contractual freedom suffers one exception that prohibits agreement on extension of liability. (See articles 2385, 2389, and 2415 of the Civil Code).

However, the frequency of extension of liability clauses is not very high for obvious reasons. Courts should be attentive when they see such clauses extending the liability of the economically less advantaged party. There is a chance that undue pressure was exerted to

force a contracting party to accept an extension of his liability even in cases of force majeure. One sees this occur between traders where one is much more powerful than the other, who has to grant this big concession of a waiver of an important defense in order to conclude the contract. Statutes tend to develop in this- area to protect consumers. On the other hand, an astute trader may include such clauses to attract customers.

On the other hand, there will be an agreement on liability restriction clauses. Article 1887 of the Civil Code permits the parties to insert a clause in their contract that limits their contractual liability to cases of fault. Of course, the parties will much more frequently attempt to limit the scope of their contractual liability. The rationale for such clauses is that they allow professionals to see their liability less often challenged, thus lowering their risks and costs – especially insurance costs. This enables traders and manufacturers to sell cheaper and makes the economy overall more competitive. Another advantage is that fewer disputes should arise as well as fewer court actions, because the plaintiff will be deterred by the necessity of bringing the proof of a contractual fault of his opponent. Conversely, the danger of such liability restriction clauses is that they are generally provided by the pre-drafted contracts of professionals, and may be at the detriment of consumers. They also tend to encourage bad performance because the contracting party considers his liability is reduced. The risk is also that by allowing such clauses, the law opens the door to abusive clauses or illicitly restricted liability clauses. Finally, it is disputable whether such clauses do indeed limit the number of litigations. This explains why liability restriction clauses are possible but remains nevertheless strictly limited.

However, there are legal provisions that prohibit contractual clauses limiting liability. (See articles 2284, 2297, 2208, 2909 of the Civil Code; 594,599 and 640 of the Commercial Code; and 224 and 225 of the Maritime Code.)

Coming to the limitation of liability restriction clauses, liability restriction cannot be extended to the point of liability exemption. Article 1879(2) of the Civil Code, curiously placed under

the category of conditions is in fact better mentioned here as stating the general prohibition of liability exclusion or exemption clauses. It goes without saying that a party who refuses any liability for his nonperformance or bad performance of contract is not truly inspired to respect the existence of a contract.

This being said, even where an exemption is not formally stated, the scope of liability restriction must leave some meaning to the contract. For instance, it would not be admissible for the seller of a vehicle to restrict his liability to the situations when the vehicle was not mobile.

On the other hand, some argued that, apart from limiting their liabilities by their agreement, parties may, in exceptional situations provided by law, totally exclude their liability even in cases of fault. This is based on principle "contractual liability may be excluded by agreement since the basis of this liability is the agreement itself". But this general principle which is based on the corner stone principle of freedom of contract is subject to various exceptions since the law interferes and invalidates certain clauses that exclude liability.

The Ethiopian civil code follows a prohibitory approach with regard to contractual clauses that exclude one's contractual liability. In this regard, article 1887 seems to imply that contractual clauses that exonerate the parties from their contractual liability even if they commit fault is considered to be invalid.

There is, however, article 1888 of the Civil Code which exceptionally allows parties to relieve themselves of their liability where the fault is committed by their employees or auxiliaries. In this exceptional situation, parties are allowed to enter into an agreement whereby they will be relieved of this liability even in cases of fault, where the fault is committed by their employees or auxiliaries.

In general, the Ethiopian civil code provides for two categories of contractual liability restriction clauses.

The first category is based on the normal rule governing the scope of liability, which is stated under article 1791 of the Civil Code: damages are due because of the simple fact of non-performance, irrespective of whether the non-performing party has committed a fault or not. Hence the drafting of article 1887, which enables a contractual provision to restrict liability to cases where a fault was committed by the non- Performing party. This is indeed a considerable restriction of the area of contractual liability, because a non-performance which does not carry a fault does not lead to liability. Otherwise expressed, where in the general liability regime the plaintiff only has to make the relatively simple proof of the non- performance of a contractual obligation, in the situation where the contract provides for a liability restriction clause, the plaintiff will have to prove two things: the non-performance plus the existence of a fault. If the plaintiff does not manage to prove such fault conclusively, or if a doubt remains as to the defendant's fault, the plaintiff will lose his case despite a clear absence of performance.

In the Ethiopian code, the restriction of liability is limited to the demonstration of any fault, however slight: One gets close to the probatory regime which is used for extra-contractual liability (see article 2028 of the Civil Code). There is no distinction as to the existence of a case for liability in respect of the seriousness of fault. Even the smallest fault, if it is established, brings about the liability of the defaulting party. But the question is then whether the courts will not render liability restriction clauses meaningless by "discovering" a fault in every non performance situation.

The second category of liability restriction stated in article 1888 of the Civil Code must be read by reference to articles 2130 of the Civil Code (liability of employer) and 2129 of the Civil Code (liability of juridical persons). These two articles talk in general terms of the fault of employees which may bring about the liability of employers. Article 1888 thus allows such employers to avoid a liability generated by the fault of their employees. But it bears

underlining that where no fault of the employee is evident; the employer remains liable for the latter's actions vis-a-vis third parties. Here again, note that the criterion is the notion of "fault" irrespective of its seriousness. The restriction covers not only the employees, but also the "auxiliaries" of a party. This category is somewhat vague, and can be construed quite widely: the etymology of the word "auxiliary" is designed to cover any help of the employer. Thus this ranges from attorneys, advocates, through to agents and employees strictly speaking, and most probably to family or occasional helpers - which was probably what the drafter had in mind.

Example: A is a shopkeeper selling computers. B is his salesman. B sells to C a computer on which he personally took the initiative of switching the voltage to 110 V, which is incompatible with the electric norms used in the country (220 V). B further does not inform C of the danger of using the computer without electric protection. The computer hums down. C wants to sue for compensation, but a liability restriction clause drafted in the meaning of article 1888(1) will prevent him from suing A for compensation.

The previous example shows that in practice, such limitation of liability in the interest of the employer is often detrimental to the contracting party who is a victim of the fault. Even if the plaintiff proves non-performance, then fault, his opponent will generally be an employee with a modest salary, unable to pay compensation. The danger is evident that employers will use such a clause to escape any liability, using their employees as "fuses" to prevent clients from catching them up. Furthermore, the obscure category of "auxiliaries" is an invitation to employers to use personnel in a non-specified, uncertain legal position, making it all the more difficult for unsuspecting clients to identify them later in case of dispute. The contract however must be clear in its provisions as to this liability restriction, and the best advice would be for clients or consumers to refuse such type of clauses, in order to retain as a solvent contracting party the employer himself.

Article 1888(2) mentions an exception, however, which is logical. A liability restriction clause in the meaning of the first sub-paragraph cannot be used against a person who is himself the employee of the contracting party.

As is apparent from what has been described-above, contractual liability clauses are not without danger. This explains why more and more frequent statutory intervention is visible to amend the dangers-or limits - of such clauses.

For instance, certain provisions impose general prohibitions as to the possibility of exemption and even liability restriction clauses. Such is the case for innkeepers according to article 2669 of the Civil Code, because their liability is limited statutorily to an amount of 500 Birr by article 2664. The scope of the provision is even made wider by the extension provided under article 2671 of the Civil Code to many other professions receiving the public, from hospitals, to cinemas, to restaurants, to means of transport...

Article 2909 of the Civil Code, on the other hand, prohibits liability exemption clauses if the lessor is in bad faith. But this means that if the lessee fails to make the *proof* of such bad faith, he may a contrario be opposed a clause providing for the total exemption of liability of the lessor (2;909). The same technique is set out under article 2708 in the interest of the seller of chattels.

One must finally note that a given prejudice might give rise both to contractual or extra-contractual liability according to the persons who file the claim. For instance, a prejudice arises out of a non-performance of a contractual obligation. If the contracting party dies, his heirs will inherit his contractual right, limited as it might be by a liability restriction clause. But if the same heirs are able to prove a personal prejudice, independently from the contractual prejudice, they will be able to act on the basis of extra-contractual liability and thus escape the restrictive clause.

2. Penalty Clauses

Next to the clauses affecting the scope of the liability one finds the category of clauses which modify the amount of damages which may be paid for the nonperformance of contractual

obligations as per article 1799 and following of the Civil Code. It is clear that in cases where one of the parties to a contract fails to perform his obligation in accordance with the contract and the law, then there could be liability to pay damages to the other party. In such cases, the method of fixing the amount of damages could be made through the medium of the courts as per articles 1790 and the following or it could also be fixed by the parties through penalty clause provisions.

One of the fundamental principles of contract law is that parties in a contract are at liberty to fix in advance the amounts of indemnity which is to be paid in cases of non performance by inserting a penalty clause in their contract. This payment, penalty, is incorporated under article 1889 of the Civil Code. Under Ethiopian law of contractual damages, contracting parties can fix the amount of damages which shall be due in case of non performance as per Art 1889 of the civil code. According to this article a penalty clause is a clause fixing the amount of the damages due should a party not perform, or incompletely perform or be lately performing his obligations. It is a globally fixed amount of damages which the parties have agreed upon.

However, you have to note that such a clause is contractual in nature and clearly has to be provided for by the contract. It obeys the conditions of validity of contracts.

One may ask "what constituted penalty?" Although not clear, the provision of article 1889 seems to imply that it relates to a certain fixed amount of money. This can be implied from the word "amount" under this provision. Similarly, the Amharic version of this article seems to be unclear. However, the word '*yemikefelewn*' seems to imply that penalty is fixed in terms of money.

Despite this fact, article 1895 of the Civil Code which deals with contractual sanction seems to indicate that parties can also provide something other than a sum of money by way of penalty.

However, it is true that in practice it is almost always a certain sum of money that is stipulated by the parties as a penalty.

Thus, where the parties, by their contract, have determined the sum that shall be paid as damages for its breach, the creditor must recover that sum, but is not entitled to more. But when the contract is executed in part, the damages agreed on by the parties may be reduced to the loss really suffered, and the gain of which the party has been deprived, (unless there has been express argument that the sum fixed by the contract shall be paid, even on a partial breach of the agreement.)

According to Art.1892 of the Civil Code, where the creditor suffers a greater damage over and above what has been stipulated by the contracting parties as a penalty at the time of the making of the contractual agreement; the debtor is obliged to make good the actual damage if the greater damage is caused due to the debtor's intent to injure the creditor or where there is a grave fault or negligence on the part of this debtor.

The contracting parties who fix the amount of the damages through a penalty clause should make it before the occurrence of the non performance because the penalty clause is going to be due when a party fails to perform his obligations pursuant to Art.1889 of the Civil Code.

Regarding the advantages of penalty clause, the most important advantage of parties stipulating a contractual penalty clause is that courts are dispensed with assessing damages. The interest of such an institution is that it avoids lengthy discussions as to the amount of damages which will have to be paid, and prevents parties from resorting to courts. Courts are simply called up on to enforce the penalty as stipulated by the parties. But there are exceptions where the judge shall equitably reduce the penalty when the principal obligation has been partly or irregularly performed by the debtor.

Under the Ethiopian law of contract, the penalty clause has purposes of insuring performance and compensating the injured contracting party. The phrase, "should a party fail to discharge his obligation" under Art. 1889 shows the compensatory nature of a penalty clause. In addition, Art. 1891 of the Civil Code states "the penalty shall be due whenever the creditor is entitled to claim damages by reason of non-performance". So, non-performance as a breach of contract will entitle the party to the amount of damages stipulated under the contract. Therefore, it has a compensatory nature. The wording of article 1893 of the civil code implicitly shows the fact that a penalty clause has a purpose of ensuring performance in addition to compensating the injured party. This purpose of penalty clause, i.e., ensuring performance, is also reflected under Art 1892(1) of the Civil Code. It is stated that even though there is no actual damage penalty clause is going to be due and that is why parties fix a higher amount of money in their penalty clauses.

In fact this aspect of ensuring performance by a penalty clause seems the governing motive when one looks the practice in Ethiopia. It is most common that parties almost always fix exorbitant amount of money by way of penalty that is to be paid to the other contracting party and even to the governments. Thus, penalty clauses are comminatory in nature; their amount may be such that the party liable to pay the penalty is encouraged to do his utmost to implement the contract rather than pay. Penalty clauses are in thus a means of ensuring the enforceability of contracts.

On the other hand, there are dangers in the use of penalty clauses. If their amount is too low, the defaulting party may prefer to renege on his obligations, as he knows precisely how much this will cost him. If the penalty is too high, the party due to pay might be pushed to violate legal provisions so as to avoid at all cost to pay the penalty.

However, penalty clauses must be distinguished from other institutions. Firstly, we have to differentiate penalty from liquidated damages. If the sum stated by the parties were pre-estimate of loss, then it would be regarded as liquidated damages rather than being a penalty.

The: distinction between penalty and liquidated damages lies on the fact that a penalty is a secure for performance of the promised obligation while liquidated damages is sum to be paid in lieu of performance. So, the difference lies on between the real assessment of damage and the need to secure performance. However, the determination of whether a sum named in a contract to be paid on its breach is to be considered as liquidated damages or a penalty is a difficult question.

Secondly, it has to be distinguished from earnest. Earnest is paid initially at the beginning of the contract, and irrespective of non-performance. It provides for a unilateral right of termination rather than a penalty. Also, a penalty clause is only for the creditor of the non-performed obligation and the debtor has no choice, whereas earnest is possible for both parties and generally even restricted by contract to the benefit of the debtor.

Moreover, we have to differentiate from alternative obligations. Alternative obligations are again considered only from the side of the debtor. They must be clearly stipulated as such - in case of doubt the qualification of penalty clause will be preferred and it will be in favor of the creditor.

Coming to the operation of penalty clauses, as a general principle, penalty and performance cumulatively are said to be inconsistent. This is so because where there is performance there is going to be no penalty. However, they can be alternative remedies. As the creditor enters into a contact with a penalty clause so as to secure performance of the principal obligation" the law entitles such creditor to demand performance of the contract pursuant to article 1890(1) of the Civil Code. Article 1890(1) lays down the rule that even where a penalty clause was provided for in case of non-performance, the creditor may require and enforce performance from the defaulting debtor. The choice is entirely the creditor and he does not have to state his reasons. A debtor may therefore not make calculations and think that the creditor will automatically prefer the payment of the penalty. This provision takes a presumption against alternative obligations. The mere fact that a contract contains a penalty clause does not make the penalty

an alternative obligation. Thus, this entitles the creditor to demand performance of the contract instead of the penalty. This means the debtor cannot relieve himself from liability by paying the penalty. The parties can, however, agree otherwise in which case the obligation becomes an alternative one. In such cases the payment of the penalty discharges the debtor from his obligation.

The reverse side of the rule is stated under article 1890(2) of the Civil Code, in the sense that the creditor may not claim both the amount of the penalty clause and the performance of the contract. It means according to article 1890(2), as a rule, the creditor cannot demand both the performance of the obligation and the payment of the penalty. The solution has logically to-be extended to the situation where the creditor would try to impose a mixed performance to the debtor, that is to pay part of the penalty clause and perform part of the contractual obligations, unless the debtor so agrees.

Exceptionally, however, the creditor may be entitled to demand both performance and payment of penalty. This happens in two cases. These are where the penalty is stipulated for delay or for the non performance of a collateral obligation.

Thus, the only exception to this prohibition of simultaneous performance and payment of penalty clause is where the penalty was specifically provided to compensate for delay or the non performance of a "collateral" or rather accessory obligation. The stress is here on the specific identification of the basis for compensation, failing which the penalty clause will be interpreted as covering any non-performance and therefore cannot be required at the same time as the performance of the main obligation.

Accordingly, where the parties have fixed a penalty for delay of performance, the creditor is entitled to demand both the enforcement of the contract and the payment of penalty where there is delay in performance by the debtor. Similarly, where the penalty is fixed for collateral obligation but not for the non-performance of the principal obligation, then the creditor is

permitted to demand both performance and the payment of the penalty where the debtor fails to perform the collateral obligation.

A question remains in respect of the type of obligation which may be considered as accessory or collateral in the meaning of this article. Professor David gives the following example:

"A purchases some wool from B, with the stipulation that B is to deliver wool of a particular quality. It is agreed that if up on inspection of a bale to be chosen by the purchaser, the wool is shown to be of a quality inferior to that promised, B will pay A a compensation equal to 10 % of the sale price. In such a ease, A can require both the performance of the contract and the payment of the penalty since the penalty only related to the seller's accessory obligation to guarantee the quality of the goods sold"

Article 1891 addresses the manner in which penalty clauses are enforced. The penalty is due every time that the creditor is normally entitled to claim damages. This provision impliedly refers to the application of the code provisions dealing with non performance of contracts. Subject to clauses restricting the scope of the liability, the ordinary rules governing the admissibility of damages are to be observed, as stated in the general part of the law of obligations. The penalty clause determines the amount of damages to be paid, but it has not effect on the rules that determine when damages are due.

Thus, article 1891 of the Civil Code shows that one must refer to the provisions of articles 1771 through 1805 of the Civil Code that deal with non performance to determine as to when penalties will be due. Thus, for the payment of penalty proof of fault is unnecessary. Also, where performance was prevented by force majeure, the penalty does not become due and the creditor cannot claim the payment of the contractually fixed penalty. On top of this, the penalty may not be demanded before the debtor is put in default with or without notice. In accordance with article 1779 of the Civil Code, also, if it is by the act of the creditor that the

debtor failed to perform his obligation, then the penalty will not be due. Similarly, where delivery becomes impossible, the creditor is not known or uncertain or where delivery can't be made for reasons personal to the creditor, then the penalty does not become due (see article 1780 of the Civil Code).

As a principle the creditor is entitled to what is provided under the penalty clause. Article 1892(1) relieves the creditor from proving the existence of actual damages which is sustained by the creditor as a result of non performance. However, the creditor can claim more than what is fixed by way of penalty in exceptional circumstances pursuant to article 1892(2). These are where the non performance is due to the debtor's intention to cause harm (damage) or due to the latter's gross negligence or grave fault.

In this regard, one of the issues to be treated in relation to provision as to penalty is whether the enforcement of penalty and contractual damages are alternative or not.

Under the Ethiopian law of contract, whether an agreement as to liability i.e. penalty clause would serve as a substitute to damages which could have been assessed by article 1790 and the following is not clearly stated. Article 1891 of the civil code states: "The penalty shall be due whenever the creditor is entitled to claim damages by reason of non performance of the *contract*."

Some people argue that this article is to show that penalty clauses can be enforced along with damages, which are going to be assessed according to article 1790 and the following. However, others argued that the phrase "whenever the creditor is entitled to claim damages" wouldn't show the cumulative effect of a penalty clause and damages. The way this article is put shows us the fact that a penalty is going to be due in cases where the condition for the enforcement of damages are present in accordance with article 1790 and the following. Notice can be one instance of a fulfillment of condition according to article 1797 of the Civil Code. See also the above discussion.

Article 1892 (1) of the civil code reads: The penalty shall be due notwithstanding that no actual damage was caused to the creditor.” Unlike article 1799 of the Civil Code which puts a requirement of actual damage for the enforcement of damages article 1892 (1) do not have a requirement of actual damage for a penalty to become due. So, penalty may become due even if there had existed only nominal damage which is not actual. And this article, therefore, rejects the argument which states that a penalty clause and damages can be enforced cumulatively where there is no damage.

Sub article 2 of article 1892 of the civil code seems to be the most important sub article in answering the question whether damages and penalty clause should be enforced alternatively or cumulatively. Article 1892 (2) states: "Damages may not be claimed above the amount of penalty unless the non- performance is due to his gross negligence or grave fault." This sub article has a principle and exception in it. The phrase before the word" unless" puts the principle. As a principle, damages may not be claimed above the amount of penalty and therefore damages and penalty clause are not enforced cumulatively. The exception to this principle is in case where non-performance is due to the grave negligence or fault of the debtor. Therefore, the phrase after the word" unless" under article 1892 (2) puts the exception. The close reading of articles 1891 and 1892 of the civil code reveals the fact that contractual damages and a penalty clause are enforced alternatively instead of being enforced cumulatively.

Coming to the practice, most judgments show that they are alternative i.e. penalty clause stipulations are an alternative remedy to damages which could have been assessed according to article 1790 and the following. However, few judges decide that they should be enforced cumulatively. Since a penalty clause is designed as a threat on the contracting parties, damages which is assessed according to article 1790 and the following is independent of it and therefore one can ask both the enforcement of the penalty clause and the assessment of damage.

Dear student, what is your position?

Truly also a penalty clause is secondary or accessory in its nature since it is an agreement based on a valid principal obligation. Its accessory nature is simply inferred from the simple reason that it becomes due whenever there is nonperformance. It is due to the accessory nature of the penalty clause that invalidation of the principal obligation will always entail the invalidation of the penalty clause. Conversely, the invalidity of a penalty clause could never be considered to affect the very essence of the contract. (See article 1894 of the Civil Code).

Such accessory nature of the penalty clause: could also be seen from various perspectives. The accessory nature of a penalty clause could be seen when one asks "when should such a clause be made?" In this regard, it is obvious that the parties who fix the amount of damages should make such agreement before the occurrence of the non performance. This is so because the penalty will be due when a party fails to discharge his obligation. Also, the phrase "will be due" in the English version and 'askedmew' in the Amharic version of article 1889 implies that the penalty clause must be made in advance.

But you must note that the penalty clause should not always be stipulated at the time of the conclusion of the contract. As far as the penalty agreement is made prior to the non performance of the principal obligation, the stipulation of the penalty can be made any time after the formation of the contract that entails the principal obligation.

Now it will be better to see the issue on the final liquidation of damages. It is clear that the essence of a penalty clause is to fix a precise amount to be paid as damages. There can be no discussion in this case as to the amount of such damages, and articles 1799 of the Civil Code on the normal amount of damages, 1800 and 1801 on lesser or greater damage are not

applicable~ This is what article 1892 clearly indicates by saying the full amount of the penalty clause is due, irrespective of the actual amount of the damage, even if there was no damage caused to the creditor. The rule may seem harsh, but it is explainable by 'the necessary effectiveness of penalty clauses, where the automatic character of the penalty is an important element to obtain performance of the contract.

On the other hand, a reasonable amount for the penalty clause is a protection for the debtor. He knows he cannot be obliged to pay more than what was provided in the contract and he may thus make his own calculations, for instance in respect of insurance or rate of indebtedness. The only exception to the prohibition for the creditor to obtain greater damages than provided for by the penalty clause is where the non-performance is due to the debtor's intention to cause damage, his gross negligence or grave fault (article 1892, sub. 2 of the Civil Code, an echo here of article 1801, sub. 2 of the Civil Code). But this possibility will be rare because it means that the creditor first has to bring proof of such faulty behavior.

Article 1893 of the Civil Code lays down the rule that in principle the amount of a penalty clause is intangible. It may - and this is only a possibility which calls for a court action - only be reduced in the event of a part performance of the obligation. One will note that this article will become what the courts make of it. Especially it does not state a rule of proportionality between the scope of the part performance and the amount of the reduction. In other words, it is technically possible that a court may reduce the amount of the penalty clause almost to nothing even though the part performance was very small. The wording does seem to allow the court to set the contractual penalty aside completely. On the contrary, if courts want to be very strict, they can systematically refuse to reduce penalty clauses, even if performance is almost complete.

Thus, though the parties fix higher penalty than the damage that the aggrieved party may have suffered, courts are not allowed to revise the penalty on grounds of excessiveness. Article 1893 insists on the strict enforcement of the penalty save in cases of partial performance. This

aspect of a penalty clause is implied from article 1892(1) which entitles the creditor to; claim the penalty even where no actual damage was sustained by him as a result of the non performance of the debtor.

This being said, the issue of revision of penalty clauses has been a very hot topic in developed countries since the time of drafting of the Ethiopian code. Whereas British and French law at that time tended to enforce the principle of intangibility of penalty clauses, legislative statutes has been enacted that grant much greater power to judges to amend such penalty clauses. It is a major development of modern law, which runs counter to the values of 19th century legislations. These legislations stressed the all-pervasive contractual freedom of the parties and rejected the revision powers of judges. The trend is nowadays reversed and important possibilities are open to judges to change contractual provisions in respect of the actual situation of the parties, their economic difficulties, equity etc. Of course the majority of revisions are in favor of the debtor, consisting of a reduction of a penalty, rather than its increase.

The fact nevertheless remains that Ethiopian judges may not in principle vary such penalty clauses, specifically if there was no part performance. Foreign courts which were in the same situation have found the following solutions. If the penalty was so low that in fact the debtor was no encouraged to perform, French courts have judged at the time that non-performance could be construed as a form of fraud by the debtor, and that such violation of bad faith freed the creditor from the constraints of the penalty clause and allowed him to claim higher compensation. Belgian courts confronted with penalty clauses they deemed too high resorted to other concepts to reduce or even annul such clauses. They for instance qualified them as illicit clauses or as contrary to public order rules, they also identified abuse of right, fraud and did not forget lesion.

At this stage it is worth noting to consider penalty in relation to loan of *money*. Under the Ethiopian Civil code, the most important and relevant article, with regard to damages in loan agreement is article 2489 of the Civil Code. Sub article 1 of 2489 states: "Where the borrower

is late in returning the thing lent or in paying the interest due by him, he shall pay legal interest in accordance with the provisions of the title of this code relating to "Contracts in general" Article 1790 - 1805 of the Civil Code." The provisions that are cross referred by article 2489 are articles 1803 through 1805. Sub 2 of article 2489 states" Any provision increasing the liability of the borrower shall be of no effect." The issue is whether article 2489(2) is referring to penalty clauses stipulated by parties to a loan agreement. And the other issue is whether article 2489(2) of the civil code goes against the freedom of contracting parties.

Article 1803 of the Civil Code relates to interest for default in *money* debt cases. Where the debtor is in default, then he is bound to pay an interest according to article 1803 (1) of the Civil Code. Thus, it can be argued that penalty clause provisions presuppose potential damages and article 2489 (2) is meant to refer to penalty clause provisions. In other words, it seems that article 2489(2) *inter alia* refers to penalty clauses. Thus, where the borrower fails to pay the interest that is due, the lender is only entitled to claim legal interest. Thus, any contractual provision contrary to this is of no effect.

A loan agreement is a special contract and this provision i.e. article 2489 is a mandatory provision of the law. Therefore, courts should not enforce such stipulations of penalty clause since such stipulations are void from the beginning in case of loan agreements. Other provisions of the law such as article 2499 (I), 1803 and 1751 of the Civil Code state about the legal interest rate to be effected and nullity of provisions which could extend the liability of the debtor. Article 2489 (1) refers back to general provisions of the law like article 1803. The issue here is whether or not default interest may be stipulated by the parties by way of penalty which is stated under article 1889 of the Civil Code. Article 2489(2) relieves the debtor from being liable to any burden other than the interest rate (whether it is a legal interest rate or a default interest). So, the debtor is liable to an interest only according to article 2489 of the civil code. Therefore, a default interest may not be stipulated by way of penalty. And we can say that a default interest is independent of a penalty clause since the purposes of a penalty clause are insuring performance and at the same time compensatory.

On the other hand, there is an argument that default interest and penalty should be paid together.

However, you have to note that Article 2489 (2) of the Civil Code is applicable to private contracting parties excluding banks according to proclamation number 83/94. In case, banks are parties to a contract of loan, then this article i.e. 2489 (2) would not apply. Instead of it, proclamation number 83/94 will govern it. The relevant article regarding penalty provisions in case of loan agreements is article 30(3). Article 30(3) of proclamation No. 83/94 runs: "The Bank may fix penalty which banks and other financial institutions may impose for noncompliance with terms under which loans, advances and other credit transactions are extended.'

The first limb of article 30(3) states 'the bank.' "The Bank" under this article is used to refer to the National bank of Ethiopia according to article 2(2) of this same proclamation. And from this article Le. 30(3), we, can grasp that banks under the authorization of the National Bank of Ethiopia are given the power to stipulate a penalty clause when they grant loan of money for private parties. This power is also given to other financial institutions according to article 30(3) of the same proclamation. Therefore, when there is noncompliance on the part of the borrower and when bank or other financial institution is the lender, it can impose a penalty in case there might arise non-compliance. And therefore, article 30(3) of proclamation No. 83/94 is an exception to article 2489(2) of the Civil Code. And the amount of penalty to be imposed by the banks is going to be fixed by the National Bank of Ethiopia.

With regard to the application of article 2489 (2) in case of private contracting parties excluding banks, the following argument can be stated. The argument states that, it is in order to discourage acts of usury that article 2489 (2) is framed and, in addition to discourage the lender from taking advantage from the borrower since the lender is presumed to be the stronger contracting party.

3. Other Sanctions

It is a common practice that parties stipulate penalties in their contract. Usually such penalties assume various forms. One of the common is that parties stipulate a certain amount of money by way of penalty to be paid to the state should a party fail to perform his obligation.

Dear student, are such stipulations valid and enforceable?

In this regard, there are two equally persuasive arguments founded by legal scholars. The first argument states that the government has no legal backing and cannot claim the payment of the penalty when it becomes due. They argue that a contract will have effect only as between the parties. Apart from this, they also argue that government does not have a standing in the case. Since the state does not have a vested interest in the subject matter of the suit, it may not claim the payment of the penalty.

Therefore, there would be a problem of enforcing such stipulations since the government has no knowledge of the contract benefiting it because of its being a non-party to the contract. According to article 1731 of the Civil Code contracts are binding only on those who have consented i.e. according to the principle of *pacta sunt servanda*. To put it differently, since contract is deemed as a law between the parties as per article 1731 of the Civil Code and that is why the government is said to have no interest or legal backing in order to enforce such stipulation.

To put it differently, according to Article 33(2) of the Ethiopian Civil Procedure Code, the government is not qualified to sue for the enforcement of the penalty clause, which is stipulated for its benefit since it has no vested interest in the subject matter of the suit. A vested interest is said to be present where the person is a real party in interest, which has the right to require performance of the obligation from the defendant. And that is also why such stipulations cannot be seen in relation to a third party stipulation according to article 1957 of the civil code. In order to be a third party beneficiary the government should have been substituted by the contracting party i.e. the plaintiff. Therefore, there should have been an appointment by the plaintiff contracting party according to article 1953 of the civil code.

On the other hand, there is another position that is upheld by lawyers which provides that the government has every right to claim the penalty stipulated for its benefit. In this regard there is no law that forbids this. As it is because of the free will of the contracting party at the time of exercising his contractual freedom he agreed to pay a penalty, he should pay for the state.

The Ethiopian civil code under article 1895 of the Civil Code provides that the parties may also stipulate that a party may apply certain sanctions in cases of breach of the contract by the other party. The question is does "contractual sanction" refer to penalties stipulated in the form of a certain amount of money or any other form of penalty?

In this regard, there are two possible ways of interpreting this provision. The first is that the contractual sanction governed by article 1895 is not a fixed sum of money but other obligation. This means article 1895 governs agreed sanctions different from a fixed sum of money while article 1889 is applicable to penalties fixed in terms of money.

This implies that the codification commission by including such provision intended to allow parties to include clauses containing sanction other than a fixed sum of money that are very traditional in the country. In this case, applying the principle of strict application of such sanctions would result in an injustice. Accordingly, it seemed necessary to allow judicial intervention on whether or not such sanctions could be enforced. The enforcement of the

sanction may affect the personal liberty of the debtor and as such courts must see whether the agreed sanctions could be applied or not.

For instance, Senait concluded an agreement with her employer, Dereje, whereby he is to sell her car to the latter for Birr 10,000. They further agreed that if Senait breached her contractual obligation, Dereje would be entitled to dismiss her from work. Thus, if Senait failed to sell the car to her employer, according to article 1895 the court should rule that such type of contractual sanction may not be applied as it is contrary to law that is pro. No 377/2004.

The second possible interpretation of the provision is that this provision applies to the common practice of stipulating penalties for the benefit of the government where the latter is not a party to the contract. According to this interpretation courts pursuant to article 1895 should verify on whether or not such penalty could be enforced in favor of the government.

There is also an argument that it seems that the code considers here a sanction in the form of a performance in kind rather than in money. Note however that this provision does not state that these sanctions are a compensation for nonperformance. For instance, A, a peasant, undertakes to sell his crop of 500 Kilos of Teff to B, a seed merchant, after the crop is made. Should the 500 Kilos not be delivered, B imposes the added sanction that A will give him his horse. Thus, if A only delivers 450 Kilos, he may have to give his horse as well to B.

This example shows the dangers of this provision, and explains the safeguard put in this article 1895. It states that, notwithstanding any provision to the contrary, the court has to be referred to, in order to verify whether the agreed sanctions must be applied. There is thus a systematic review by the Court. But the article remains silent as to the powers of the court.

Dear student please explain your position.

MODULE THREE
PLURALITY OF DEBTORS OR CREDITORS AND
SURETYSHIP

Introduction

The presentation of the general law of contracts was based, up to now, on the assumption that was dealing with a given obligation, which had a single creditor and a single debtor. But of course this presentation is made in the interest of simplification. In practice things may be much more complex. An important and frequent variation on the scheme of a single obligation binding one creditor and one debtor is where more than one party is involved in the performance of the obligation. For instance, several creditors and debtors may be involved. The study of this situation is the object of the present chapter.

In our law, Chapter six of Title Twelve of the civil code deals with plurality of debtors or creditors. However, it is worth noting to show the different terminologies used in different legal system: in the common law, French law, and our civil code as there are different terms used in those systems.

For reasons of consistency it will be better to use the term solidary obligation from the perspective of debtors, creditors, and nature of obligation itself. Thus, this chapter covers three units: solidary obligations in case of plurality of debtors, solidary obligations in case of plurality of creditors and obligations other than solidary obligations: in case of plurality of debtors or creditors.

Objectives

After having completed the study of this unit, you will be able to:

- Define joint and several liability or solidary obligations;
- Explain the effect of joint and several liabilities among co-debtors;
- Discuss the relationship of co-debtors with the creditor;
- Discuss the relationship of co-debtors among themselves;
- Define joint obligations in the case of plurality of creditors;
- Explain the effect of joint creditorship;
- Discuss the relationship of the joint creditors *inter se*;
- Distinguish indivisible and divisible obligations and explain their effects.

Unit One: Solidary Obligation In Case Of Plurality Of Debtors

Introduction

Solidary obligations in case of plurality of debtors in the French legal system and joint and several obligations in the common law legal system, which is termed as debtors jointly and severally liable in the civil code relate to solidary obligations that exists among plurality of debtors. The provisions of the civil code which deals with such plurality of debtors are articles 1896 through 1909 of the Civil Code.

Accordingly, the title solidary obligations on debtors are used to refer to a situation where there is a joint and several obligations among debtors. In this unit, I will discuss the nature of solidary obligation in different legal systems, the relationship between a creditor and co-

debtors and the relationship among co-debtors.

Objectives

After having completed the study of this unit, the student will be able to:

- Define joint, several, and joint and several (solidary) obligation;
- Explain the effect of solidary obligations among plurality of debtors;
- Discuss the relationship between the co-debtors and the creditors;
- Discuss the relationship of co-debtors among themselves.

Section One: Nature of Plurality of Debtors or Creditors in Different Legal Systems

The concept of plurality of debtors or creditors is treated as solidary obligations in the civil law, and as joint and several obligations in the common law. The common law has three categories of promises: joint, several, and joint and several. A joint promise is a single promise made by several persons to perform the same obligation with the stipulation that each of them is only proportionally liable. In a joint promise there is only one cause of action against the promissory, and consequently, performance by, or discharge of, one of the joint obligors releases the others. On the other hand, a several promise is made by one person to perform an obligation even though that promise might be in an instrument which contains the promises of other promissors; and the creditor will be entitled to as many causes of actions as there are promissors.

A joint and several promise binds all obligors jointly as well as severally for the performance of the total obligation. Actually each party contracts a several promise to discharge the total obligation in addition to contracting a joint promise with the other. Although a joint and several obligation is to the disadvantage of debtors, in many instances it is the only type of contract a creditor will accept. At common law, because all joint obligations contracted as one, it was necessary that all of them should be joined as defendants in a suit on a joint contract. However, a joint and several obligors can be sued individually and a successful suit against one of the co-obligors does not prevent the common creditor from suing the other obligors either jointly or individually. Nevertheless, if a debt is completely satisfied by one debtor, the creditor can have no further satisfaction against the other debtors. Also, a discharge of one joint and several debtors is generally held to release co-debtors.

A joint and several obligor who is compelled to pay the whole debt has a right of contribution against his co-debtors. Contribution in this sense means that each co-debtor must compensate the performing debtor to the extent of his proportionate liability for the total debt.

Therefore, it may be said that all joint and several debtors are liable individually to the creditor for the whole debt but among themselves the co-obligors are liable only for their proportionate share. The respective shares of the co-obligors may be regulated by a contract created for that purpose or stated in the joint and several obligations, but in the absence of such a stipulation the law will imply that they joined equally in the venture.

The French concept of solidary obligation and the common law concept of joint and several obligations have a common feature, i.e., that each solidary debtor binds himself for the whole obligation with the result that performance by one debtor discharges the other debtors.

In French legal system, solidary obligations are divided into two forms: those which are contracted in favor of several creditors, active solidarity and those which are contracted by several debtors, passive solidarity.

The starting point in the French codal provisions as to debts contracted solidarily is that the creditor of a solidary obligation has an advantage in that he may obtain payment from any solidary debtor. Although the debtors are obliged to perform the same object of the contract, they may be obliged in different ways; for example, one debtor may be bound purely and simply and another may be bound subject to a condition or a term.

The creditor who has taken action against one of the solidary co-debtors is not barred from taking action against the others. Furthermore, a judicial demand against one of the solidary debtors interrupts prescription as to all co-debtors. The theory used by the French commentators and the jurisprudence to explain the rights and duties of solidary debtors is that there is either a fictitious or real reciprocal mandate among the debtors. Furthermore, a co-debtor may not increase the burden of the debt upon the other co-debtors. In a suit by the creditor a solidary co-debtor may plead defenses which are common to all the co-debtors in addition to defenses which result from the nature of the obligation and his own personal defenses. However, the solidary co-debtors may not use those defenses which are personal to other co-debtors.

Defenses which are common to all the co-debtors are payment, novation and prescription and various grounds of invalidation of contract that make the contract null and void. The personal exceptions such as duress, error or incapacity belong to one or several of the debtors but not to all of them.

If a debtor is released by the creditor and the creditor fails to reserve the solidarity against the other co-debtors, all co-debtors are released and the debt is extinguished. The remission by a creditor in favor of a solidary co-debtor discharges the other debtors unless the creditor expressly reserves his rights against them. Solidary debtors inter se are liable only for their respective interests in the debt; and payment of the whole debt by one co-debtor renders the others liable for contribution to the paying co-debtor. There is a presumption that the obligation is divided into equal portions among the co-debtors, but this presumption is open to rebuttal by evidence of a prior agreement between the debtors. Therefore, the debtor who pays the creditor more than his portion of the debt may pursue his co-debtors for their respective

shares of the excessive payment. If one of the co-debtors is insolvent his share is borne equally by the remaining co-debtors.

Section Two: Treatment of Plurality of Debtors under Ethiopian Law

In a solidary obligation in case of plurality of debtors, each debtor is considered in his relation with the creditor as debtor of the entire performance or each debtor is obliged as if he were the only debtor. In this regard, the principle is provided under Articles 1896 & 1897 of the Civil Code.

These provisions illustrate the idea of solidary obligation among plurality of debtors. An obligation is said to be joint and several among the debtors when each debtor is considered in his relation with the creditor as debtor of the entire performance (as if he were the only debtor) or where both debtors are jointly liable for the whole debt. Each solidary debtor or both solidary debtors, in so far as the creditor or creditors are concerned, is/are the debtor (s) of the entire amount individually (severally) or jointly.

Thus, each debtor is held liable until the obligation is fully discharged. The same debt may be required, be it divisible or indivisible, from only one of the co-debtors. The creditor has the discretion to select the most solvent debtor and ask everything from such debtor.

Under our law, article 1896 of the Civil Code lays down a fundamental rule regarding the situation where several debtors are concerned by the same debt. It reads, unless otherwise agreed or provided by law, co-debtors shall be jointly and severally liable. This implies that failing an express provision to the contrary, the very fact that there are two or more debtors makes them jointly and severally compelled to perform the obligation. Of course, joint and several liabilities arise from the law.

One has to say that the presumption of joint obligation is by no means evident. The presumption in French law is exactly the reverse: where no express provision so states, a plurality of debtors do not make them joint debtors and the same goes for German law for divisible obligations. The foreign legislations decide to protect debtors first and foremost, because it is considered that in case of doubt a person does not have to be held beyond his

share of the debt. On the contrary, the Ethiopian civil code is in favor of creditors. Where no express provision prohibits them from acting thus, they may always claim that the debtors are joint debtors, and therefore ask for payment of the entire debt of one of them only.

The Ethiopian solution is a choice probably dictated by the intention of seeing contracts effectively enforced, rather than putting creditors at the risk of insolvency in the many cases where no written contract is drafted. Another advantage is that the creditor does not have to divide his actions between the joint debtors: he will simply select the one most likely to be able to pay in full and let him later take risk of getting refunded from his co-debtors (article 1908). It is almost a pedagogical approach, forcing upon the debtors the meaning of the enforceability of contracts. On the other hand, in an age where consumer protection expands more and more, such a presumption of joint liability may not be in line with current trends.

Accordingly, a joint obligation is therefore an automatic by product where a contract involves several debtors. But the law itself might decide to impose a joint obligation in various other cases; for instance in the case of the debts contracted by spouses, for persons jointly held to pay maintenance (article 819), for the persons concerned by the cummulation of liabilities (articles 2124, 2125, 2136 of the Civil Code), for persons involved in the same criminal action as instigator, principal or accomplice (article 2155(2)), or persons required to make good the same damage (article 2155 (3), or "*obligation in solidum*"), plurality of principals in the contract of agency (article 2225). See also the following articles: article 458,510,2155,2195,2225, of the Civil Code; articles 255, 296, 301, 308, 309, 328,342, 364,366, 780, 790, 825,868, 872 of the Commercial Code.

1. The effect of joint and several obligations on the relations between creditor(s) and co-debtors

Apart from the effect we have discussed, the fundamental effect of joint and several obligations with respect to co-debtors may also be reflected in the case of novation, remission of debt, payment of the whole debt by one co-debtor etc. All the effects, among debtors, derive from the principle that each of the co-debtors, taken separately, is bound towards the creditor so completely and absolutely as if he was the only debtor.

Since the co-debtors are bound one for the others and each for all, for the entire debt, they must be considered in their collective relations with the creditor as representing each other. This representation, which serves primarily the interests of the creditor towards the several co-debtors, serves likewise the interest of the debtors against the creditor. This mandate produces the following effects.

A) On resjudicata

Firstly, Article 1897, sub 2 of the Civil Code, provides that each debtor will be liable until the obligation is fully discharged. Extent of this plurality of rights is illustrated by the fact that the creditor may assign his right in respect of one debtor and exercise it in respect of another, or that he may prosecute different debtors before different courts if necessary.

This shows that the action of the creditor against one debtor does not amount to a waiver of the actions open against the others later (article 1898). Conversely, the inadmissibility of the action against one debtor is no bar on the links to the other debtors.

The situation can be described as a series of independent and direct link between each joint debtor and the creditor, but which are unconnected. Personal objections may not be extended from one debtor to the other. But each link may have a specific term or, and condition. Conversely, the obligations of each debtor may be of different amounts, such is the case for suretyships for instance.

Accordingly, an action brought against one of the co-debtors shall be no bar to an action which may be brought against the others so long as the debt has not been fully discharged. The creditor has the liberty to pursue successively all his debtors so long as the obligation is not fully discharged (see article 1898 of the Civil Code).

By a *contrario* reading of this provision, the idea is that the creditor who has instituted a court action against one joint debtor is precluded from proceeding against the same person. This is implied from the phrase "other debtors".

The other issue that may be raised in connection with article 1898 is whether or not the creditor who has instituted a suit against a joint debtor partially is allowed to institute another case on the remaining debt against the same co-debtor if he won the previous case.

Dear student, how do you see the splitting of claims under article 217 of the Civil Procedure Code in case of plurality of debtors?

B) On Default notice

Secondly, a notice given to one is deemed given to all, and interrupts limitation (article 1899 of the Civil Code). A default notice putting one of the co-debtors in default implies that such notice is deemed to have also been given to the other co-debtors pursuant to article 1899 of the Civil Code. The notice sent to one transfers risks for all debtors. As you remember, a creditor who has a right to demand performance from co-debtors is required to put the debtors in default to claim rights arising from the non performance of the debtors unless it is unnecessary according to article 1775 of the Civil Code.

The principle enshrined under article 1899 is a direct reflection of the principle of reciprocal representation of the co-debtors where by the act accomplished by or against one of them is considered to be made by or against the others with regard to whom it produces the same effect as if it were done by them. Co-debtors represent each other in their collective relations with the creditor.

C) On void and voidable contracts

The third effect relates to void and voidable contracts. As to the nature of void and voidable contracts, the reader is advised to read chapter one. From article 1900 of the Civil Code, you can understand that there are defenses common to all co-debtors and defenses which are strictly personal. In this regard sub-article one seems to refer to void contracts while the second sub article relates to contracts which are voidable.

Thus, where the contract is void, any of the co-debtors can raise this defense against the creditor(s). Accordingly, this defense is classified under common defense available to all. For instance, if the object of the contract is unlawful, immoral or the contract doesn't fulfill the prescribed formality requirement, any co-debtor can raise such defense.

On the other hand, where the contract is voidable this may not be raised by all the co-debtors. It is only a debtor who has the right to invoke invalidation of such contract that may raise it as a defense. Accordingly, the defense is said to be a personal one. For instance, if the contract suffers from defect in consent or in capacity by one of the co-debtors, it is only this co-debtor; who is mistaken, deceived, compelled, or incapable, that can raise this defense.

Among the common defenses that are available to all the co-debtors are payment and limitation of actions. Where there has been total or partial payment or where the claim of the creditor is barred by limitation, each debtor may invoke this as a defense according to article 1901 of the Civil Code. In this regard, in case of total payment and limitation of actions, the defense is to bar the total obligation. If payment is made by one, being the same debt, all are released in respect of creditor. In case of particular payment by one of the co-debtors, however, the obligation will be reduced to the extent of the payment made by the co-debtor.

D) On remission of debt

The fourth effect relates to remission of debt by the creditor. In cases where there is solidarity of debtors, remission of debt may be absolute or relative in accordance with article 1902 of the Civil Code. In this regard, if the creditor remits the debt to all co-debtors the obligation is extinguished and all co-debtors are released.

However, if the creditor remits one of the co-debtors, there may arise a problem for applying such remission. Sub article one of 1902 states that where the creditor remits the debt to one of the co-debtors, then all the co-debtors will benefit from such remission as they are released from the obligation to the extent of the remitted debt.

Be that as it may, the creditor can make the remission to benefit only one of the co-debtors and reserve his right against the others. In this regard, the remission will benefit only that debtor and the creditor has a right to collect from the others less the amount he has remitted. But this will be the case where the creditor has expressly stated that the debt is remitted for the exclusive benefit of one debtor and that his right against the other debtors is reserved. This is

clearly enshrined under sub article 3 of 1902. Thus, if the creditor does not expressly reserve his rights, then the remission may benefit all the co-debtors.

There is, however, a discrepancy between the two versions of sub-article 3 of article 1902. The English version implies that where the entire debt rest up on the debtor whose share has been remitted by the creditor, the other joint debtors are going to be released. It does not seem to refer to the share of the debt of the remitted debtor. On the other hand, the Amharic version clearly deals with the share in the debt of the debtor whose debt has been remitted. This means where the creditor has remitted for the exclusive advantage of one of the co-debtors, the other co-debtors remain being responsible towards the creditor who is merely entitled to deduct from the common debt the portion owed by the one discharged. Thus, in this regard, the Amharic version seems preferable.

In respect of joint obligations of co-debtors, article 1902, which settles the question: the remission of the debt granted to one co-debtor releases all the other co-debtors. This is the logical consequence of the debt granted to one co-debtor releases all the other co-debtors. This is the logical consequence of the presumption of "joint and several liabilities". But it is a rebuttable presumption.

The opposite is true when the creditor specifies that the remission is for the exclusive advantage of one debtor only. The provision insists ("specifies") on the fact that such an exclusive advantage must be clearly stated by the creditor. In case of doubt, the court will therefore extend the benefit of the remission to all co-debtors. Where the remission is limited to one co-debtor, the others benefit however from it (article 1902, sub. 3) if the debt ultimately rest with the advantaged debtor. What is meant by such a provision? It means that they may only claim a reduction of their own share if it is clear that the remission was meant to reduce the global debt by the amount remitted.

The following example will illustrate what has been just said. A, B and C are debtors of 900 birr in respect of P. Failing any contrary contractual or legal provision, they are deemed jointly liable, that is, each one may be required to pay 900 birr to P if he is the first to be asked. If he

pays, he will then ask the two other debtors each for one third of the debt (300 birr) pursuant to article 1907 and 1908, sub. 1. Suppose P decides to remit B's debt. If P doesn't state clearly that such remission is in the exclusive interest of B, then one must consider that the entire debt of 900 Birr is remitted and that A and C are therefore released (article 1902 sub. 1).

P may state that the remission is in the sole interest of B. If he does not say anything else, the other debtors remain held for the total amount. In the previous example A or C may be asked to pay the full 900 birr, and may only require from the other half or what he paid (450 Birr). We have an illustration of the rule also stated under article 1908 sub. 2: the joint co-debtors incur the risk of a non-paying co-debtor.

Finally, if it is clear that the debt remitted rests with B, A and C can claim a proportional reduction of their obligations. Here, the amount B can claim from A or C is equal to $900 - 300$ (B's share of the debt) = 600 Birr. Conversely, the debtor (A or C) who has paid has an action against the other for half that amount (300 Birr)

E) On novation

Fifthly, in case where the creditor agrees with one of the co-debtors to substitute a new obligation for the original one, then provisions of article 1902 will *mutatis mutandis* apply. Thus, pursuant to article 1903(1) cum 1902(1), where novation occurs between one of the co-debtors and creditor, all the other co-debtors will be released from their obligation.

Dear student, how do you see the requirement of unequivocal intention to novation under article 1828 for the remaining co-debtors?

As per article 1903(1) of the Civil Code, the very fact there is a novation agreement between the creditor and one of the co-debtors relieves the other co-debtors from their obligations.

As is the case of remission of debt, the creditor may limit the effect of the novation to only one of the co-debtors. This he can do by expressly specifying that the novation will only apply to the share of that co-debtor. Where this occurs in accordance with article 1902(3), the remaining co-debtors will remain liable to the creditor but their liability will be reduced to the extent of the share of the co-debtor who has agreed with the creditor.

F) On setoff

The seventh effect is on set-off which is provided under article 1904 of the Civil Code. Similar to 1902, the two versions of article 1904 seems to have discrepancy. However, the Amharic version seems appropriate for the same reason discussed under article 1902.

In this regard, article 1904 clearly allows the co-debtor who is owed by the creditor to invoke set-off. The issue, however, is whether or not the other co-debtors can invoke set-off on behalf of the other co-debtor. The other co-debtors can plead set-off to the extent of the obligation of the debtor who is owed by the creditor.

The last effect, merger in cases of co-debtors, is treated under article 1905 of the Civil Code. Article 1905 states that, merger between the creditor and one co-debtor does not release the co-debtors unless the debt should have ultimately rested with the beneficiary of the merger. Example: C, D and E are joint debtors of A for 1.000 Birr. A dies and C is his heir. Merger therefore happens between A and C, the latter may request of D and E their share in the contribution, or 333 Birr each as a consequence of article 1907, unless the whole 1.000 Birr was supposed to rest with C.

There is also discrepancy in the two versions. But you have to take the Amharic version for the reason we discussed above. If there is merger, on the debt between one co-debtor and creditor, the portion of the common debt that relates to one of the co-debtors will no longer exist. Accordingly, the new creditor, the co-debtors will no longer exist. Accordingly, the new creditor, the co-debtor whose debt is merged with the previous creditor, may demand payment from the remaining co-debtors less the amount that relates to his share.

Schematically arrangements of Defenses open to joint debtors

DEFENCES OPEN TO JOINT DEBTORS

Common objections	Personal objection extended to all	Purely personal objection	Debt rests finally with other debtor
- Payment (total or part)	Remission of debt to 1 debtor 1902 (1) -	1. Incapacity	- Remission of debt 1902 (3)
- Absolute nullity	Novation 1903	2. Vice of consent	- Set-off 1904
- Remission of debt to all co-debtors	(1)	3. Term	- Merger 1905
- Limitation		4. Condition	
-Liability 1906 (2)		5. Specific remission 1902 (2)	
		6. Specific novation 1903 (2)	
		7. Set-off 1904	
		8. Merger 1905	

The defenses open to joint debtors must be distributed according to their scope in the four categories set out above. The first category is that of the defenses common to all, which may be exercised by any of them. In fact article 1906 (2) of the Civil Code states the duty for a debtor to raise all objections common to all debtors.

Certain objections are personal of one of the joint debtors, but by a mechanical effect they may be extended to all. The third category is that of purely personal objections. The last category is where the debt rests finally with another debtor, even if the joint debtors were called at one stage to contribute.

2. The Relation of the co-debtors inter se

The relation of the co-debtors as between themselves or among themselves is regulated under article 1906 through 1909 of the Civil Code. These will be discussed in the following manner.

Firstly, where several debtors are bound jointly and severally for the performance of one and the same obligation, they are duty bound to promote the betterment of the condition of all of them. Accordingly, a debtor is required to abstain from doing any thing which might aggravate the situation of the other co-debtors. This principle is incorporated under article 1906 of the Civil Code. Article 1906(1) imposes upon each joint debtor the prohibition of to aggravate by his behavior the situation of the other debtors. You may for instance consider a situation where the claim of the creditor is barred by limitation but one of the co-debtors fails to raise this defense. This failure implies an increase in the liability of the other co-debtors.

A part from this, sub article 2 provides that where the debtor fails to raise a defense that is available to all co-debtors, then such debtor will be liable to the other co-debtors. Such is the case where one of the co-debtors fails to raise limitation as defense.

Secondly, the co-debtors will share the common debt after payment. The fact that each debtor is held liable for the performance of the whole obligation in his relation with the creditor does not prevent the common debt from being divided. After the performance of the obligation, the obligation becomes divisible among the co-debtors. This is because every one of them is

presumably acting for his own benefit and thus, must have a share in the debt despite the undertaking by the co-debtors is considered as involving a common debt in their relation to the creditor.

This being said, the principle, once the creditor has been paid, is that the joint liability ceases and that the principle is that of the division of the debt between the debtors, on an equal basis, unless otherwise provided (article 1907 of the Civil Code). This provision provides the manner of the division of the debt among the co-debtors.

This provision takes a presumption of equality in the share of the debt among the co-debtors. This presumption may, however, be rebutted where there is either a contrary agreement among the parties or a contrary provision of the law. If, for instance, the co-debtors have a separate agreement which states that the shares of each debtor in the total debt are not equal, the contribution is to be made in accordance with their agreement.

Thirdly, is so far as each debtor is liable to contribute to the extent of his part in the common debt, a debtor who has paid in excess of his share will be entitled to a right of recourse against the remaining co-debtors for the excess amount per article 1908.

Thus, the operation of division is made along the lines set out by article 1908 of the Civil Code. The debtor who paid more than his share may be refunded the surplus by each other debtor in proportion of their share. Equality is not necessarily absolute if the contractual provisions stated different shares to rest on the heads of the debtors. Where one of the debtors is insolvent, the risk is assumed by the others who pay his share, again in proportion of their own (article 1908(2)).

Sub article 1 of article 1908 provides that the debtor who has paid in excess of his share may claim the amount paid in excess of his share from the other co-debtors in proportion to their shares. Once the obligation towards the creditor has been fully discharged, the solidary nature of the debt comes to an end. The paying debtor may only claim the excess amount he paid from the co-debtors in proportion to their shares in the common debt as there is no joint and several obligations among the co-debtors.

However, where one of the debtor's shares cannot be recovered, sub article (2) provides that such unrecovered amount is to be repaid by the other co-debtors in proportion to their share. This may include insolvency of the debtor. Thus, where one of the co-debtors becomes insolvent, such risk of insolvency is borne by the other co-debtors in proportion to their shares in the common debt. A co-debtor with greater share in the common debt will assume the greater risk and the co-debtor with smaller share in the common debt will assume smaller risk.

Lastly, a debtor who has paid in excess of his share will be entitled to a right of recourse against the other co-debtors who have not yet paid their shares pursuant to article 1909 of the Civil Code. The paying debtor by virtue of this provision is entitled to claim contribution from the other co-debtors. Such action is what is called the legal right of subrogation as a result of which such paying debtor will be placed in the position of the creditor to the extent of the amount paid by him to the latter. In such cases, the creditor is legally required to hand over any document and make available all information to the paying debtor to enable the latter to claim from his co-debtors. If the creditor fails to discharge this legal duty, he is subject to the payment of damage arising from his failure.

Accordingly, the debtor who has paid may exercise his action to the extent of the amount paid. The creditor has a duty of collaboration with the debtor who paid him, and must specifically hand all the documents and make all the formalities necessary for the refund. This duty of collaboration of creditor is sanctioned by article 1909(3): he will be liable for the damage caused by him to the debtor who has paid when such substitution is impossible because of his own behavior.

Dear reader, how do you see the right of substitution and subrogation?

Section Three: Joint Creditors

Regarding joint creditors, the law takes a presumption against solidarity or joint and several liabilities. Article 1910 of the Civil Code states exactly the reverse rule from article 1896 of the Civil Code: joint creditors are not jointly entitled to claim payment. To this effect, article 1910 provides that unless otherwise agreed or provided by law, joint creditors shall not be jointly and severally entitled to claim payment. It means the law presumes that, where there is plurality of creditors, each co-creditor is only entitled to claim his share of the total claim and cannot claim the totality of the claim.

This presumption, however, will not operate where there is an agreement otherwise. It is clear that solidarity of creditors may be established by contract or testament.

Dear student, May solidarity between creditors be created by operation of the law? How do you see the principle of non existence of joint and several entitlement under article 1910 and requiring payment of the total debt by each joint creditor from the debtor under article 1911?

Regarding the second question, there are two arguments. The first argument is that article 1911 of the Civil Code is applicable only when there is agreement between creditors as to joint and several entitlements. It means when their agreement reflects the fact that each joint creditor can require the total debt, article 1911 may be effected. In this case each joint creditor is considered as a principal creditor for requiring payment of the total debt.

The second argument is that as joint and several entitlements in case of plurality of creditors is exception, article 1911 doesn't provide about this issue. As per this argument, each creditor may require the debtor to pay the whole debt by way of mutual representation or mutual agency, but not as a principal creditor. Thus, the basic principle underlying joint creditors is that there is a relationship of mutual agency among the solidarity creditors by virtue of which each creditor is empowered to exercise against the debtor and only the right which correspond to him, but also all the rights which correspond to the other creditors, with the consequent obligation to render an account of his acts to such creditors.

As a result of the mandate given to each joint creditor to sue and collect payment of what is due to others, each creditor may demand the debtor to pay the whole debt. The debtor may not plead the benefit of division of the credit. Accordingly, **the** debtor may pay the entire debt to any of the creditors and such payment extinguishes the obligation of the debtor.

The debtor has a right of choice as to which of the creditors to effect payment of the total a debt subject to the limitation put under article 1911(3) of the Civil Code. There seems a slight inconsistency between the two versions of this sub article.

The English version seems to imply that where there has been a court action instituted by any one of the creditors, the debtor may not pay the other creditors. On the other hand, the Amharic version merely says that where the debtor has been given notice by any one of the creditors, not court action being instituted, the debtor may not have such choice.

Dear student, which version is more tenable?

In this regard, it seems tenable to uphold the Amharic version for there is no presumption of joint and several entitlement to protect co-creditors. Accordingly, where there is any judicial or extra judicial demand of payment by one of the creditors, such creditor is to take precedence. This is because such notice warns the debtor from paying the other creditor(s).

The other implication of the principle of unity of debt, in addition to mutual agency, is that any act interrupting the period of limitation as regards one of the joint creditors interrupts it for the benefit of all the joint creditors per article 1912 of the Civil Code.

Dear student, if one of the co-creditors puts the debtor(s) in default, would the effect of such default benefit the other co-creditors? In French law, if one of the co-creditors gives default notice for the debtor, the effect of such default is that to benefit all the creditors. In our law, there is similar provision on joint debtors. There is also mutual representation among the co-creditor. Thus, it seems that the answer for the above question is positive.

Thus, the situation of joint creditors can be analyzed along the same lines as that of the joint debtors, i.e. in terms of unity of the debt. The unity of the debt is considered under articles 1911 and 1912. Each creditor may require payment of the whole debt, the payment to one amounts to payment to all, and any interruption of limitation benefits all. Translated on the side of the debtor, it allows the latter to pay the creditor of his choice, at least until proceedings have been instituted by another, who then takes precedence.

The plurality of links can be seen in articles 1913 and 1914 of the Civil Code, where a remission of debt or a novation granted by one creditor only affects this creditor's share. In the same sense, in the event of a set-off, article 1915 of the Civil Code states that the debtor may only oppose such a defense to the extent of the creditor's ultimate share in the claim.

Although each creditor is considered as a representative of the other, solidary creditors do not have the right to dispose of the entire credit individually. In reality, the credit belongs to each creditor only for his part. Each of the co-creditors may do whatever may be useful to the others, but not anything which may be prejudicial to the latter.

Accordingly, there is a limitation on the power of each creditor to represent the other joint debtors. These limitations are enshrined under articles 1913 through 1915 of the Civil Code.

Firstly, no one of the joint creditors can remit the entire debt without the consent of the others. Where remission of debt is made by one joint creditor, the credit remains intact with regard to the other creditors. The remission will be effective only as to the part of the joint creditor who effected the remission. The remission thus made only releases the debtor in respect of such remitting creditor. This principle is incorporated under article 1913.

Example: C1, C2, and C3 are joint creditors of the sum of 900 Birr in respect of D. If C2 remits the debt to D, D sees his debt drop by the share of C2 (300 birr) and he stands to pay 600 Birr either C1 or C2

Dear student, what is the consequence of a remission of debt on guarantors?

The suretyship granted to the creditor is given in respect of a precise debt (article 1920, 1928 and 1946 (*acontrario*) of the Civil Code, the suretyship is an accessory to the principal contractual relation. Where the creditor remits the principal debt, the suretyship has no reason to endure and the guarantor is released at the same time (article 1926 of the Civil Code). On the other hand, the creditor may release the guarantor; this does not affect the existence of the principal debt.

In the event of a plurality of guarantors, the release of the suretyship granted by the creditor should logically follow the same lines as what has been said for the case of several debtors, that is it varies according to whether the guarantors are jointly held or are simple guarantors.

Secondly, similar to remission, a joint creditor does not have the mandate to enter in to a novation agreement with regard to the entire credit. Any novation agreement made by a joint creditor will have effect only with respect to the share of that creditor per article 1914 of the

Civil Code. However, where the other joint creditors have consented to the novation, it may have effect as regard such consenting creditors.

Thirdly, in case where the debtor becomes creditor of one of the co-creditors, the debtor may invoke set off against the other co-creditors only to the extent of the share of such creditor pursuant to article 1915 of the Civil Code.

Lastly, where one of the co-creditors has collected the entire amount of the debt from the debtor(s), there arises an obligation on such creditor to render an account to his co-creditors. He is held liable to the others for the share in the obligation corresponding to them. A joint creditor who is paid more than his share must then distribute the surplus between his co-creditors, in proportion of their respective shares. With respect to such distribution between the cocreditors of the debt paid, article 1916 of the Civil Code provides the mode of distribution. The principle incorporated under article 1916 is that of equality of shares in the distribution of the payment made by the debtor. This principle may not work where a contrary provision is there in the agreement of the parties, i.e., the co-creditors. Here again, one must insist on the fact that a joint creditorship does not necessarily mean that each creditor is ultimately entitled to an equal share. The judge will have to study the contract.

Section Four: Non Joint Obligations

There may be situations where there is plurality of debtors and/or creditors regarding an obligation that is not joint and several one. The obligation may be either indivisible or divisible.

Indivisible obligation is treated under article 1917 of the Civil Code and divisible obligation is treated under article 1918 and 1919 of the Civil Code.

1. Indivisible obligations

The Ethiopian civil code has nowhere defined indivisible obligations. Accordingly, it would be better to consult literatures and other legal system about indivisible obligations. Indivisibility is

generally a characteristic of the object of the obligation. For instance a car is indivisible if this is the object of the obligation. The same applies to a given obligation to perform a service. If there exists a plurality of debtors, the situation is de facto very close to a joint obligation. Hence the rule stated by article 1917 is the applicability by analogy of the rules governing joint obligations.

In French law, an obligation is indivisible where corporal or intellectual division of its object is legally or physically impossible. Thus, where the obligation is indivisible, the debtor cannot execute the obligation in part. In such cases, it is impossible for the debtor to perform his obligation in part, but must be performed altogether.

An indivisible obligation is either absolute or relative. An obligation is absolutely indivisible where the object of the obligation is indivisible under whatever aspect it is envisaged, in such a way that it can never be due without the obligation being indivisible. For instance, in a contract of sale of a horse, obligation of delivery of a horse is absolutely indivisible.

On the other hand, relative indivisibility is present when the thing considered in its natural form is indivisible, although one can conceive that it can be executed successively and by fractions. The best example given to this kind of impossibility is the obligation to construct a house.

However, indivisibility of an obligation may also arise from an express provision of the law. In this regard, the law provides that shares and debentures, or bonds are indivisible. (See articles 434 and 328 of the Commercial Code).

Coming to the civil code, natural indivisibility of an obligation is recognized, Article 1917 provides that the provisions regarding joint obligations shall apply by analogy to obligations which are indivisible owing to their nature. The origin is generally natural in origin as stated in this article. But nothing prevents the parties from stipulating that a given performance will be indivisible, even if it is divisible by nature, such as a sum of money. This can be used as a form of security. But it must, therefore, be explicitly stated in the contract if the rule of article 1896 is not applicable.

Indivisibility of an obligation has its own effects in case of plurality of debtors and creditors. In this regard, article 1917 which is the only article dealing with such obligation simply provides that the provisions dealing with joint obligations are to apply by analogy to obligations that are indivisible. Accordingly, it is important to see the various effects of indivisibility where there are several debtors and/or creditors.

In case of plurality of debtors, firstly, since the object due not being susceptible of a partial performance, the co-debtors must necessarily execute the obligation at one time. It follows that each one of the co-debtors can be sued for the total debt or obligation. Where the obligation is fully discharged by one of the co-debtors, the obligation is validly discharged. Accordingly, the creditor has no right of recourse against the other co-debtors.

Secondly, interruption of period of limitation of actions effected against one of the co-debtors preserves fully the rights of the creditor as against all. (See articles 1899 cum. 1917 of the Civil Code).

In general, the provisions dealing with jointly and severally liable co-debtors be applicable for those co-debtors whose obligation are indivisible by its own nature (see articles 1896 through 1909 cum 1917 of the Civil Code).

On the other hand, indivisibility of obligation may have certain effects in cases where there are pluralities of creditors. Each creditor may demand performance of the obligation in full and may validly discharge the debtor. However, each creditor may not be entitled for remission of entire debt or make novation agreement over the total debt. If such happens, the debtor remains bound to the other creditors, deductions being made of the part of the one who dealt with him.

Nevertheless, interruption caused by one of the creditors, and suspension of prescription established in favor of one of them, benefits all others. On top of this, if one of the creditors received the payment he is required to reimburse the extra amount he received.

To sum up, for the case of plurality of creditors in case of indivisible obligation, refer to articles 1910 through 1916 of the Civil Code.

2. Divisible obligations

The other type of obligations treating the concurrence of two or more debtors and, or creditors is the concept of divisible obligations. Under our law divisible obligations in cases of plurality of debtors is governed by article 1918 while the case of plurality creditors is regulated by article 1919.

Article 1918, which deals with plurality of debtors to a divisible obligation, defines such obligation negatively. This means according to such provision, an obligation is said to be divisible where it is neither joint nor indivisible. Thus, the principle underlying divisible obligations among several debtors is that the debt is to be divided in to as many fractions as there are debtors. Unlike the case of joint obligations, there is no representation among the co-debtors. If the obligation is not a joint one but a divisible obligation, article 1918 states that each debtor may only be held for his own share.

From this principle the following effects arise. Firstly, each debtor is bound to pay, only his respective portion of the debt which of course is not necessarily equal to that of the others, rather depends on their contract or law in every case. But there may be a situation where one of the debtors has acted as a surety and guaranteed the performance of the obligation by the principal debtor. In such cases, such debtor will be held liable for his own share in the debt as well as for that of the debtor whose performance he guaranteed to the guarantor.

Secondly, acts interrupting period of limitation directed against only one of the debtors cannot be asserted against the other debtors.

Thirdly, the risk of insolvency of one the debtors is assumed by the creditor and not by the other debtors.

Fourthly, where the divisible obligation is accompanied by a penalty clause, the penalty is incurred by the debtor who breaches the obligation and only for the portion of the principal obligation for which he is bound.

Fifthly, the default of one of the debtors is absolutely without effect as to others. The sixth one is a remission of debt made by a creditor to a co-debtor will only have effect with regard to the share of such debtor.

Sixthly, the remission of the debt made to one of them is without incidence on the others. The remission does not profit nor burden them, because their obligation is divisible. Example A, B and C are not joint debtors of P, according to the contract which binds them. Suppose, they owe P respectively; 450, 300 and 150 Birr. Even if P remits the entire debt of B, this has no influence on A and C, who will any stand to pay 450 and 150 Birr respectively.

Lastly, a novation agreement made between a creditor and a co-debtor will release only such co-debtor, but no effect with respect to the other co-debtors.

Thus, one has to imagine a situation where the obligation is neither joint nor indivisible, in practice this will be the case for a divisibility stipulated by contract, and therefore it will have a relatively limited scope, especially because it is of little interest to creditors. Each debtor of a divisible obligation will only be liable for his own share, which of course is not necessarily equal to that of the others. The judge will have to check the contract in every case.

The effect of a divisible obligation is that each link to the creditor is independent from the others. If one is void, it does not affect the others. If one is paid it does not affect the share of the others. A notice to one debtor does not concern the others. The interruption of limitation in respect of one debtor does not affect his co-debtors. Article 1918(3) of the Civil Code, moreover, states that the fact the obligation is divisible do not affect the suretyship which may have been granted by one debtor to the principal debtor.

Similar to article 1918, article 1919 provides that obligations which are neither joint nor indivisible are considered to be divisible among the creditors. In respect of creditors, the divisible nature of the obligation means that each creditor may only claim his share of the

obligation and no more, whether determined by contract or by law (article 1919 of the Civil Code).

This aspect explains that the situation considered by article 1919 will in practice be far more frequent than that of joint creditors. The interest for the creditor, who is generally the dominant party in the contract, is that the work, expense and liability of determining the respective shares of the creditors, of sending them the payments and of proving that such payments have been made rests on the paying debtor.

The basic principle underlying divisible obligations among several creditors is that the portion of the various creditors in a divisible obligation are to be considered as being as many distinct credits as there are creditors. Based on this principle, the following principles arise.

Firstly, each creditor may claim only his respective portion of the debt that is determined based on the contract.

Secondly, acts interrupting a period of limitation proceeding from only one of the creditors do not benefit the other creditors.

Moreover, remission of debt, novation, set-off applies only to the co-debtor who is the beneficiary of them.

UNIT TWO: SURETYSHIP

Introduction

In this unit, an important section is devoted to suretyship, showing its importance both because it is an ancient tradition and most of all a very cost-efficient one. It is also related to plurality of debtors as a third party guarantor assumed the obligation of the principal debtor.

In this unit, the different characteristics of suretyship, the relationship between creditor and guarantor, the relationship between debtor and guarantor, the relationship between guarantors and other related issues will be explored.

Objectives

After the student successfully completed this unit, he will be able to:

- Explain the nature of suretyship;
- Discuss the effects of suretyship on guarantor towards the creditor;
- Explain the effects of suretyship on debtor towards the guarantor;
- Distinguish simple guarantor from joint guarantor;
- Distinguish counter guarantor from secondary guarantor;
- Explain the effects of the above types of guarantors.

Section One: Nature of Suretyship

The idea deriving from the wording of article 1920 of the Civil Code is that where the principal debtor defaults, the guarantor steps in and executes his obligation in respect of the creditor- usually a payment - in the debtor's place. So a third party is introduced in the bilateral relation, which exists between creditor and debtor.

Thus, suretyship is defined as a contract in which a person binds himself for another already bound and agree with the creditor to satisfy the obligation if the debtor does not. Suretyship involves a three party relationship of creditor, debtor and surety. The obligation of the surety presupposes and depends upon the existence of an obligation of a principal debtor. This is also what is clearly enshrined under Article 1920 of the Civil Code. According to this provision, whosoever guarantees an obligation shall under take towards the creditor to discharge its obligation, should the debtor fail to discharge it.

The fundamental advantage of suretyship is to make transactions much easier by increasing the safety of the creditor entering such a secured transaction. The creditor has in fact two (or more) debtors for the same debt. He is encouraged to conclude riskier contracts in the knowledge that in case of a default of the main debtor, he can fall back on the guarantor. Hence suretyship is a classic and extremely frequent security in commercial relationships. This enables the trader to contract with a buyer he does not know of for instance, or with a partner who presents an uncertain solvency. This consideration is important in countries where commercial information is still little developed, where balance sheets are not readily available to creditors or commercial registers still relatively uninformative.

The advantage of suretyship from the side of the debtor, on the other hand, is that he gains incredibility and will be able to trade. It is an important asset for someone setting up a business

or entering a new field of activity. Suretyship supports creation of new businesses and buttresses a developing economy. It is furthermore a cheap way of curing credit, obtaining loans ... etc.

Suretyship as it develops can become an important area of activity for financial institutions such as banks or insurance companies, who will be willing to grant their guarantee against a relatively low fee paid by the main debtor. It indirectly encourages transparency in commercial relationships because such financial institutions are directly interested in precisely appreciating the risk they are covering. This in turn encourages the development and professionalism of accounting professions, who are the best informants as to the financial health and prospects of businesses.

The advantages of suretyships for the guarantor are not evident. The effect of a suretyship is that the risk of not being paid is transferred from the creditor to the guarantor. The latter is at the risk of pay, whilst he has not benefited from the performance given by the creditor. Furthermore, his chances of being refunded are slim, by definition, as he is only called to pay when the debtor has refused to do so, or is unable to do so.

Even though the suretyship is an accessory obligation to that existing between the creditor and the debtor, the debtor is not a party to the suretyship. The suretyship does not have to be known by the principal debtor (article 1921 of the Civil Code). He does not have to give his express consent to such suretyship, and it can even be concluded without his knowing. This last situation will be that where the guarantor wants to make a liberality to the debtor. The originality of this situation bears underlining: it is an exception to the very general principle that a person may only be obliged *where* he has given his consent (article 1679 of the Civil Code). The rationale behind this exception is that the guarantor *must* be allowed maximum protection where it does not conflict with the proposed increase in the number of suretyships. To state otherwise would be to endorse an unlawful enrichment of the defaulting debtor.

However, suretyship should be distinguished from other institutions. The nature of suretyship can be clearly shown by comparison with certain other obligation. Firstly, surety differs from real surety. Certain legal scholars used the term "real surety" where a third person guarantees the

debt of another, not by obliging himself personally, but in engaging certain of his property. This is in effect a pledge or mortgage for the debt of another. The term "real surety" has also been used to designate the deposit of money or other property by the debtor himself to guarantee the execution of his obligation, but in the legal sense of the situation, this is a pledge.

In the strict and legal sense of the term, "suretyship" is a contract by which a person, an individual or artificial one, engages himself to a creditor to satisfy an obligation undertaken by the debtor if the latter does not satisfy it. This person, called surety, obligates himself personally and is, in principle, a second debtor for the creditor.

Secondly, surety differs from insurance in that in a contract of insurance, one party, the insurer, undertakes to pay a second party, the insured or a person nominated by the party for the loss occasioned by the happening of the specified event. To put it differently, suretyship is a collateral undertaking while insurance is an independent original undertaking. Being it is a primary obligation, a contract of insurance need not be accessory to any further obligation nor is it necessary for an insurance contract to relate to the conduct of any party.

On top of this, in the insurance contract two parties are bound and classified as a bilateral contract. In this respect both parties, the insurer and the insured, are duty bound to perform certain obligation towards each other. Suretyship contracts are unilateral contracts and presuppose the existence of three persons: the debtor, creditor and surety.

Is there any other parameter for the distinction between suretyship and insurance?

Thirdly, there is distinction between suretyship and warranty in that the former must relate to some legally enforceable obligation or duty to which another person is subject in contract. It is quite common for warranties to gear no relation to the obligation of any third party.

There are also other institutions that seem to be similar but differ from suretyship. Please discuss them.

Regarding the characteristics of suretyship, there are different characteristics provided in our law. The first one is the form of suretyship. By form is meant some peculiar solemnity attaching to the expression of agreement for the inclusion or exclusion of certain subject matter. It is not the agreement itself rather it is the solemnity which is attached to the agreement. It is the way of expressing the agreement of the parties. Agreement is expressed through consent of both parties towards an object defined. The consent of the parties to a contract is expressed through offer made by one party and acceptance of the other. The solemnity is then attached to the expression of offer and acceptance which reveals the agreement of the parties.

When we consult the Civil Code provisions dealing with suretyship, no form requirement is laid down for suretyship agreements. But Article 1725 which is headed contracts for long period of time seems to require suretyship agreements to be made in a written form.

Pursuant to Article 1727 of the Civil Code, a contract of guarantee needs satisfaction of three elements: special document, signature of parties bound and attestation of two witnesses. When we say the document has to be special, we mean that it has to be expressly deal with the particular purpose for which it is designed, and it should not deal with matters other than the contract.

With regard to signature, sub-article (1) of Art 1727 states that the formal contract has to be supported by a special document signed by all the parties bound by the contract. The main issue rests on the term "bound." This term assumes the existence of obligations on the parties. Consequently, distinction has to be made between unilateral and bilateral contracts to ascertain the existence of obligation on parties.

We have seen that only one party is bound in unilateral contracts. Since suretyship contract is a unilateral one and only the guarantor is bound by it, the obligation rests on the surety and not on

the creditor. The guarantor is the only person who assumes an obligation from the suretyship agreement. Accordingly, it is only the guarantor who is to sign on the contract of guarantee. G. Krzeczunowicz commenting on this issue stated the following: "A contract required to be in writing must be signed by all the parties bound, and only by them. Consequently in unilateral contracts binding merely one party, only the latter has to sign; a mere contract of guarantee (Art. 1920) has to be signed only by the guarantor and the witness. ..."

The other issue related to Article 1727 (2) is whether or not the witnesses are to sign on the contract of guarantee. In this respect, the peculiar requirement of attestation by witnesses is intended to make up for the present premature public authentication facilities and of familiarity with them, in many areas of this country. It is far from giving a contract the probative and executory force resulting from its authentication by a court or notary. It nevertheless enhances the contract's evidential value, through article 1730(1): it is more difficult to deny one's signature or to allege alternations in or mistakes as to the terms of the contract as being genuine or true by signing on it. We can, therefore, conclude that a contract of suretyship has to be signed only by the guarantor and attesting witnesses but not by the creditor.

Secondly, a contract of suretyship must be express. The essential rule is that a suretyship may not be presumed, it has to be expressly given. The law does not admit tacit suretyship. The rationale is that such a security is extremely dangerous for the guarantor; he takes the final risk of default of payment although he did not even get the counterpart execution of contract. So a simple attitude or an equivocal action by a person cannot be deemed to be a suretyship if it is not express. It seems unwise that an affirmation made in vague terms to induce someone to treat with a determined person, should be taken for a veritable suretyship. Article 1922(1) & (2) of the Civil Code provide this characteristic of suretyship. Accordingly, a logical requirement is that, whatever the form, there must be no doubt as to the identity of the debtor secured, nor as to the debt secured. If not, the suretyship will be considered invalid as being uncertain.

Thirdly, a suretyship must have limits (Ato X will guarantee Ato Z up to the sum of 15,000 birr inclusive for instance), and a maximum amount must be indicated. Since the extent of the guarantor's liability depends on the way the primary debtor performs his obligation and as such

facts are beyond the surety's control, the law required that the contract of suretyship must specify the maximum amount or which the surety will be held liable for. This rule is incorporated under Article 1922(3) of the Civil Code. The sanction is simply that the suretyship is void, and therefore that the beneficiary assumes the risk of the default of the guaranteed person.

Dear student, how do you see the provision of Article 1922(3) of the Civil Code in the light of the traditional institution of suretyship to secure an employee's loyalty? There are many provisions which seem to be only technical on the first glance but have rather substantive function. One which has substantive function is that of warning. The person undertaking an obligation shall be advised that he is doing something serious, and it is a matter of experience that persons are more likely to promise something by word.

The warning function, which is one of the purposes of formality requirement, is also of special importance in the case of suretyship. The guarantor may run a risk he can neither force nor control. The provision of Article 1922 (3) ensures that the guarantor only undertakes a calculable risk. By doing so, the Code therefore, is not just introducing a technical requirement for a contract of suretyship but requires it for the above mentioned reasons.

For this reason, the provisions of the Civil Code dealing with suretyship equally applies to guarantees for a person in the contract of employment as it is even more important to protect the guarantor from entering into an uncalculated risk.

Would the surety be liable to pay interests and legal cost even beyond the maximum amount fixed in the suretyship agreement?

Article 1930 of the Civil Code states that unless there is agreement otherwise, the surety is held to pay interests when the debt guaranteed bears interest. This means, he does not have to give a specific consent to pay interest but that he must nevertheless be informed of such rate of interest.

But this extension of his obligation remains limited to the maximum amount he has given his suretyship for. This principle is incorporated under Article 1930 of the Civil Code.

To illustrate with an example: the guarantor has guaranteed a suretyship for the maximum amount of 25.000 Birr, which corresponds to the amount of the contract of sale of a car. The debtor only pays 5.000 Birr. The main contract stipulated a 10 % rate of interest, which because of the debtor's default has risen to 8.000 Birr. The guarantor is held to cover the remainder of the principal, that is $25.000 - 5.000 = 20.000$ Birr, as well as the accrued interest, but within the limit of the maximum covered by his suretyship. In the example there will be 5.000 Birr, and the remaining 3.000 Birr interest will have to be recovered (or more likely lost) by other means.

When it comes to legal costs, Article 1931 of the Civil Code states a different rule in respect of legal costs to that- concerning interest. The guarantor is indeed held to pay the legal costs of any actions brought against the main debtor, even if they are in excess of his maximum suretyship. The condition however is that he has received sufficient notice in advance to be able to forestall them by discharging the debt. This provision evidently addresses the situation where the guarantor will pay early in the full knowledge there is no payment to be expected from the main debtor who has become insolvent. But it would be unfair to make him pay such legal costs if he is not in a position to prevent them by offering his payment. Note here that there is a sanction against the creditor who does not timely inform the guarantor of his intention of suing the defaulting debtor, for he loses all claims to legal costs up to the date of such notice. The creditor has the burden of proof and will be well advised to notify his intention to the guarantor with sufficient time to spare in writing.

The above statement can be best illustrated by the following example: A sues B, his debtor, for a capital of 25.000 Birr which was guaranteed by G for the same amount. His legal costs are 7.500 Birr, of which 3.000 were spent before the day A notified G of the action against B. G will only pay $25.000 + (7.500 - 3.000) = 29.500$ Birr.

Fourthly, the scope of the suretyship may not exceed that of the principal obligation (article 1924 of the Civil Code). In discussing the extent of the suretyship obligation, we need to consider the fact that suretyship cannot exceed that which is due by the debtor or be contracted on more

onerous condition. Thus the creditor may not ask more of the guarantor than what the debtor promised. The guarantor is a second debtor, and the temptation must not be to punish him for the main debtor's default. Furthermore, the guarantor can only be held of the same execution conditions as the guaranteed person; his execution is already secured although he has not benefited from the contract, it would be unfair to impose specific penalties for delayed execution for instance. The sanction of this rule is not the voidability of the suretyship, but simply its reduction to the legal maximum, which is the precise extent of the main obligation (1924 (3)).

The surety may undertake an obligation equal to or less, but not greater, than that of the principal debtor. Thus, the suretyship does not have to cover the whole extent of the main obligation, and may be for part only of such an obligation, or be contracted under less strict conditions (article 1924 (2)).

The fifth characteristic of suretyship is that it is accessory. From the definition of suretyship you can realize that there are two obligations. The first is the principal obligation which is created between the creditor and the principal debtor and the second one is the obligation created by the contract of suretyship. The later cannot stand by itself and it exists only in relation to the former. The suretyship contract can only be understood by the existence of principal obligation which the surety guarantees. The accessory nature of suretyship can be further explained by consideration of the relation between the principal obligation and the obligation created by the suretyship enshrined in the civil code.

Pursuant to sub-article (1) of Art 1926 of the Civil Code the fact that the principal obligation is discharged results in the release of the surety. In this respect, the principal obligation can be discharged by one of the causes of extinction of obligation discusses under chapter one. Thus, where performance, remission, novation, merger, set-off, limitation of actions etc extinguish the principal obligation, then the surety is deemed to be released.

Similarly, where the principal obligation is void, there cannot be any guarantee with respect to such obligation. Article 1923 incorporates this principle.

On the other hand, where the principal obligation is affected by a defect relating to the mistake of incapacity on the part of the principal debtor, such obligation can be validly guaranteed where the surety on entering into the contract of suretyship was aware of such defect.

A corresponding provision is also found under Article 1926(3). The difference between Article 1923 (2) and Article 1926(3) is that the latter generally states that where the contract is affected by a defect in the consent of the principal debtor while Article 1923 (2) only talks about mistake on the part of the principal debtor. However, the Amharic version of the two provisions talks about defect in consent in general which seems correct.

On top of this, suretyship may be applied to every obligation, whatever its object. But in fact it is principally used to guarantee the payment of money debts. In obligations to do the surety guarantees the damages which may be due the debtor in case of non-performance. The principal obligation may therefore, be of any type so long as it is valid and subsisting. Since suretyship is accessory and, therefore, requires a valid principal obligation to which it can attach, it can only be given for the performance of "valid" contracts.

Thus, a suretyship may only be validly given where the principal obligation is not void. So the first defence of the guarantor will often be to look for some defect in the contract which would make it void. It is logical that the guarantor cannot be held where the guaranteed person is not because the contract of sales is void (article 1923 (1)).

Exceptionally, however, where the principal obligation is voidable, the suretyship agreement may remain valid. This is where the surety was aware of the defect in the principal contract, which consists of the legal incapacity or of a vice of consent, when concluding the contract of guarantee. In such cases, the guarantor took his chances. But most likely, he is an accomplice of the guaranteed person, because he is usually in a better position to know this person. Quite often, there is a fraud issue against the other party. But the proof of such knowledge by the guarantor at the time of his express consent will be borne by the guaranteed person's partner and this will prove difficult to prove. The solution is confirmed by article 1926 (3), which prohibits such defense for the guarantor.

On the other hand, no statutory provision leads to declare the suretyship void where the main debtor was insolvent at the time when the guarantor granted the security, whether the guarantor knew of such insolvency or not. The only requirement is a valid debt, which is then the statutory cause or consideration of the suretyship. Of course, in such a situation, the guarantor may feel that there is a fraud on the side of the debtor, or even of both parties to the contract, and the guarantor will probably raise a defense against the request for payment made by the creditor on the basis of this alleged fraud. The decisive factor will probably be whether the debtor knew, or should have known that he would be incapable of paying at the appointed time, which is not necessarily that of the conclusion of the contract.

The guarantor cannot claim that he made a mistake as to the solvency of the main debtor to try and avoid paying. There is no requirement set out by law that the debtor states his solvency to the guarantor. An exception to this rule will only be made if the guarantor clearly made of the debtor's solvency at the date of the suretyship a condition of their commitment to secure the main debt. Conversely, a condition requiring the solvency of the debtor at the time of the payment of the obligation seems inadmissible, because it would in effect amount to withdraw any interest for the creditor of resort to a suretyship.

Generally speaking the mistake made by the guarantor as to the risk incurred is not a cause of nullity of the suretyship. -The validity of his consent is not affected. The only exception is where the suretyship is clearly granted in consideration of other securities (mortgage, pledge, other guarantor ...), when it appears that such annex sureties did not exist in fact at the time of the consent of the guarantor.

Sixthly, suretyship is always consensual in that the surety has to always consent to stand as surety to the performance of the obligation of the debtor. There can be no suretyship without the surety giving his consent to such an obligation. When seen from the point of view of the debtor, however, there can be legal or judicial suretyship. This consensual character of suretyship is reflected for Article 1920 which provides the principle of suretyship.

The seventh characteristic relates to its unilateralism. A contract is bilateral where the several persons are obligated to one or several others without any obligation on the part of the latter.

Hence, in bilateral contracts both parties assume obligation. The situation is different in unilateral contracts. Only one party is bound in such contracts. The obligation entirely rests on the promisor and not on the promisee.

A suretyship contracts is classified as a unilateral one. The surety assumes an obligation towards the creditor to discharge the debt of the principal debtor in case the debtor fails to discharge his obligation. The creditor assumes no obligation towards the surety.

The eighth one is whether it is for consideration or gratuitous. In the continental legal system, suretyship is a unilateral undertaking with no reciprocal obligation. The nature behind the guarantee that one undertakes is not the consideration but respect for friendship and familial tie. The laws of many countries of the continental legal system and Ethiopian alike do not require consideration as a prerequisite for a contract of suretyship. Consequently, it is said that suretyship is gratuitous as the contract is concluded without any payment being made by the creditor or debtor towards the surety. This does not, however, mean that there are no instances where the debtor pays to the surety for his standing as surety for the law does not prohibit such arrangements.

In the common law legal systems, however, a suretyship agreement is not valid, if it is not made for consideration. A consideration is an act, a promise or forbearance bargained for and given in exchange for a promise.

Ninthly, the obligation secured may be a future obligation or a conditional one (article 1925). Here the suretyship predates the obligation guaranteed. It is also an added danger for the guarantor, because the main obligation may yet not be very well defined. The guarantor will be liable to pay until the future obligation or condition has materialized.

Accordingly, it is not necessary that the debt to be secured be presently in existence. Just as one can promise future things, one can become surety for a future debt. Properly speaking there is no suretyship until the day that the principal obligation is formed; but in the interim the surety is bound and cannot withdraw his promise as soon as the debt arises he will be bound as surety.

Usually, the period of suretyship is determined in the contract setting up the security. Very often, this will be the case of successive execution contracts. In that case, the guarantor will be held for the whole length of that period. Where a period has not been set in the contract, the surety may retract his suretyship until the day when the obligation has become exigible. This is because until that day, the contract has probably not been executed, and the creditor, seller still owns the thing.

Tenthly, the scope of the suretyship may not be extended by the contracts concluded between the principal debtor and the creditor after the consent given for the suretyship. So the guarantor's conditions may not be worsened through a posterior agreement between principal debtor and the creditor, which could be fraudulent, unless he gives a renewed consent to such extension of the security. The code does not prohibit, on the other hand, the agreement tending to reduce the extent of the guarantor's obligation, because it is obviously in his favor (article 1928 (1) of the Civil Code)

Apart from this, suretyship may be classified as conventional, legal and judicial. This distinction in the types of surety is made from the point of view of the debtor, not of the surety. From the point of view of the surety, suretyship is always voluntary and conventional. This is also reflected from article 1920 of the Civil Code. When the debtor is required by the judgment of court to furnish a surety, the surety is called a judicial surety. In this case the law authorizes the judge to act, but it leaves to his discretion the determination of the need for the surety. It is in this sense that the surety is judicial rather than legal.

It is said that the distinction between legal and judicial sureties is less important today than previously, in view of legislation placing a number of the judicial and legal sureties on the same footing.

Section Two: Effects of Suretyship

1. Effects of Suretyship between the Creditor and the Surety

A. The moment for action

Limitation will probably be amongst the first line of defense of the surety. Here the link between him and the principal debtor plays against him, because any action against the debtor shows that the creditor is diligent and has no intention of not being paid. See article 1929 of the Civil Code which deals with limitation of actions.

B. Maturity of debt

Here is another illustration that the guarantor may not be treated worse than the main debtor. It goes to the extent that the maturity of the debt, which may not profit anymore to the debtor because of his bankruptcy, still benefits this special third party, the guarantor (1932 (1) of the Civil Code). One can consider that the guarantor has only accepted the suretyship in consideration of the time agreed between creditor and debtor for the debt to mature. In this respect, the surety may not be demanded to perform his obligation prior to the maturity of the debt. (See Art. 1932 of the Civil Code)

Apart from this, where the principal parties the principal debtor and the creditor had agreed to a notice before the debt is due. Then such notice has to be served to the surety too. This case in point is again illustrated where the principal parties had agreed to a notice before exigibility of the debt (1932 (2)). Further, the guarantor is eligible to benefit from the entire contractual period of notice (1932 (3)).

C. Simple suretyship and joint suretyship

Dear student before reading the following discussions, discuss the difference between simple and joint guarantee.

i). Simple suretyship

The provisions of the Code dealing with simple suretyship are article 1934 through 1937 of the Civil Code. In this respect, no longer a subject of controversy that the obligation of the simple guarantor is subsides to the principal debtor. He undertakes to discharge his obligation "should the debtor fail to discharge it." (See article 1920)

Similarly, Article 1934(1) of the Civil Code sets the principle of simple guarantee. The main condition to obtain payment from the guarantor is the non-execution of contract by the principal debtor. So it follows that the action of the creditor against the guarantor may only be initiated after the contractual term set for the execution of the principal debtor's obligation. But this condition is sufficient and the guarantor, who is substituted as a debtor, must execute immediately.

The central question, as to when the creditor can proceed against the guarantor much depends on our construction of the phrase "should the debtor fail to discharge under Article 1920 and 1934.

Then, when is the principal debtor deemed to have failed to discharge obligation?

In this respect, you can think of three situations: Soon after performance is due; after the debtor has been placed in default; after the creditor brings action against the debtor and fails to obtain performance.

Where you consider the first possibility, it seems that this is considered to be right time for many persons and lawyers alike. Yet, a close reading of the provisions and particularly Article 1920 only talk about the debtor merely failing to discharge his obligation. In the literal and direct interpretation of the term, a debtor fails discharge his obligation soon after the date of performance falls due. Such period, as discussed in Module Two, is calculated in accordance with Article 1857 of the Civil Code.

Unlike the popular attitude, the code provisions do not talk in terms of the debtor being unable to discharge his obligation, nor do they require the creditor to first bring action against the debtor before he can proceed against the guarantor.

The position is supported by other provisions dealing with surety. In this respect Article 1933 which sets the distinction between the simple guarantee and a joint one states that "the creditor may *sue (the surety) without previously demanding payment* form the debtor" (emphasis added)

One may note the careful use of the words sue and demand payment in the provision of article 1933 of the Civil Code. One privilege of a creditor who gets the obligation of the debtor secured by a joint guarantee is that he can bring action against the guarantor even before demanding payment from their debtor. This implies that where the guarantee is not a joint one the creditor may not sue the guarantor before demanding payment from the debtor.

Since a suretyship that is not joint is a simple one, the provision of Article 1933 of the Civil Code may be taken to mean that in the simple guarantee, the creditor may not sue the debtor surety without previously demanding payment from the debtor. Thus, we may conclude that as long as he first demands payment from the debtor, the creditor can sue the simple guarantor before he sues the debtor.

In this respect, we may say that Article 1933 throws light as to what is meant by "fail to discharge" under Article 1920. We have already seen that the guarantor may not in any case be required to discharge his obligation before the expiry of the period fixed for the payment of the primary obligation. Thus the debtor is deemed to have failed to payment of discharge his obligation if he does not perform it, in spite of the creditor's demand to that effect, upon the expiry of the time fixed for the payment of the primary debt. You should, however, note that where notice is necessary, the creditor is duty bound to place the debtor in default before he can proceed against the principal debtor. Apart from the requirement of notice, the creditor is also required to realize the real securities that are at his disposal.

Thus, you can conclude that the only conditions that are required from the creditor to sue the guarantor are placing in default and realizing the real securities. So, the creditor need not sue its principal debtor first to proceed against the simple guarantor.

However, there are defenses available for the simple guarantor. The first defense derives from article 1934 (2) of the Civil Code. This provision organizes an important protective measure for the guarantor, the benefit of discussion. In the case of simple suretyship, you have seen that the engagement of the surety is subsidiary; he images himself to pay only if the principal debtor does not. The idea is that he is not to pay simply because the main debtor arbitrarily refuses to do so. It must really be a case where payment in kind through sale of assets or realization of securities may be obtained by the creditor. The creditor has to try an enforced payment (and its procedural delay) before coming to the guarantor.

The discussion is not automatic and has to be required by the guarantor when he is himself sued (1935 (1) of the Civil Code). By availing himself of this benefit, the guarantor can compel the creditor to first seize the property of the debtor and recover what is owed him from its proceeds before brining action against him which will have the result of diminishing the sum to be disbursed by the surety and perhaps to exonerate him entirely. In effect, the creditor would be forced to suspend his action against the guarantor and proceed against the debtor.

Then, the question is, what is the purpose of entitling the creditor to sue the guarantor before suing the principal debtor if the latter can force the creditor to first proceed against the principal debtor? This is because the guarantor cannot simply require discussion. It means it is not easy for the guarantor to exercise the benefit of discussion. He has to fulfill a number of conditions which are provided under article 1935 to 1936 of the Civil Code: he must cooperate with the creditor by indicating assets of the debtor (with the exceptions stated in article 1936 (2)), and even more interestingly, advance the procedural costs (1936(1), presumably to be recouped from the debtor when he acts in turn against him.

Accordingly, in the words of Article 1936(1), the discussion is not automatic. The guarantor should raise and exercise his benefit "as soon as he is proceeded against." Thus, it must be pleaded in the form of a preliminary objection, lest it is deemed to have been waived once the court embarks upon the task of framing issues. In this respect, please read Article 244(3) of the Civil Procedure Code which regulates the consequence of failure to raise objection.

Benefit of discussion is a valuable right which the debtor must plead as soon as he is proceeded against. The same holds true in France where benefit of discussion is considered a dilatory plea that must be raised in *Limine Litis*, before the issue is joined.

The other condition that must be satisfied is that the creditor cannot simply require discussion. He must cooperate with the creditor by indicating the debtor's assets located within the country of payment and which are not subject matters of litigation. Even more interestingly, the guarantor has to advance the procedural costs for the discussion of the debtor's property.

Obviously, the guarantor cannot exercise the benefit where the insolvency of the principal debtor has already been judicially established. This is obvious since an insolvent does not have assets that can be discussed. Thus, the burden of identifying the debtor's property that can be discussed and also covering the cost of discussion are borne by the guarantor.

What do you think would happen when the guarantor has successfully managed to satisfy all the conditions necessary to exercise the benefit of discussion?

Where the guarantor has raised the benefit of discussion at the earliest possible, identified the debtor's properties that can be discussed, advance the costs for their discussions, the court will suspend the suit against the guarantor and grant the creditor permission to institute fresh action against the principal debtor. This it can do pursuant to Article 278(2) of the Civil Procedure code.

Accordingly, the consequences of the defense of benefit of discussion are the following. If the assets are sufficient for a total or part payment of the main debt, the guarantor benefits accordingly and is discharged in part or totally of his suretyship. If no money can be made from the debtor's assets, the guarantor has no option but to pay the main debt, pending his action against the principal debtor. But in the case of negligence of the creditor through failure to proceed upon the assets indicated by the guarantor (article 1937 of the Civil Code) who has supplied sufficient money for costs, the loss of the value of such assets through an insolvency of the principal debtor makes the creditor liable vis-a-vis the guarantor. Where the creditor by his failure to proceed against the debtor is suddenly faced with the insolvency of the debtor, then the surety will then be liberated up to the value of the assets thus indicated. The result is that debts will be set off one against the other.

Is joinder of the principal debtor and the guarantor possible?

The substantive laws of some legal systems expressly provide for joinder of the principal debtor and the simple guarantor. Under our law, the substantive law does not stipulate joinder of the debtor and the guarantor. But the procedural law provides for the possibility of joining plurality of defendants in a variety of cases. In this respect, Article 36 of the Civil Procedure Code deals with joinder of defendants.

Under this procedural provision, it is possible for the principal debtor and the guarantor to be joined in the same suit. In fact, the practice seems to be that usually creditors join the debtor and the guarantor in the same suit.

The issue, however, is that since the substantive law does not stipulate joinder of the debtor and the guarantor, this may give rise to a number of questions. The creditor can argue on the basis of the more specific law, the Civil Procedure Code, that he is entitled to sue the simple guarantor without suing the principal debtor. He can further claim that since it is of a procedural rule which is designed to govern a particular situation, this law should prevail over the much more general provisions of the Civil Procedure Code. The creditor may, therefore, argue that the right of the simple surety is to invoke the benefit of discussion. On the other hand, the guarantor may also refuse to remain a co-defendant by invoking his right to compel the creditor first to discuss the assets of the principal debtor.

Can the guarantor claim that the judgment be executed against the principal debtor if the guarantor remains in the suit with the principal debtor and fails to raise his benefit of discussion?

Under Louisiana law, the creditor is legally entitled to join the debtor and the guarantor the same suit and once the court has passed judgment against both defendants, guarantor has the benefit to claim that the judgment be first executed against the principal debtor. In this respect, the Louisiana law is entirely different from Ethiopian law suretyship. Under our law, the benefit of discussion should be invoked in *limine litis* i.e. as soon as the guarantor is proceeded against. Once the court has framed issues, this objection is deemed to be waved.

The practice in Ethiopia is that after judgment is passed against the co-defendants, the judgment is first executed against the principal debtor. This practice has no support of the law of suretyship. We can therefore, note the rift between the law and the practice.

Can a person who has engaged as a guarantor for one of the co-debtor compel the creditor to discuss the assets of those debtors for whom he is surety?

The Civil Code provisions are mute on this issue, you can, however, provide a solution by resorting to equity. It is equitable, in so far it can be done, that a debt be paid by the real principal debtors who have benefited from it rather than by those who are bound others. It may even be argued that those debtors who are jointly and severally liable discharge the whole obligation are also representatives of each other. As such guarantor who guaranteed the obligation of one of such co-debtors is also in some respect guarantor for the others. Thus, we can say that the guarantor has to be entitled to exercise his benefit of discussion with respect to the assets of the other co-debtors.

The second defense available for simple guarantor is the benefit of division which is raised in case of plurality of guarantors. We will discuss this latter.

The third one, not special for simple guarantor, is the possibility to raise the principal debtor's defenses. Article 1942 (1) of the Civil Code has an interesting formulation: the guarantor has the right and the duty of setting up all the defenses available to the debtor, unless excluded by the nature of his suretyship (by a contractual clause for instance). In other words, he not only may defend himself with another person's arguments (if the debtor is negligent or misinformed, for instance), but he must do so. The sanction is strict (article 1942 (2)), the guarantor will be debarred of his remedy, in so far as it would have relieved him of payment.

Of course, one cannot force the guarantor to know all the details - or secrets - of the debtor. So he is not obliged to use defenses where his ignorance is not his fault. The criterion will be that of the normal diligences of the average guarantor acting in good faith. One can assume that the courts will impose a certain degree of investigation by the guarantor into the situation of the

debtor, so as to find means of detecting as far as reasonably possible. Once again, the guarantor is forced to intervene directly in the legal relationship between third parties.

ii) Joint Suretyship

The surety may bind himself either by simple or joint guarantee. Under the former, you have seen that the guarantor's obligation is secondary because it arises if the principal debtor fails to discharge his obligation. In cases of joint guarantee, however, the obligation of the guarantor is primary and direct because the creditor is not required to demand payment from the principal debtor in order to bring an action against the guarantor.

In principle, pursuant to Article 1920 and 1934, every suretyship is presumed to be simple. There can be joint guarantee only where the person who becomes a surety expressly described himself as joint guarantor by using words implying the same. The intension of the guarantor to be bound jointly with the principal debtor has to be expressed clearly. Where the suretyship is joint, the creditor is entitled to proceed against the guarantor without demanding payment from the principal debtor. The direct effect of joint guarantee is the deprivation of the surety of his benefit of discussion.

To avoid this duty of discussing the principal debtor's assets, the creditor will often ask for a joint suretyship in the undertaking signed by the guarantor. It is a dangerous situation for the guarantor, who may then be required to pay for a debtor who still has some assets, and may even sell them before the guarantor, having paid the creditor, turns to him for an enforced payment or realization of securities. Because of the serious consequences of such types of guarantee, the form is important and must imply unequivocally that there is a renunciation to the benefit of discussion by taking the qualification of joint surety, co-debtor and equivalent terms.

D. Acceleration of action by guarantor

Precisely because as time goes by the risk increases of seeing the debtor become insolvent, and therefore of preventing the guarantor of getting his money back, this guarantor may want to

accelerate the payment to the creditor, so that he takes things in hand. He is the one who has an interest in accelerating the process. Two solutions are possible:

In this reaped, two solutions are possible. The first relates to summons to proceed under Article 1938 of the Civil Code. This is the case of the negligent creditor, who does not pursue payment despite the fact the obligation is due. The guarantor here has the means to force him to do so under six weeks by way of a summons (which does not mean that the procedure will be ended in six weeks, but simply initiated). Where the creditor fails to comply with the summons or to continue the proceeding with reasonable diligence, the sanction is that the surety is released from his obligating. The issue whether or not the creditor followed the case with reasonable diligence is left to be resolved by the court.

The second solution relates to tender of payment as incorporated under Article 1939 of the Civil Code. This is even more radical; because the guarantor considers that there is no legal way of stopping the creditor from obtaining payment from him. So he will give him notice to accept payment. The sanction for failure to accept payment would be the release of the guarantor. There are two differences with previous situation. First, the law does not set a fixed delay for such tender, so the court will have to check it is reasonable. Second, the release may also follow the refusal to transfer securities that are annex to the debt. The idea here is that the guarantor who has paid must enjoy the maximum securities to be refunded whilst on the other hand these securities are now of no interest to the creditor any more. Thus, where the creditor refuses to transfer to the guarantor securities the former enjoys after the surety tends payment, the surety will be released from his obligation.

2. Effect of Suretyship between the Debtor and the Surety

This is the situation where the guarantor has paid the debt in place of the debtor. How does he get his money back? The surety, having engaged himself for another, necessarily has recourse against the principal debtor.

When the surety pays the creditor, he is discharging the obligation of the principal debtor. The principle is that the guarantor, who has paid the creditor instead of the debtor, shall be indemnified by this debtor. Accordingly, the guarantor is entitled to be indemnified by the principal debtor.

In this regard, the fact that the guarantee may be given without the consent of the principal debtor does not relieve the latter from indemnifying the surety what the latter paid to the creditor. In exercising his right of indemnification, the surety enjoys two rights of action, one which is personal to him arising from the contract of suretyship and the other which is the action of the creditor who has been paid and which the surety obtains by subrogation. The first is called chirographic action while the latter is the right of subrogation.

The personal action of the surety arises from the contract of suretyship itself. The action is based on the theory of implied mandate. Accordingly, this recourse is open to the surety only against those debtors for whom he has become surety and not against the other debtors.

This personal action entitles the surety to claim the principal, interest, expenses and damages if any. The principal is not just the amount of the debt paid. It includes every thing the surety has disbursed in acquitting the debtor. Thus, as regards the surety, the interest due to the creditor and paid by the surety is considered as forming the principal of his payments, so that they in turn produce interest. Similarly, the surety has the right to require payment of interest on his disbursement which starts from the day of payment.

Expenses are those expenditures incurred by the surety in defending the action of the creditor which may include costs advanced for discussion of assets under Article 1936(1) of the Civil Code. The surety is, however, required to give notice to the debtor of the proceedings instituted so that the latter may prevent such costs by paying the creditor. The surety is in principle, to be indemnified completely. Accordingly, in addition to interests, the surety is entitled to be indemnified for all damages he suffers as a result of the debtor's fault or negligence. In this respect, see articles 1940 (2) and (3) and article 1941 of the Civil Code.

Pursuant to Article 1940 of the Civil Code, the surety is entitled to indemnity which includes the principal, interest and costs. Regarding costs, sub-art (3) has laid down a time-limit i.e. only those costs posterior to notification of the debtor of the proceedings instituted against the guarantor shall be taken into account. The idea here is to encourage cooperation between the guarantor and the principal debtor.

Article 1941 of the Civil Code provides that damages are possible. But they require extra proof to be brought by the guarantor, that of fault or negligence of the debtor, which directly lead the guarantor having to pay. So the simple fact that the suretyship came into action is insufficient to claim damage to award to the surety is to be assessed in accordance with articles 1790 through 1805 of the Civil Code.

The second situation is, when the surety or sureties pay the creditor in satisfaction of the debt, the debtor's obligation is not at an end. A new creditor is substituted for the old; the surety having paid the debt, he is subrogated to the rights of the original creditor against the debtor.

There are two kinds of subrogation: conventional and legal subrogation. As the terms imply, conventional subrogation is achieved by the agreement of the parties, whereas legal subrogation is achieved by the effect of the law. In this respect, the surety is entitled to legal subrogation because he is one who, being bound for others for the payment of the debt had an interest in discharging it. In this regard, articles 1971 and 1944 of the Civil Code, deal with the society's legal subrogation.

The surety benefits from the provision of Article 1971 of the Civil Code as he is bound on behalf of the debtor for the payment of a debt to discharge the obligation. Accordingly, the surety being subrogated by law to the rights of the creditor, he need not enter into a subrogation agreement with the creditor.

The legal right of subrogation may be advantageous than the personal (chirographic) action of the surety because it permits the later to avail himself, as subrogate, of all the accessory

guaranties, mortgages and others which belong to the creditor while the action of mandate is a chirographic action pure and simple.

You must note that the phrase "to the extent of his payment" under Article 1944 of the Civil Code should be construed to mean the full payment that he is to discharge in default of the principal debtor. This is because in cases, of partial payment, the right of subrogation will be seen in the slant position. In such cases the guarantor will not be accorded subrogation hastily. Pursuant to Article 1972(1) of the Civil Code, subrogation may not be made to the detriment of a creditor who has been only partly paid.

This is the first restriction imposed by the Code with respect to subrogation. The other restriction relates to waiver of the right of being surrogated. Article 1944 (2) of the Civil Code states the benefit of subrogation may not be waived in advance. There seems no restriction on the latter type under French law which is the major source of our contract law.

Be this as it may, the contraries reading of Article 1944 (2) implies that the guarantor can waive his benefit of subrogation after he is entitled to the benefit. The rational for such legal restriction seems to be ambiguous. The basic maxim in respect of waiver of right states, "*Quilibet pretext enunciate jury prose introduction to*", which means "a man may waive a right established for his own benefit". Accordingly, the guarantor should have been entitled to waive his legal right of subrogation even before the time when he is entitled to subrogation.

In cases where there are plurality of debtors bound by divisible obligation, the guarantor is obligated to divide his resource between them; if, however, they are bound by a joint obligation, he has a right to pursue against each one of the debtors for the total debt assuming that he went surety for all of them.

What would happen if the surety guaranteed the obligation of one debtor alone who is bound with other co-debtors on joint obligation?

3. Protection of guarantor's action against debtor

a) Duties of creditor

The creditor who has been paid has a duty to ensure that, as far as possible, the guarantor enjoys an effective action against the debtor. Three Situations are provided for:

1- Handing over of documents of title and performance of formalities to transfer available securities (article 1945 of the Civil Code). A sanction in the form of a court injunction may be considered here if the creditor is negligent or late in passing over such documents.

2-To make subrogation possible (article 1946 of the Civil Code). The sanction of the creditor's action or omission is that he may not ask payment from the guarantor, where this has led to the impossibility for the latter to claim refund from the principal debtor. For instance, where through his negligence, the creditor let a mortgage expire. So before paying, the guarantor has a right to check that the subrogation in the rights of the creditor is still possible.

3- Debtor's bankruptcy (article 1947 of the Civil Code). In this situation, the creditor has a double duty: i) to declare and prove the debt in the hands of the liquidator, so that the right to claim payment survives and can be transferred to the guarantor; and ii) to inform the guarantor of the bankruptcy as soon as he is aware of it.

This last point might prove delicate in court: how will the guarantor prove that the creditor was "aware" ("informed" says the French version) of the bankruptcy, and at which moment in time? This is important, because the sanction (article 1947 (3) of the Civil Code) is the loss by the creditor of his rights against the guarantor to the extent of the latter's loss resulting from such failure. Furthermore, it allows the guarantor to take speedy action (see article 1938,1939 and 1948 of the Civil Code).

B) Securities obtained from principal debtor (Recourse before payment)

The surety who has paid to the creditor has a right of recourse against the debtor for indemnification. The surety who has not yet paid may also have recourse against the debtor. The guarantor, who is informed of a serious chance that the principal debtor is not going to pay, may

take protective measures through securities demanded of the debtor, even before any payment is made to the creditor. Three situations are limitatively mentioned under article 1948.

- a) The guarantor may, even before payment, demand securities from the debtor where the creditor has given the debtor notice to pay his debt. This presupposes that the debt is mature or due;
- b) Where the debtor is judicially declared bankrupt or insolvent, it appears that the debtor is in failing circumstances;
- C) Where the debtor's losses generate a considerably greater risk for the creditor. The question that may be raised is "how does the creditor get to know about these losses or faults of the debtor? Does this mean he has investigating powers regarding the debtor's financial situation? Here the role of the commercial register is decisive. Furthermore, how does the court appreciate the economic notion of "considerably greater risk"?

C. Loss of Right

The general principle is that upon payment the surety has a right of recourse against the debtor. However, there are two situations in which the surety loses his right against the debtor. The first exception is where the indemnity claim has lapsed. The guarantor has a duty to set up all available defenses of the debtor he reasonably knew of. If not, he is debarred from indemnification by the debtor. Article 1942 of the Civil Code deals with such kind of laps of surety's indemnity claim. It is possible to compare here with the rule laid out by article 1940 (3) of the Civil Code which also call for a notification by the guarantor under sanction of losing the costs he has incurred.

The second exception to the principle is the case where a second payment was made by the debtor (article 1943 of the Civil Code). According to this provision, the guarantor who pays has a duty to inform the debtor of such payment. The sanction is where this lack of information led to the debtor making his own payment; the guarantor loses any remedy against the debtor. But to let the creditor get paid twice would be undue enrichment, so the guarantor may then claim refund from the creditor (1943 (2)).

Section Three: Plurality of Guarantors

The idea of a plurality of guarantors is that the risk of suretyship is spread over several persons. Three situations can be considered.

1. Counter Guarantor

An effective way to protect the guarantor is to have him benefit himself of another guarantor. This counter-guarantor will only step in where the main guarantor has been called to pay for the principal debtor. Article 1949 of the Civil Code which governs counter guarantors state that, "The counter guarantor guarantees towards the guarantor the effectiveness of his indemnity claim against the principal debtor". You must note that the counter-guarantor involves between the principal debtor and the guarantor. Therefore, the counter -guarantor has no relation with the creditor.

This being said, what is understood by "guarantees the effectiveness of indemnity claim against principal debtor"? Does this mean that the counter-guarantor agrees to act so that the debtor pays, or simply undertakes to pay in his place? In fact, both duties seem enforceable.

What are the relations between guarantor and counter-guarantor? Can he for instance impose discussion of assets of the main debtor, where it is possible, although the guarantor has not required it? The answer should appear to be positive: the counter-guarantor must benefit of all the particular advantages of a guarantor, even if this means he has to act against the previous or main guarantor.

3. Secondary Guarantor (in French "suretyship certifier")

A different situation is that of the secondary guarantor, which is distinguished from the precedent in that it also benefits the creditor. The creditor can here not only challenge the guarantor, but also the secondary guarantor. Article 1950 of the Civil Code which deals with secondary - guarantors reads:

Article 1950 - secondary - guarantor

- 1) A person may stand surety not only for the principal debtor but also for his guarantor.
- 2) The secondary guarantor shall be in the same position towards the guarantor as a simple guarantor is towards the principal debtor.
- 3) Merger between the principal debtor and the guarantor shall not extinguish the creditor's right of action against the secondary guarantor.

Nothing in the code specifically forces the creditor to establish first the insolvency of the main guarantor before soliciting the secondary one, although this seems to be the logical order of things. The secondary guarantor, in turn, if he happens to have paid may then be subrogated in the rights of the creditor against both the debtor and the main guarantor. The code does not say so, but normal rules for suretyship (discussion, subrogation ...) should apply.

Normally, being "secondary" to the main guarantor, or better, a "certifier", he will be towards the guarantor in the position of a simple guarantor towards the principal debtor (article 1950 (2)). This makes him a Counter-guarantor of the guarantor who has paid.

In respect of the secondary guarantor, both the principal debtor and his guarantor are considered as principal debtors. Accordingly, unless the creditor exhausts all his remedies against the principal debtor and the main guarantor respectively, the secondary guarantor shall not be held liable.

Since both the principal debtor and the main guarantor are considered as principal debtors in their relation to the secondary guarantor, he can be indemnified from either or both of them in case he paid to the creditor without seeking benefit of discussion. His action against the simple guarantor is justified pursuant to Article 1950(2). His action against the principal debtor is justified for the latter is the one who should bear the ultimate burden of the debt as he benefited from it.

What could be implied from article 1950(2) is that the secondary guarantor cannot undertake his obligation under joint guarantee. Because if he undertakes so, he will be primarily liable with

that of the guarantor in which case the concept of plurality of guarantors of Article 1951 (3) of the Civil Code will apply. This is discussed in the sub-section dealing with Article 1951 of the Civil Code.

Finally, sub-art (3) of art 1950 provides merger between the principal debtor and the guarantor (for instance where a succession has intervened) does not affect the creditor's right against the secondary guarantor, although the main suretyship relation is extinguished as of right.

4. Plurality of Simple and/or Joint Guarantors

A common situation, where the creditor wishes to spread his risk over several persons acting as guarantors for the same debt and for the same debtor. A creditor may seek and obtain guarantees from more than one person in respect of the indebtedness of one principal debtor. This situation is governed under article 1951 of the Civil Code.

Where the plurality of guarantors granted the security at the same time (1951(1)) of the Civil Code, each of them shall be liable for his own share as a simple guarantor, and as a secondary guarantor for the shares of the others. In other words, the creditor has to divide his action in as many actions as they are guarantors which is called benefit of division, and ask the appropriate amount from each. Here we are concerned with plurality of sureties for the benefit supposes the existence of several guarantors. Our code provision which deals with this benefit. Article 1951(1), provides that the surety against whom the creditor brought suit for the whole of the debt is entitled to compel the latter to divide the debt between him and his co-sureties so that he will be required to pay only his portion of the debt to the creditor.

However, it is necessary that the co-surety with whom the surety demands division of the debt be solvent otherwise he will be held as a secondary guarantor. See the following example which may help illustrate the above discussion. Abiy borrowed Birr 10, 000 from Belay. Five persons, Chane, Dawit, Feleke, Girum and Hailu came and signed in one instrument undertaking Abiy's obligation as simple guarantors. If Abiy becomes insolvent and Belay proceeds against Girum only for the recover of the Birr 10, 000 the latter can raise the benefit of division so that he

should be required to pay only Birr 2, 000 which is his share of the total debt. The total debt is to be divided among the co-sureties.

If, however, the other co-sureties have become insolvent, Girum cannot demand benefit of division. This is because he will be responsible for his share as simple guarantor and as secondary guarantor for the share of the other co-sureties. If, however, only Hailu becomes insolvent, the remaining guarantors shall be liable for their own shares and the share of Hailu's debt will be proportionately distributed among the solvent co-sureties. Accordingly, Chane, Dawit, Feleke and Girum will be liable for Birr 2, 500 each.

What would happen where each guarantor specified in the instrument the maximum amount for which they will be responsible?

In the above example if Chane guaranteed for the payment of Birr 1, 000, Dawit for Birr 3, 000, Feleke for Birr 4, 000, Girum for Birr 1, 500 and Hailu for Birr 500. Since a guarantor is not responsible beyond the maximum amount expressed in the agreement except for legal costs and interests. Belay cannot sue one of them to recover more than the amount they guaranteed.

Should the guarantors be responsible for the share of an insolvent surety? Article 1951 of the Civil Code does not explicitly address the situation where each of the guarantors expressed the maximum amount of their obligation. In this respect, you may argue that article 1918 (2) of the Civil Code will apply by analogy in which case one surety cannot stand as secondary for the debtors.

Article 1951 has put three conditions which must be met to raise the defense of benefit of division. These are: the guarantors should have become guarantors at the same time; the guarantee should be in respect of the same debt; and the guarantors should not assume joint guarantee.

In considering the effects of benefit of division, the benefit destroys the action of the creditor against the surety who opposed it and therefore, the creditor can no longer come upon him even if the co-sureties become insolvent afterwards. It is the creditor's duty to act rapidly against the other sureties after the division is ordered between solvent creditors.

Is benefit of division possible with a surety who cannot validly contract as in cases of incapacity resulting from minority of the surety?

You have seen that Article 1951 permits benefit of division with only solvent co sureties. If one of them is insolvent, no division is permissible. This implies that benefit of division is only a favor which ought not to be granted to the prejudice of the creditor. We may extend this to refuse division 'when the co-surety is incapable of obliging himself for instance where the surety is a minor. There is no reason why it should be granted in such cases and denied in cases of insolvency.

Obviously, the benefit of division will not be available where the sureties expressly bound themselves as joint guarantors with the principal debtor as between themselves. If two debtors who are bound jointly and severally for the same debt had each given a surety, the surety of one of them cannot demand benefit of division between himself and the surety of the other debtor. Though such sureties are sureties of the same debt, as they are not sureties of the same debtor, they are not sureties of the same debtor, they are not properly co-sureties in the meaning of Article 1951 (1)

Where the plurality of guarantors granted the security at different times (article 1951 (2) of the Civil Code), the chronological order determines the secondary character of the guarantors, and therefore the order of their respective contributions. Accordingly, if several persons become guarantors at different times, there shall be no benefit of division even if they are guarantor of the same debtor in respect of the same debt. The relationship of such sureties is governed under Article 1951(2) in which case the one who bound himself in the second place is considered as a secondary guarantor of the one who bound himself before him.

You have studied the situation where there are secondary guarantors. Secondary guarantor envisages a situation where one surety agrees to stand as a surety for another surety for another surety. This can otherwise be called a surety of a surety. In such cases, there will be no right of contribution. The secondary surety is only liable to the extent that the first surety does not pay. That means, on the payment by the first, the second guarantor is discharged. Conversely, if the second surety is called upon to pay, he will have a right of indemnity and not merely contribution, against the first surety who does not pay. That means, on the payment by the first, the second guarantor is discharged. Conversely, if the second is called upon to pay, he will have a right of indemnity and not merely contribution, against the first surety for the first surety is in the position of the principal debtor.

Apart from Article 1950, the situation of secondary guarantor is also governed under Article 1951. According to this Article, one is held liable as secondary guarantor for another in two events. These are: In cases of the insolvency of either one or more of the guarantors; and where the sureties entered in their undertaking by successive acts.

In considering the second situation, the provision of Article 1951(2) states that "where the guarantors entered into their undertakings by successive acts he who bound himself in the second place shall be held liable as secondary guarantor of the guarantor who bound himself before him."

The relationship between such guarantors is relatively simple where two or more of the sureties stand as guarantor under successive instruments in respect of the full or equal portion of the same debt. For instance, if there are three sureties A, B and C who entered in to suretyship agreements with the creditor by successive acts to discharge the full indebtedness of the principal debtor and the total indebtedness Birr 800. 00.

The relationship of the co-sureties is then governed in accordance with Article 1951 (2). Accordingly, A is considered as a secondary guarantor in respect himself before B. By the same token C is considered as a secondary guarantor in respect of B. In other words, B is held liable to the extent that A does not pay if he is called upon to pay. In the other words, B is held liable to the extent that A does not pay if he is called upon to pay by the creditor. Similarly, C is held

liable to the extent that A does not pay. If A becomes insolvent, the creditor can demand payment of the total debt from B. If we assume that B only paid Birr 600 as a result of his insolvency, the creditor can claim the remaining birr 200 from C. The matter becomes complex where two or more sureties stands as guarantors under successive instruments for different portions of the same debt. See the following example.

A, B and C in the above example undertook to guarantee the total debt Birr 800 in different proportions i.e. A limiting his maximum liability to Birr 400, B to Birr 100 and C to Birr 300. This means the creditor can claim only to the extent of Birr 400 from a. if A pays Birr 400 to the creditor, the latter cannot resort to B because B is only liable to the extent A does not discharge his obligation. But A has already paid what is expected of him. If A failed to discharge his obligation the creditor can resort to B but only to the extent to Birr 100.

If B discharges his obligation, does the creditor have any claim against C? or Is C held liable as secondary guarantor for both B and A or for B only? From the reading of Article 1951 (2), C is held liable as secondary guarantor of B only. This is because the provision reads "of the guarantor who bound himself before the proceeded guarantor.

Thus, in the example above C is held liable as secondary guarantor to B only. Accordingly, as long as B has discharged his obligation, the creditor has no right of recourse against C.

But the most common situation, because it affords maximum protection to the creditor who probably required the suretyship in the first place, is the situation of joint guarantors (1951 (3) of the Civil Code). Here the consequence is that the creditor may ask the whole debt from one guarantor only, obviously the one which seems to have the most money, leaving him then to initiate several actions against his co-guarantors, to recuperate a proportional amount of the debt.

4. Relationship between/among Co-sureties

When there are several sureties for the same debtor in respect of the same debt, the one who pays the creditor is entitled contribution from the others. This implies one of the co-sureties, who pays

more than his proportionate share has the right of recourse against the other co-sureties for contribution.

The surety is entitled to contribution from his co-sureties independent of contract, even though they could agree among themselves with respect to the extent of their liability.

The basis of contribution is payment by a surety of more than his share and also equity. The surety's right to obtain contribution from his co-sureties is based on the equitable principle that the creditor should impose the burden upon all the co-sureties on a retable basis, and if he does not, the court will act to correct this in equity. Thus, we can say that equity requires that the surety who has made payment is entitled to contribution from his co-sureties who might have been compelled to pay by the creditor.

Under our law, Article 1951 provides that guarantors who are either severally, or jointly and severally liable for the same debt and who stand as surety for the same debtor at the same time are entitled to proportionate contribution. This implies that persons who undertake as sureties in respect of different debts of the same debtor are not entitled to contribution from the other surety. Similarly, where a single debt is guaranteed by successive acts of two or more sureties, there is no right of contribution among such sureties.

There are factors that govern the right and extent of contribution. Whatever is the basis, recourse for contribution is subject to several restrictive rules. In this respect, some of the restrictions that will be discussed are not explicitly provided by our code. Yet, their consideration is important as they involve relevant issues that our law ought to have taken into consideration.

The first one is payment of more than one's share. The surety's right to recover contribution does not arise from the fact that he has been called upon to pay or that the surety has paid some part of the debt to the creditor. It is over payment that gives rise to a right to claim contribution. Pursuant to Art.1951 (3), where the surety fully discharges his own liability to which other co-sureties are equally liable, he is entitled to recover contribution.

The question is where is a surety entitled to claim contribution when he makes a payment? A surety is not entitled to contribution until the whole debt is paid for he is still liable for the remainder. Thus, even where the surety has paid more than his share, he may not claim contribution until the debt is fully discharged. This is because the surety cannot know what

should be contributed to him by his co-surety until he knows what has been done in respect of the residue of the debt for which he is equally liable. To demand done in respect of the residue of the debt for which he is equally liable. To demand contribution, there has to be an actual ascertained amount to be contributed. In this respect, there cannot be such an ascertained amount until the "whole debt is discharged.

Accordingly, you may conclude that the surety has to discharge the totality of the debt so that he may claim contribution from the other co-sureties.

Secondly, to be entitled to contribution, payment must have been made by a surety in a situation where he was legally obliged to pay. If the co-surety can show that the paying surety was under no legal obligation to effect payment, then no right of contribution will be available to the surety who made payment.

If a surety makes payment in a situation where he had valid defenses against the claim of the creditor which will relieve him from payment, the surety will not be able to have right of contribution from the other co-sureties. Thus, a surety who pays a creditor where the principal obligation is already extinguished is not legally entitled to contribution from his co-sureties.

Where, for instance, the principal obligation is extinguished as a result of payment, set off, period of imitation, nullity etc a surety must raise all these as a defense against the creditor a surety who fails to raise this defense and makes payment to a creditor is deemed to have waived his right to demand contribution.

In this respect, you may recall the provision of Article 1942 which requires the guarantor to raise against the creditor all defenses available to the principal debtor failure to discharge this duty debar the guarantor from indemnification. By analogy, the failure by a surety to raise valid defense against the creditor deprives him of the right of contribution to the extent that the defense would have relieved him from payment.

Though article 1951 is mute on this issue, nor makes cross reference to the provision of Article 1942, there is no reason for the law to limit the recourse of the guarantor against the principal debtor but no in his relation with co-sureties. The limitation on the right of recourse of the guarantor will also extend in his relation with his co- sureties.

The third one relates to costs and interests. Pursuant to Article 1951 (3), the paying surety is entitled to recover proportionate share from the debtor cosureties. This provision is, however, mute about what constitutes a proportionate share.

Does proportionate share constitute only what the guarantor has paid to the creditor or does it also include costs incurred by the surety in making defenses against him?

When you consult legal literatures on these issues, you may find that the surety is also entitled to claim a ratable share of any legal costs which he incurred in making reasonable defenses against the claim of the creditor, whether or not these defenses are successful, provided that the surety made such defenses on the basis which might have led to the relief of the other co-sureties as well.

This implies that a surety who raises a defense which is personal to him, for instance, incapacity, is not entitled to recover contribution from his co-sureties. This is because the surety has incurred no cost for the benefit of the other cosureties.

The other question is that is notification by the paying guarantor necessary? You may recall Article 1940 (3), which requires that the guarantor must notify the principal debtor and the surety may only cover interest since the notification. By the same taken, the duty to notify is imposed on the guarantor not only in his relation with the principal debtor but also with his co-sureties. The logical conclusion would therefore, be the guarantor can claim contribution of costs from his co-sureties, which he incurred since he notified the latter of the proceedings directed against him.

Regarding interest on the amount paid to the creditor, our law says noting. Despite this legal lacuna, the guarantor should be entitled to claim interest that is accrued on the sum paid more than his share. Such interest is chargeable from the date he is entitled to claim contribution.

The other factor is attached to securities held by a co-surety. You have seen that a surety may obtain guarantee from a counter-guarantor for the effectiveness of his indemnity claim. Similarly, he may obtain sureties from the principal debtor to which he may look for indemnification. He may also be subrogated to the right of the creditor and realize the securities available to the creditor.

Can the other sureties share the benefit of securities which one co-surety obtained? The provision that deals with plurality of guarantors is silent in this respect.

Consideration of legal literature regarding this issue reveals that any security held by one surety stands as security for the full amount owed to all the cosureties. We may, therefore, argue that the right to share in a security is a right of the co-sureties and therefore is not liable to be defeated by any agreement between one of their members and the principal debtor.

If it is independent of the agreement between the surety and the principal debtor, what then is the basis of the right?

The basis of the right is the principle that equality of treatment is equitable and sureties should in general bear the burden of guarantee in equal proportions. The basis of this right is also based on the principle that one co-surety must not withdraw something from the estate of the debtor for his exclusive benefit depriving the other co-surety of the value of the security of withdrawn.

This principle of equity should apply in our case since Article 1951 (1) and (3) seem to be based upon the same principle although the provision does not speak of security held by one co-surety.

The rationale behind the benefit of division as incorporated under sub art (1) and contribution under sub art (3) of Article 1951 is that the sureties should be treated equally and bear the burden of guarantee in proportion to their share.

If we permit that a co-surety benefit exclusively from the security held by him, in effect, we are opposing the rationale behind benefit of division, and contribution. This is because the co-surety, who exclusively benefited from the security, is not really sharing the burden for he is

indemnified by the security held by him whereas the others will not be indemnified if the debtor is insolvent. Thus, to be consistent with the basic principle underlying the benefit of division and contribution between the co-sureties, the securities held by one co-surety should be deemed to have been held for the benefit of all the co sureties.

Accordingly, when the principal debtor has given security to one co-surety, any other co-surety may look to and realize upon the security after the default of the principal debtor.

The co-surety who held the security should hand over the document of title to the surety who paid the creditor and perform such formalities as will enable the surety to exercise his remedy and realize the security. This position is analogous to what is provided under Article 1945 dealing with the relationship of the guarantor and the creditor concerning securities held by the latter.

What remedy is there in cases where the securities have been prejudiced or destroyed by a surety? In this respect, literatures disclose that the right of a surety, who pays the debt of the principal debtor to seek contribution from his co-sureties, is affected by his ability to hand over the same securities as he received from the principal. If the securities have been prejudiced or destroyed by the surety, the co-sureties will be relieved of their obligation to contribute to the extent of the value of the property so prejudiced or destroyed. You must, however, note that our law is mute in this respect.

What do you think would happen where the creditor release one of the co-sureties?

What effect does the act of remission of a surety by another co-surety produce?

What effect will be produced where merger takes place between the creditor and one of the jointly and severally liable co-sureties?

What effect does a set - off effected between a co-surety and a creditor produce?

What do you think is the effect of a novation agreement undertaken by a cosurety and the creditor?

What would happen if one among these co-sureties has consented to the extension of time while the other co-sureties have not?

Section Four: Extinction of Suretyship

One of the grounds of extinction of suretyship is payment. A creditor is entitled to only one payment. As against the creditor, payment is a defence available to the principal debtor and to the surety, no matter which of the two paid the debt.

The second ground is novation. Novation has double effect: extinguishing a preexisting obligation and replacing it with a new obligation. Novation not being presumed, it is necessary that the intention to novate be clearly expressed. A novation of the principal obligation by the debtor with the creditor extinguishes the principal obligation and also the accessory suretyship obligation. This principle is incorporated under Article 1827 (1) of the Civil Code.

Thirdly, a voluntary remission by the creditor to the debtor discharges the surety as well, since the remission of an underlying obligation also extinguishes the accessory obligation. A remission to a surety does not discharge the principal debtor as the creditor is considered to have abandoned the security, but not the primary obligation.

Fourthly, set-off extinguishes an obligation when two persons are indebted to each other. A surety may be entitled to plead set-off of what the creditor owes to the principal debtor. It seems proper that the surety should be able to benefit by a liquidated amount due from the creditor to the principal, in as much as the principal owes his surety the duty of paying the creditor so that the surety will not be required to pay. The principal debtor, of course, cannot plead the compensation of what the creditor owes to the surety.

Regarding merger in relation to suretyship, Relph Sovents who wrote an article entitled "Suretyship" on Tulane Law Review Vol. 39 stated the following:

"With regard, to suretyship, there are three possible cases of confusion [merger]. First, a confusion of debtor and creditor extinguishes the principal obligation and the accessory suretyship obligation also falls. Confusion (merger) of a solidary debt with the creditor benefits the co-debtors in solido only to which of the share for which the debtor whose liabilities were merged was liable.

Second, confusion (merger) of surety and creditor extinguishes the obligation of suretyship, but it does not extinguish the principal debtor's obligation.

Third, a confusion of debtor and surety does not extinguish the principal obligation, but it brings an end to the contract of suretyship because a man cannot be his own surety. However, the confusion (merger) which takes place when the principal debtor and his surety become heirs for one another does not extinguish the creditor's rights against a sub-surety of the surety."

The other one is that in the case of principal obligation that is void, the absolute nullity of the principal obligation entails nullity of the accessory contract of suretyship. However, in cases where the principal obligation is voidable, the contract of suretyship may or may not be invalidated. See Article 1926 (3) and 1923.

On top of this, limitation is one of the causes for the extinction of an obligation. A suit, unless it is commenced within the time limit provided cannot be maintained. If, by virtue of prescriptions, the principal debtor has not asserted it, and even if he has renounced it. This rule results from the general principle that the debtor cannot harm the position of the surety.

There are also other causes of extinction of suretyship. The first one is where the creditor has accepted a payment in the form of an immovable or any good, even if he is later dispossessed (article 1927 of the Civil Code). Payment has taken place, and the creditor has assumed the transfer of risk.

Thus, this is a situation where there has been performance in substitution i.e. by giving the creditor some assets. Thus, where the creditor accepts such assets, the surety will be discharged

even if the creditor is subsequently-evicted from the property he received. The creditor, not the surety, bears the risks of the thing accepted in payment. The result would be different if the surety had consented to the substituted performance; in this event, the surety would be held liable with the debtor in warranty of the thing given in payment.

The second is where the creditor, without special permission given by the guarantor, has granted a delay to the debtor (article 1928 (2) of the Civil Code). This is because the creditor is extending on the back of the guarantor the delay during which he is held liable. Of course, this rule only applies when the initial period of suretyship has expired.

Accordingly, an extension of time for performance or payment, granted by the creditor to the debtor, is an alternation of the original obligation which is considered prejudicial to the surety. Thus, the prolongation of the time granted to the principal debtor without the consent of the surety, operated as discharge of the latter.

MODULE FOUR

THIRD PARTIES IN RELATION TO CONTRACTS

Introduction

One must first of all recall here the principle of the relative effect of contracts (Article 1952 of the Civil Code). The potency of the binding obligations (this force of binding obligations upon

parties is set out under Article 1731 and 1763 of the Civil Code. Which parties can decide upon through their contractual freedom leads to the logical consequence that what they decide upon by contract should normally not affect third parties. This is called the principle of relative effect of contracts. A contract may only affect its signatories, whether they benefit from it or have to implement obligations.

In the civil law legal system, the basic principle, which is known as contracts produce effects as between the contracting parties is referred to as "*relative effect of contracts*", while it is called "*privity of contracts*", in the common law legal system.

Similarly, this principle is incorporated under Ethiopian law of contracts. Article 1675, which defines contracts, states that a contract is an agreement whereby two or more persons "as between themselves". The phrase "as between themselves" implies that a contract produces effect only among the contracting parties. Similarly, article 1731, which incorporates the doctrine of *pacta sunt servanda* states that the provisions of a contract lawfully formed are binding on the parties as though they were law. This provision reflects the doctrine of privity of contracts. Thus, third persons, in principle, can neither suffer nor profit from a contract which was neither made by them nor for them.

However in many cases, third parties cannot be indifferent to contracts concluded by other parties. There may be exceptions in which case a contract may produce effect on third parties. This is the purpose of the present chapter.

The first situation is that of promises and stipulations concerning third parties, whereby a party to the contract sets out that the contract will have effect on a third party. The second is where the right of a contractual party is assigned to a third party. The third unit addresses the reverse situation where a liability may be assigned to a third party. And finally unit 4 concerns the special situation of the heirs of the parties and the protection of creditors of contractual parties.

But whatever the category of third parties concerned. Article 1952 states clearly that this part does not affect two categories of situations: Extra contractual liability (Article 2056 of the Civil Code) and Agency (Articles 2179 to 2265 of the Civil Code)

Objectives

After the student completed this unit, he will be able to:

- Explain the nature and effects of promises and stipulations for third parties;
- Discuss the conditions for valid assignment of rights;
- Explain the concept of subrogation and its different types;
- Explain the effects of assignment of rights and subrogation;
- Discuss delegation and assignment of obligations;
- Explain the rights of heirs of the parties; and
- Discuss the rights of creditors of the parties and the limitation thereof.

Unit One: Promises & Stipulations Concerning Third Parties

Introduction

It is legally possible that persons may conclude a contract by reserving a right to substitute a third party in their place or by promising that a third party will commit a certain act or omit from performing an act. It is also possible to make contractual stipulations for the benefit of third parties.

In this unit, one considers the situation of third parties who are not yet part of the contract. The contracting parties may provide in their agreement that a future third party may become part of such contract. Three situations are considered by the Civil Code: the third party may be substituted to a contracting party, the third party will become the debtor of the contract, and the third party will become the creditor of the contract.

In this unit, we will discuss the ways of substituting a third party in place of the contracting party and promising for a third party. Also, a situation where a party to a contract makes a third party beneficiary from a contract will be covered.

Objectives

After completing this unit, the student will be able to:

- Distinguish among promise for third party, option to substitute third party and stipulations for the benefit of third party.
- Explain the effects of option to substitute third party, promise for third party and stipulations for the benefit of third party;
- Discuss the rights of the stipulator and his heirs;
- Explain the options of the beneficiary; and
- Explain the effects of acceptance by the beneficiary of the stipulation.

1. The option to substitute a third party

Article 1953 of the Civil Code opens the possibility for a contracting party includes in a contract a clause enabling him to substitute another person for himself. The promissory under such contract concludes the contract in his own name but reserves the option of substituting another third party for himself.

Note immediately that the identity of the third party to be substituted is not required at the time of the formation of the contract. In fact such third party may be perfectly unknown to the other party and we can also imagine that he is still unknown to the party stipulating such possibility.

Another remark is that such an option is open both to the creditor and to the debtor. Each side can introduce a clause of this type and it is theoretically possible that the parties actually performing the contract are not the parties who concluded it.

Example: A and B conclude a contract for the delivery of grain, but the contract includes a clause stating that each party may substitute another person for himself. A sees he does not have enough grain and substitutes himself C, who has a big stock. B negotiates the sale of his right to D. The contract will be performed validly between C and D, although both may have been completely ignorant of its existence at the time of conclusion.

The advantage of the possibility opened by this article is to introduce flexibility in the choice of partners. It corresponds to a great number of modern transactions, where the identity of the person who will perform the contract is irrelevant, and what matters is only the quality of the work.

It allows a person who sees a good business opportunity to conclude the contract and therefore to a claim for performance, and then, at a second stage, to sell this claim to a third party, and making a profit of course. It enables a person who does not have the adequate facilities or equipment to perform the contract to substitute himself a person better equipped. It makes it possible to contract secretly in the name of a person who does not want to be known of the other party until the contract is concluded.

One may also consider the potential of the provision to introduce a third party to perform part of the contract concluded, as a co-debtor, or as often in construction cases, as a sub-contractor. For instance, a builder concludes a contract for the construction of an entire house, but reserves the possibility to substitute himself an electrician for the electrical installation.

For instance, SATCON Construction Company concluded a contract with Amhara Regional State for constructing Management Institute building. In the contract SATCON reserved the possibility to substitute an electrician for the electrical installation which is a valid one.

The question is, what is the effect of the contract where the substitution is or is not effected?

The solution is clearly provided under article 1954 of the Civil Code. Sub article one states that where the third party is substituted within the following three days from the formation of the contract, the contract will produce effect as between the third party substituted and the other party. In this respect it can be said that the person who reserved the option of substituting another person for himself is the agent of the third person. Accordingly, it is a form of agency or contract of commission, as is apparent from Article 1954 (1).

Article 1954 states the logical rule that the person having introduced such a substitution clause is free either to remain the contract acting party (article 1954, sub. 2) or to refer to the clause to introduce a substitution partner. He is entirely free to select one or the other option. But it is clear that, should no substitution occur, the parties are bound by the terms of contract along ordinary rules, and specially, the contract is enforceable against each party.

This being said, the provisions of Article 1954 as to the effect of substitution seem unduly restrictive. The main difficulty lies on the three days within which substitution is to be effective as it is short. This considerably restricts the flexibility sought from the institution. One understands that the creditor wishes to be informed as soon as possible of the final identity of his contracting partner, but a three day time - limit seems somewhat unrealistic in a world of complex legal and administrative regulation, where permissions or agreement have to be sought, loans negotiated with banks, exchange currencies secured, negotiations led with foreign investors or buyers ... etc....

The sanction for over stepping the time limit will be that the stipulation party becomes irrevocably bound by the contract. Such a restriction is therefore a serious constraint when one

wants to encourage economic and business relations. Generally speaking the drafting seems to be not only considering physical persons and not enough on juridical persons.

However, the time limit seems to be not a mandatory in which there may be agreement otherwise. It works where the parties have not come up with a different one.

Accordingly, the solution will be for the party who intends to substitute somebody else for himself to simply require that the time limit be extended contractually beyond three days. This time limit does not appear mandatory but rather suppletive of the will of the parties, telling an express provision to the contrary. What is mandatory, on the other hand, is that the parties are bound by the contract upon the expiry of the time limit, whether legal or contractual. To state otherwise would closely amount to a potestative condition by the debtor.

Finally, it is self evident that the party who is to substitute himself to the original creditor or debtor must be in full agreement with the terms of the substitution, as explained under Article 1954 (3)

2. The promise for third party

A person may stand promisor for a third party by promising his contractual partner that this third party will perform some contractual obligation or respect some omission, as explained under Article 1955 of the Civil Code.

One must be very clear as to the legal structure of the operation. The situation provided under this article covers in fact two different contracts: a contract between a contractual partner and the promissory, i.e., contract of promise; and a future or potential contract between the first partner and the third party, the existence of which is subject to ratification by a third party, i.e., the main contract. Here again there is no need to have prior information of the third party.

The interests of this provision are many. They cover all the situations where the promisor is sure enough of his influence, or of the extremely interesting potential of the main contract, to realistically speculate he will indeed convince the third party to enter the contract.

It may be used also for instance by the legal representative of an incapable, or of an absent, or of a juridical person when the contract has to be ratified by a collegial body. On the other hand, it may be the situation where the first partner is ready to pay the promisor to use his influence in determining the third party to enter into a contract with him: the provision will then cover the work of all kinds of intermediaries.

In this regard, we have a specific illustration under Article 2270(3) of the Civil Code, which states the possibility of selling a thing belonging to a third party. This sub article is in fact implying a previous promise to obtain the sale of such thing, because of course the owner cannot be forced pursuant to doctrine of privity of contracts, to comply with the provisions of a contract of sale to which he is alien to.

Note here that no time-limit is imposed by law for the conclusion of the main contract, contrary to the provisions governing substitution which confirms the remarks made as to the constraints generated by the three day rule of Article 1954 of the Civil Code.

The question is, what is the effect of the contract in case the contract is or is not ratified by a third party? The effects of ratification and non ratification are provided under article 1956 of the Civil Code. When the main contract is ratified by the third party that is to say, when the third party accepts its terms and ratifies the main contract, the promisor is released; and since his promise is observed, he incurs no liability.

Regarding the scope of promise, article 1956(2) provides that the promisor promises the conclusion of the contract but does not guarantee its performance. The duty of the promisor is fulfilled from the moment the third party has ratified as he is not a guarantor for the performance the obligation by the third party. However, the parties may agree in the contract of promise that the promisor will be held liable for the non performance by the third person.

If the third party does not ratify, the promised, unlike in cases of declaration of demand, will not be obliged to perform the contract as per article 1956(3). This is so because the promisor has only undertaken to secure the ratification of the promise by the third party and no more. Although the promised is not required to perform the obligation, he has failed to discharge his obligation i.e. to secure ratification. Accordingly, the non performance on the part of the promisor will entail payment of damages sustained by the other party as a result the non performance of the latter's obligation.

In general, Article 1956 addresses the different problematic situations. The first problem is where the third party refuses to ratify the projected main contract. Contrary to the previous situation of substitution, the promisor is not held to implement the contract, simply because this is not the purpose of his obligation to the first partner. But such a failure will amount to the fact that the promise will not be held, and therefore that promisor is liable to pay damages (Article 1956(3))

This restricted scope of liability will be the one enforced by the judge failing an express provision to the contrary in the contract of promise. There is a potential difficulty of coordination of this second paragraph of Article 1956 with its third paragraph, which lays down that damage are due for non-performance.

This should be construed, in the normal case were the promisor only promises the conclusion of the contract, as the obligation to pay damages resulting only from the non ratification and not from the non-performance.

But the promise may contractually go beyond simply promising ratification, provided it is expressly stated in the contract. Subject to this last condition, the promisor may also indeed promise performance, and as a consequence, stand to pay damages for non performance valued as stated under Article 1799 and following.

3. Stipulation for the benefit of a third party

It happens quite often that parties to a contract may make stipulations for the benefit of third party. Stipulations for the benefit of third persons serve to make institutions function or effect transactions, which would be impossible or at least more difficult with all other principles of the law. For instance, life insurance for the benefit of third party, a collective insurance against accidents by employers for their employees, warranty given by manufacturers for their products to consumers, etc.

The difference with the previous situation is that articles 1957 and following of the Civil Code open the possibility for two contracting parties to provide for a benefit to be granted to a third party. The relation is a triangular one. The promisor undertakes by contract with the stipulator to perform an obligation for the benefit of a third party, the beneficiary.

The interests of this institution of the stipulation for a third party are many. It may cover the intention of the stipulator to make a liberality, present or donation to the third party beneficiary. It may be a mode of payment to a third party creditor of the stipulator. But the most frequent and important situation is the contract of insurance.

For instance, 1. B enters a life insurance contract with A, an insurance company, and appoints as his beneficiary a member of his family, his wife or children usually. If he dies, the insurance company will pay out an indemnity or serve annuity to his wife and/or children. 2. B concludes an insurance contract for his possible liability as a driver of a car with A, an insurance company. Should an accident occur and C is the victim, A will pay for the damages suffered by C.

These two examples show that the third party may very well be unknown to the contracting parties. The beneficiary may even be a future person, for instance in the case where life insurance is made to benefit children not yet born. Finally the stipulation may very well be a conditional one as in the case of a car accident in an insurance covering the driver's liability. The only requirement for the effectiveness of the contract is that the beneficiary, if he is known as to his precise identity at the time of the contract, can nevertheless objectively be determined.

However, there is no agreement regarding the basis of stipulation. Nevertheless, there are three principal theories forwarded in relation to such stipulations. These are theory of offer, theory of the administration of affairs, and theory of the direct creation of the action.

According to theory of offer, the stipulant offers to the third person the stipulation which he had made in his favor. This offer must be accepted in order for the engagement of the promissor to be binding. Once the acceptance is made, it retroacts to the day of the contract and the third person becomes the personal creditor of the promissor.

Theory of the administration of affairs dictates that he who stipulates in favor of another, without having received mandate, is an administrator of affairs, for he performs for the account of a third person an act which he could have been able to perform in the quality of a mandatory, if he had previously been given the power. The adhesion, which third person latter gives to the contract is a ratification which makes it definite. The ratification can take place after the death of the stipulator, and can be made by the heirs of the third person.

According to theory of direct creation of the action, contract with stipulations for the benefit of third persons are exceptions to the general rule, which provides that contracts do not benefit third parties. Accordingly, being derogation from the general rule, contracts concluded for the benefit of third parties create direct right for the benefit of the third person similar to the rights arising in favor of the parties.

However, there are some who argue that there has to be a necessary fusion of all these principles in order to understand the real basis of such stipulations.

As we have said earlier. Article 1957 of the Civil Code provides the principle on stipulations for the benefit of third party. From the wording of this article, the relation seems to be triangular. In this regard, there are three persons: the stipulator- the creditor who can demand performance from the debtor; the promissor- the debtor; and the third party beneficiary for whom a benefit has been stipulated in the contract concluded between the stipulator and promissor. Thus, the basis of the contract between the promissor and the stipulator is that the promissor undertakes to perform an obligation for the benefit of the third person beneficiary.

The question is what is the real cause of the stipulation?

In this regard, the legislations of many countries require that one must have a cause for making stipulation in favor of a third person. In the common law legal system, they require that the third party must either be a donee or creditor beneficiary. Donee beneficiaries are those for whom the stipulator has stipulated a benefit gratuitously. Creditor beneficiaries are those who are creditors of the stipulator in another transaction.

Do you think article 1957 of the Civil Code has laid down any such requirement?

The next issues that are worthy of treatment are, who should be beneficiary of the stipulation?

What are the rights of the stipulator and his heirs, and third party beneficiary?

Regarding beneficiaries, there is no provision under our law that clearly determines who the beneficiaries of a stipulation are. However, when we consult literatures, beneficiaries may be: determined persons at the time of stipulation, undetermined persons or future persons.

When the beneficiary is determined and living at the time the stipulation was made, there is no difficulty. The person designated as beneficiary is qualified to benefit from the contract subject to the terms of the contract and the requirements of the law. However, there is difficulty when the stipulation is made for a third party that is undetermined at the time of the stipulation. This is possible only if the beneficiaries of the stipulation, presently undetermined, are determinable on the day on which the agreement is to have effect for their benefit.

There is also a stipulation for the benefit of third person who does not exist at the time of formation of the contract but a future person who has to be capable of being determined at the time when the contract produces effect. For instance, the insurer may stipulate his children whom he will give birth to in the future in his life insurance.

A) Rights of the stipulator

The stipulator is a contracting party, and he may exercise all the rights deriving normally from the contract, such as cancellation for vice of the contract, termination or enforced performance in the event of a non-performance by the promisor.

Article 1958 of the Civil Code states that the stipulator may reserve for himself the benefit of the contract and thus the stipulation for the third party may be changed into an ordinary (synallagmatic) contract with the promisor. He may also always change the beneficiary of the contract if he so wishes replacing for instance the children as main beneficiaries of the life insurance instead of his predeceased wife. But these possibilities are subject to the condition that the beneficiary has not yet been offered the benefit (note that the provisions refers to the offer itself and not to the acceptance of the offer, which might only arise same time later) or has expressly refused the benefit offered. Of course, all these provision may be amended at the parties will (unless otherwise agreed), provide there is no dispute as to the interpretation of the will of the parties.

In general, the rights of the stipulator are clearly provided under article 1958 of the civil code. Sub-article one provides that where there is no contrary agreement the stipulator may have the right to reserve for himself the benefit of the contract or appoint a new beneficiary under the stipulation. This is possible where: the option has not been offered to the third party mentioned in the contract; or where the beneficiary after having been offered with the option refuses to accept the benefit of the stipulation. Thus, in principle, the stipulator can change the stipulation for the benefit of third party in to an ordinary (synallagmatic) contract with the promisor there by reserving the benefit for himself or even designated another beneficiary.

Under article 1958(2) of the Civil Code another right is given to the stipulator. The law entitles the stipulator to retain the right to vindicate the rights resulting from the non performance of the contract where the promisor fails to perform his obligation. This implies that the beneficiary has accepted the benefit but the promisor has not discharged his obligation towards the beneficiary. The stipulator has no right to demand forced performance since this right is reserved for the beneficiary.

C) Rights of the beneficiary

Coming to the rights of beneficiary, the beneficiary being delegated as the person to receive benefit from the promisor may accept or reject the benefit up on being given the option pursuant to article 1959 of the Civil Code. For the effectivity of stipulation for the benefit of third persons, it must be "accepted" by the third party beneficiary. The right of the beneficiary is not derived from a contract made by him with the promisor. There are no two successive contracts but only one, i.e. concluded between the promisor and the stipulator. It is from this contract that the action arises in favor of the third person and what is asked from him is to ratify the act which was made for him by a person who was not his representative. Thus, acceptance is ratification of the stipulation made for his benefit.

However, once the third person ratifies the stipulation, he shall acquire all the rights the contract bestows up on him. The stipulator may not refuse his appointment once the beneficiary has accepted to receive the benefit stipulated in his favor. This implies that the stipulator will have no right against the promisor regarding that portion which has been stipulated for the benefit of the third person. Moreover, the promisor may not set up against him any defenses of a purely personal nature which he may have against the stipulator per article 1961(2) of the Civil Code. However, the English version of this sub article is defective. The defenses available for the promisor may be incapacity, immorality, unlawfulness....

Accordingly, the beneficiary is entirely free in his choice, and does not have to state reasons, nor to be liable if he refuses. To this situation one must add that the beneficiary should logically also be allowed to revoke his acceptance without incurring any liability, because on his side there is no obligation, but only a right which he is free to waive at any time. On the other hand, he does not have to be informed in advance as shows the case of the victim of a car accident, nor does he have to give a preliminary consent to the stipulator before the latter enters into the contract for his benefit.

As soon as the contract is born, and even before his acceptance, the beneficiary is granted a direct and personal right to the benefit. He is not dependent of the will of the stipulator. Being granted a right, he may also assign it or use it as a security for another contract he is party to. As

is generally the case for potential rights, the beneficiary may initiate preservation measures to ensure the effective performance by the promissor.

For instance, A, the seller, and B, the buyer enter a contract of sale of a house in Addis, which includes the clause that if B leaves to live in Harar, the sale will be transferred to C, B's son. If A does not insure the house, C can apply for a court injunction against him to force him to insure it against fire.

If the offer is accepted by the beneficiary, he becomes the direct creditor of the promissor and may exercise all the rights deriving from the contract, specially obtain enforced performance from the promissor debtor. Conversely, the promissor may set up against him the defenses open by the contract to resist performance. The only exception is stated under Article 1961(2) of the Civil Code, where the promissor may not oppose to the beneficiary the defenses of a purely personal nature which he may have against the stipulator (note the omission of the "not" in the English version of the Civil Code).

Article 1960 confirms this direct right open to the beneficiary. It addresses the situation of the heirs of the stipulator when the promissor's obligation was not yet performed at the time of the stipulator's death, or is to be performed upon the stipulator's death such as in contract of insurance. The right of the beneficiary exists and be enforced without the heirs being in a position to refuse it. The beneficiary is not an heir to the succession, and the performance of the promissor is not an asset of the succession it is apart and has to be paid out directly to the beneficiary.

Thus, sometimes, the stipulator may have appointed a beneficiary to receive the benefit upon the former death. In such a case, once the beneficiary has accepted the benefit, he has the right to claim the benefit from the promissor on the day of the death of the stipulator. In this case the heirs of the stipulator have no right to revoke the appointment made by the stipulator (see article 1960(2) of the Civil Code). For instance, B takes a life insurance with A, an insurance company, to the benefit of C, his mistress. Upon his death, the heirs of B may inherit nothing if the

liabilities of B's estate exceed the assets he leaves. But C is entitled to the full payment of the indemnity paid out by A, without being challenged in any way by B's heirs.

One thing that is worth noting is that, the last phrase "...on the day of the beneficiary's death" under article 1960(1) of the civil code. In this regard, the Amharic version is the correct one.

A final remark can be made in respect of certain evolutions of foreign case laws in respect of stipulation for third parties. In certain cases, judges have "discovered" an implicit stipulation for third parties in given contracts. For instance, it was ruled in France that the parents had an action against the carrier in the event of an accident having caused the death of their son, independently from any issue of succession rights or of the direct right to indemnification of their direct prejudiced derived from the accident. But such case law has been manipulated with precaution.

Unit Two: Assignment of Rights and Subrogation

Introduction

The other situations in which a third party is a beneficiary in the contracts made by others are the case of assignment of rights and subrogation.

In this part, we will see assignment of rights and subrogation as they are provided under articles 1962 through 1975 of the Civil Code.

It is a principle that creditor can assign his claim for any person. However, there are exceptions that prohibit the creditor not to assign his rights. There are also different types of assignment of rights.

Subrogation is also part of this unit. Subrogation occurs where a person makes payment to a creditor or where a person lends the debtor and paid the creditor and is there by placed in the rights of the latter to the extent of his payment. This may be either legal or conventional.

Objectives

At the end of this unit, the student will be able to:

- Explain the nature of assignment of rights;
- Discuss the validity requirements for assignment of rights;
- Distinguish the different types of assignment of rights;
- Define subrogation;
- Distinguish legal and conventional subrogation; and
- Explain the effects of assignment of and subrogation.

Section one: Assignment of Rights

A) Definition of the assignment of rights

An important consequence of the right to property is the derived right of selling such property, the "*abusus*" element of the right of property. This is taken up as a principle by Article 1962 of the Civil Code. We are in the situation where the debtor sees a new creditor replace the original party to the contract. This situation is normally indifferent to him, because it only changes the beneficiary of his performance or payment, not the scope of such performance or payment. Hence the provision of the Article stating that the debtor does not even have to be informed of the assignment to a third party creditor.

The principle of assignment of rights is put under article 1962 of the civil code. This provision states that a creditor may assign his right to a third party without the consent of the debtor, unless such assignment is forbidden by law or the contract or is barred by the very nature of the transaction. Thus, an assignment is a contract concluded between the assignor and the assignee, where by the former transfers his rights under the contract or part of it to the latter.

Such right may also be a conditional or future right. A very frequent illustration is the technique used for endorsing bills of exchange. The person holding such an instrument has a future right of being paid by the person who drafted it. If he wishes to obtain cash immediately, he may assign it. Another party, a bank generally, who will pay him minus a discount for its profit. The bank will then wait until the term of the obligation arrives and obtain payment from the debtor. In this case, there might be a succession of several assignees for the same debt, creating eventually a doubt as to whom should be paid, and the sanction set out under Article 1967(1) of the Civil Code.

You must note that the consent of the debtor is not required for an assignment to be valid. The debtor is normally indifferent to an assignment because it only changes the beneficiary of his performance or payment and not the scope of such performance or payment. This may be the reason why the debtor is not informed of the assignment of rights.

The question is what are the rights which are not subject to assignment?

Article 1962 reserves, however, three categories of exceptions, where the assignment to another creditor is prohibited without the consent of the debtor.

Firstly, the assignment of certain rights may be prohibited by law. The law may for one reason or another prohibit the assignment of certain rights by creditors. For instance, the claim of a victim of damage may not be assigned until it is appraised by a court (Article 2146 of the Civil Code); an administrative contract may not be assigned without the administration consent (Article 3202 of the Civil Code). A famous example is also the traditional prohibition of assigning succession rights before the death of the person concerned (Article 1124 of the Civil Code). Thus, where the law has forbidden assignment, the parties are not free to make agreements to the contrary by assigning such rights. Any assignment in relation to such right is unlawful.

Secondly, the assignment to a third party creditor may be prohibited by the contract itself. Rights under a contract which are legally assignable may be the agreement of the parties, be made non-assignable. This is done by the agreement of the creditor and the debtor in the contract which created the right. This is a consequence of the freedom of contract because parties are free to agree that the right may not be assigned without the consent of both parties. Thus, based on their agreement, the rights of the creditor to assign his right, with out the consent of the debtor, is thereby limited.

This is the case where, for instance, a franchise for a given brand is granted to a specific trader, who may not transfer such benefit to another trader, especially who sells his business, without the agreement of the franchiser.

Finally, the personal nature of a right may prevent its assignment. This is the category of "*intuitu personae*" contracts, contracts made in consideration of the person, but seen here from the side of

a creditor. In other words, there are certain types of contracts which are classified as contracts "*intuitu personae*" or (personal contracts) in which assignment is impossible by its very nature. The buyer of a made-to-measure suit cannot assign his right to the suit to another person, thus forcing the tailor to change measurements.

Also, in case of contract of employment, the employee is not allowed to assign his right to work for a third party as the worker possesses special skill, knowledge or profession. Likewise, a partner in partnership agreement can't assign his part for another without the consent of the other partner as the partnership is formed as a result of the special confidence that exists among the partners (see article 250 of the Commercial Code). Thus, unless assignment is impossible without the consent of the debtor based on above situation, the holder of a right is entirely free to determine the scope of the assignment, whether it will be whole or in part, certain or conditional, etc....

But if no precision exists as to scope in the contract of assignment. Article 1963 of the Civil Code sets out a presumption that the assignment covers both the principal of the debtor's debt together with the arrears of interest due obviously at the time of the assignment. If, however, there are arrears of interest after the assignment, such arrears will follow the holder of the debt. This provision is important in the event of a succession of assignees.

B) Types of Assignment

When we see the types of assignment, an assignment could be made for consideration or gratuitously. An onerous assignment is an assignment of a contractual right by the creditor which is made for consideration. This consideration which can either in kind or in cash or both, is furnished by the assignee for the assignment of the right.

Where as a gratuitous assignment is a voluntary transfer of the creditor's right to the assignee which is made without consideration. In such cases, the assignor gets no economic benefit.

In case of assignment of rights, warranty may or may not be required depending on the form of the assignment. In this regard, our law makes distinction between onerous contracts and gratuitous contracts. Where the assignment is made against payment, "for a consideration", the Civil Code has provided for a warranty due by the assignor.

Article 1964 (1) of the Civil Code provides in this case that the assignor has to guarantee the existence of the right at the time of the contract when the assignment is made for consideration. In the case of assignment of rights, warranty signifies a promise as to the title, defects, or quality or quantity contemplated in the subject matter of the assignment. This is a relatively restricted scope to the warranty, because it entails a transfer of risk to the assignee from the day of the sale. Thus the assignor shall be held liable towards the assignee if he had no right at all, if the right is destroyed by for example set-off, or if the credit exists for the benefit of a third person at the time the assignment was made.

But the greatest limitation to the scope of the warranty is that the assignor does not guarantee the solvency of the debtor (Article 1964 (2) of the Civil Code). It is for the assignee to endure the risk of insolvency, even though he has paid for the debt. This explains that he will generally have bought the right at a discount, precisely and take into account such a risk. But of course, the option is always open to the parties to expressly provide in the contract of assignment that the assignor shall in fact guarantee performance.

However, the situation is entirely different where the assignment is made gratuitously. In such cases the assignee should not expect any legal warranty (Article 1964 sub. 3 of the Civil Code) Taking to account the statutory limitation of the scope of the guarantee that is only the existence of the debt, the liability of the assignor is defined by Article 1965. This is the case where in fact he assigned a debt which did not exist at the time (Article 1964 (1) *acontrario*). Where the assignor is bound by warranty, the warranty is limited to the amount that is received by the assignor and to the interests. The assignor is not liable to pay to the assignee the amount of the right that is transferred to the latter. In addition, the assignor will also be liable for the cost of assignment and any cost made with regard to unsuccessful court proceeding against the debtor as the assignee is required to proceed against the debtor and fail to get performance prior to suing

the assignor in accordance with the warranty. Thus, the scope of his remedy against the assignor is therefore logically to amount to the principal of the debt and arrears effectively cashed by the assignor, plus any costs of the assignment or possible court proceedings.

The assignment is a transfer of the right to the performance of the contract. It entails naturally a transfer of the defenses open on the basis of this contract to the debtor. No restriction is imposed to the debtor as to the time when he became aware of the existence of the assignment. He may oppose them even if they preexisted the assignment (Article 1966 sub. 1 of the Civil Code). This provision allows the debtor to raise against the assignee those defenses he may have raised against the assignor when the debtor became aware of the assignment.

A special defense is open to the debtor by Article 1966 sub. 2. He may oppose a set off to the assignee, based on a claim he had, not against the assignee (which is the ordinary case), but against the assignor, provided the conditions for set-off are present. In such case, the assignee loses his right against the debtor. The issue is whether he will be covered by the statutory warranty of Article 1964, sub.1, which is not explicit on this issue. It is more probable he will have to resort to the criterion of unjust enrichment of the assignor.

Be this as it may, for set-off to occur both the negative and positive conditions set out under article 1832 & 1833 should be fulfilled. It seems logical that the debtor may also raise set-off where he has a claim not against the assignor but against the assignee. The debtor may also raise as defense any matter, which renders the assignment of no effect. Fore example, where the right is legally prohibited from being assigned, the debtor could raise this as a defense.

However, set-off can take place, according to the English version of article 1966(2) of the Civil Code, where the claim of the debtor does not fall due latter than the assignee claim does. On the other hand, the Amharic version of this provision implies that set-off can take place only if the claim of the debtor does not fall due after the assignment of claim.

Which provision is tenable? Why?

Additional right is also incorporated under article 1967 of the Civil Code, i.e. opposability of assignment. The principle of opposability of assignment is that they are demurable to debtors. The assignee will claim performance from the debtor who will be obliged to perform. Accordingly, a difficulty arises when the debtor pays in good faith the original creditor before the request for performance is made by the assignee. In such a case the debtor shall be validly released if he was not informed by either the assignor or the assignee of the assignment before he performs.

Who is duty bound to give information? What if the assignor accepts the payment after assignment?

It is an important requirement that, even though his consent is not needed, the debtor is informed of the change of creditor. This precaution should be clearly stated as to who must give information in the contract of assignment, and failing which, by the assignee who does not want to risk a valid refusal from the debtor. If the debtor is released, the original creditor is paid for a debt he has assigned. It seems logical then to open a remedy to the assignee on the basis of unlawful enrichment.

The *a contrario* reading of article 1967(1) of the Civil Code implies that the debtor will be held liable where the debtor pays the original creditor after having been informed by either assignee or the assignor about the assignment.

The question is would it make a difference if the debtor learnt about the assignment from sources other than the assignor or assignee? It would be logical to uphold that the debtor who has got

information about the assignment in whatever manner should be precluded from making payment to the original creditor.

This is because the debtor who pays the original creditor being aware of the assignment is acting in bad faith. Thus, such kind of debtor should not make payment to the assignor.

The subsequent two sub articles of 1967 of the Civil Code deal with assignment of a given right to various persons. In such cases, you must distinguish between assignment of a single right to several persons under the same instrument and transfer of a single right to several persons by successive acts.

In the first case, the right shall be divided among the assignees in accordance with the terms of the contract of assignment. Failing any provision in their agreement, the right is deemed to be equal.

On the other hand, where the debt was assigned to several assignees by successive acts, the requirement of notification or acknowledgment by the debtor of the assignment in an authenticated document will serve to appoint which assignee has priority in the payment by the debtor pursuant to article 1967(2) of the Civil Code. Failing any of the above two, the debtor is required to make payment to the debtor who avails himself of the earliest date by virtue of article 1967(3) of the Civil Code.

Section two: Subrogation

A) Definition of subrogation

Pothier, a French writer, defined subrogation as a legal fiction through which a creditor is considered as ceding all of his rights, actions, privileges, and mortgages to the subrogee who pays the debt.

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Thus, subrogation can be said is a situation where an obligation extinguished with regard to the original creditor by payment which he has received from a third person or from the debtor himself but with funds that a third person has furnished to that effect is regarded as subsisting in

favor of this third person who is entitled to assert, to the extent of what he has paid, the rights and actions of the original creditor. Thus, subrogation accompanies payment.

Subrogation is the situation where a right with all its accessories is transferred from one person to the other. The mechanics of subrogation involve the substitution of the subrogee to the position occupied by the subrogor, who is a creditor of the principal debtor. The subrogee is then able to exercise the rights of the creditor- subrogor after he has effected the subrogation by payment of the debt.

Thus, certain persons who are incapable of purchasing a credit may validly contract to pay the debt and obtain subrogation.

In case of subrogation, there are three persons: subrogor (original creditor), subrogee (the new creditor who is subrogated on the right of the original creditor), and the debtor. Generally, the sources of subrogation are two: conventional (contractual) or legal subrogation.

B) Types of Subrogation

i) Conventional subrogation

Conventional or contractual subrogation is divided in to two: subrogation by the creditor and the debtor.

a) Subrogation by the creditor

The most frequent form of contractual subrogation is where the creditor subrogates to his rights the third party who has paid him the debt (Article 1968 of the Civil Code). It seems that the creditor's subrogation envisaged by article 1968 may be entered in to by the creditor with any third person who is willing to pay the debt. The third party is thus exactly transferred into the position of the creditor and is granted the best chance of being refunded by the original debtor.

For a creditor to subrogate a third person to his rights Article 1968 imposes two conditions: the contract of subrogation must be express and must provide that the subrogation takes place at the time of payment

The requirement that subrogation be express is meant to preclude the courts from inferring simply from the circumstances surrounding payment, that the creditor has subrogated the person who paid him to the original creditor's rights against the debtor. In other words, subrogation requires unequivocal words as to its existence.

The question that may be raised here is, what would happen where the subrogation does not satisfy the requirement that it be express?

The law does not provide a solution to this problem. A certain writer, Jonathan A. Eddy, states that "the requirement that subrogation be express means that in doubtful cases, where the creditor's intention to transfer a right to a third party may be implied, or is even express, but there is no express declaration of intention to subrogate, the transfer must be treated". In other words, where the legal requirement that the subrogation be express is not fulfilled, the case may be treated as one of assignment. If the contract is one of assignment the effect would be the creditor will have right of lien, mortgage or pledge attached to the right.

On the other hand, Ato Tilahun argued that if there is no express declaration as to subrogation, the payer be treated as ordinary creditor for the debtor. Thus, failure to meet the requirement laid down under article 1968 deprives the payer from enjoying rights of lien, mortgage and other accessory rights.

The second condition put under article, 1968(2) of the Civil Code is that subrogation should be effected at the time of payment. Normally, when payment is made, the obligation is extinguished

there by. Subrogation forms an exception to this rule, by allowing the debtor's obligation to continue to exist in favor of the subrogee, who takes the place of the original creditor. The subrogee and the subrogor could not by their agreement survive an obligation on the part of the debtor whose original obligation had already been extinguished by the subrogee's payment. A prior agreement by the subrogor and subrogee, however, that the subrogee will be subrogated to the rights of the subrogor when, in future, he makes payment presents no problem of "revival" and should be accepted as a valid subrogation, even if there is no further mention of subrogation when payment is actually made. Thus, it seems sound that this provision precludes subrogation after payment, but not before payment.

Accordingly, the commentators insist that a subrogation agreement after payment cannot be valid even if the act of subrogation occurs on the same day as payment. The reason for the rule which prohibits subrogation after payment is that the creditor's power to subrogate ceases with the payment which extinguishes the obligation. Nevertheless it should be observed that a person who pays the debt without obtaining subrogation has an action against the debtor for reimbursement on a quasi- contractual basis. The party who paid will become an ordinary creditor of the person for whose benefit the payment was made. Some legal systems, however, up hold subrogation in the cases in which the subrogation agreement is entered in to before payment.

b) Subrogation by the debtor

Articles 1969 and 1970 of the Civil Code govern the second type of conventional subrogation, subrogation by the debtor. In this case, subrogation is effected by agreement between a debtor and third party who lends him money or fungibles for the purpose of paying the debtor's creditor. Then, the creditor's rights against the debtor are transferred to the third party, without the consent, or even against the will, of the original creditor. For example, a debtor who owes several creditors and who prefers to be obligated to a single new creditor may borrow funds from a third person to pay his creditors and subrogate the third person to the rights of the former creditors.

In this regard, for subrogation to occur, the code requires both the instruments evidencing the loan and the receipt for payment obtained from the creditor to have an authenticated date. Apart from this, the loan instrument must also include an express statement as to the intended use of funds, and the receipt, as to the source of the funds. Absence of any one of these conditions will invalidate the subrogation.

This option is however, extremely restricted. It only concerns loans of money or other fungibles, when the loan is specifically granted to pay off a specific debt. This is confirmed by the conditions put by Article 1970 of the Civil Code. The date of the operations (loan and then payment) must be certain (authenticated dates), as well as the destination and origin of the money set out precisely both in the loan itself and in the receipt given by the creditor. The debtor may require that such origin is stated in the receipt granted by the creditor. Note that the English translation improperly says under 1970 sub.2 "receipt for the loan", where it should of course be "receipt for the payment".

Under French law, article 2160(2) requires three conditions for the subrogation granted by the debtor (1) an act of borrowing and a receipt from the original creditor executed before a notary and two witnesses; 2) a declaration in the act of borrowing that the funds were borrowed by the debtor to pay the creditor; and 3) an acknowledgement in the receipt from the creditor that the payment was made with the funds furnished by the new creditor.

Nonetheless, nothing prevents in a contractual subrogation to restrict the scope of such subrogation to part of the original debt. The difficulty here is to decide who will benefit from the sureties covering the entire original debt. Article 1972 of the Civil Code state the principle that such a part subrogation cannot be detrimental to the original creditor. In other words he has a priority to get paid the balance due, or even to resort to the sureties granted to get paid such balance. The third party subrogated only comes second if he has only paid for part of the original debt. This provision encourages him therefore to pay in full in order to benefit in full of all the sureties. It also leads to limit in practice the number of situations of part payment, which are indeed problem situations because of the co-existence of two or creditors for the debtor.

B) Legal subrogation

In quite a number of cases, a person who pays another person's debt is accorded the benefit of subrogation by simple operation of the law, without the necessity of any agreement at all. In legal subrogation cases the law recognizes a special interest of the payer in the extinguishment of the other person's debt. Usually this is because, although the debt ultimately rests with another, the payer entitled to legal subrogation is directly affected by the extinction or non-extinction of the debt. This is the situation, for example, in cases of co-debtors, guarantors, or persons enjoying interests in the same property.

Article 1971 provides three situations where there could be legal subrogation. These are payment by a person bound with another or on behalf of others, i.e., subrogation as co-debtor (1909(1), 2161 of the Civil Code) or guarantor (1944 of the Civil Code); payment by a person who is owner of a property of who enjoys the rights of lien, mortgage or pledge, i.e., Subrogation as holder of sureties (legacy of mortgaged assets 1045, legatee paying debt 1059, pledge 2831 and several Articles for mortgages: 3083, 3086, 3095, 3097, 3117 of the Civil Code); and other cases of subrogation provided by law.

According to article 1971 (a) of the Civil Code if a payer discharges the debt of a person with whom or on behalf of whom the payer is himself bound, the payer is entitled to subrogation as a matter of law to the extent of the amount paid. Thus, this provision operates in two cases- where a co debtor who is bound with another and where there is a guarantor who is bound on behalf of another, the principal debtor. In this regard, you have to remember articles 1909 and 1944.

Accordingly, any co-debtor who has paid in excess of his share has a right to claim contribution from the other co debtor(s). To this effect, article 1909 clearly provides that such payer is entitled to legal subrogation. Similarly, the creditor is required to make substitution possible. In such cases, what the payer is entitled to is not indemnity but contribution as the payer himself is a co debtor. It may also apply to cases where a co-debtor in an indivisible obligation discharges the total obligation.

In relation to extra contractual liability, article 2161 of the Civil Code similarly provides for subrogation. The second case that is governed by article 1971 (a) relates to payment made by a person who is bound on behalf of others. This principally relates to persons who guaranteed the obligation of the debtor is discharging the obligation of the principal debtor. Thus, the guarantor should be subrogated to the rights of the creditor to the extent of his payment to the latter.

Coming to the second situation, if a person who is owner of certain property or enjoys a security interest i.e. right of lien, mortgage or pledge in certain property pays a creditor who enjoys a security interest in the same property, article 1971 (b) accords such payer legal right of subrogation to the extent of the amount paid.

This provision relates to a payer who is owner of a property or one enjoying a security interest in certain property paying a creditor who enjoys a security interest over the same property. Where a person has given his property as security for the performance by the debtor of his obligation, the creditor is said to enjoy real security.

In such cases, the person guaranteeing the performance is not a surety. Thus, where the creditor proceeds against the property given by way of security, the owner of such property can pay the creditor and be subrogated to the rights of the creditor by virtue of article 1971 (b). Article 1971 (b) is also given more specific application by special provisions of the civil code, such as article 3083, 3095 and 3097.

Apart from the specified cases under article 1971(a) and (b), the last sub article of this article opens the door open for persons to be entitled to subrogation where the law so provides. There are number of instances where the various substantive laws provide for subrogation. Such instances are: subrogation in cases of insurance of property (article 683 of the Commercial Code), subrogation in maritime cases (article 323 and 304 of the Maritime Code), cases of successorial subrogation (article 1059, 1045), subrogation in cases of ware housing (article 2821 of the Civil Code), subrogation to the bailor (article 2795 of the Civil Code).

In essence, legal subrogation does not differ from the conventional type as both are based up on payment of the debt or obligation to the creditor and their effect is the same. Accordingly, a legal

subrogee as well as a conventional subrogee is subject to any defenses which were available to the debtor against the original creditor. For example, if prescription has run against the creditor-subrogor, the plea of prescription will be sustained in a suit by the legal or conventional subrogee.

Article 1251 of the French civil code enumerates four classes of persons who possess a sufficient interest to effect a legal subrogation: 1) Inferior creditors who pay a fret erred creditor; 2) acquirers of immovable property who pay the mortgage creditor; 3) persons who are bound with or for others and who pay the debt; and 4) the beneficiary heir who pays the debts of the succession.

3. Effect of subrogation or assignments

Articles 1973 and following of the Civil Code state the consequences common to assignments and subrogation. This provision makes no distinction between the effects of assignment for consideration and gratuitous or legal subrogation and conventional subrogation. The assignment or subrogation to a right entails the right to exercise the liens, securities and accessory rights attached to it, with an exception in respect of a pledge, which calls for the express consent of the pledger.

In such cases, the assignee or subrogee may not be allowed to take possession of the thing give in pledge without securing the consent of the pledger (see article 1973(2)) of the Civil Code. The reason behind such prohibition is that the pledger gives the pledge to the creditor On the assumption that the latter will properly given by way of pledge and believes that the creditor will keep the thing he received in pledge as he would keep that of his own. The original creditor has a duty to cooperate to ensure as much as possible that the assignee or subrogated creditor has the best chances of being paid by the debtor. This covers the transfer of contracts, title-deeds and any means of proof of the obligation, as well as of any relevant information.

Coming to the duties of the original creditor, the new creditor must be supplied with everything, by the original creditor that helps him acquire the right from the debtor. Accordingly, the

assignor or subrogor who will be in possession of the document of title and other meanses of proof should hand over these documents and proofs to the new creditor.

However, in the event of a part payment, and to counterbalance the priority right set out under Article 1972, sub.2 the original creditor shall supply certified copies of the evidence of the claim. But these documents, not being the original document, do not have its enforceability of course (see Article 1974 of the Civil Code).

One last point is that, the provisions on assignment of rights are applicable only where there are no special provisions dealing with special cases of assignment per article 1975 of the Civil Code. Sub-article one of this article talks about special cases of assignment of rights, such is the case for instance for usufructuary rights (article 2410 of the Civil Code); incorporeal rights (article 2411 of the Civil Code); succession of rights (article 1124 of the Civil Code) and administrative contracts (article 3202 of the Civil Code). Sub-article two of 1975 of the Civil Code reserves the case where the claim is embodied in a registered document or an instrument to order or bearer.

Unit Three: Delegation and Assignment of Obligations

Introduction

In addition to declaration of demand, promise for third party, stipulation for the benefit of third party, assignment of rights and subrogation, contracts produce effect on third parties in case of delegation of obligations and assignment of estate.

Unlike assignment of rights, what is delegated is obligation; and what are assigned are rights with its corresponding duties, but not only rights. Thus, in case of delegation, the debtor may delegate performance of his duties to a third person. On the other hand, rights arising out of a contract with its corresponding duties can be transferred to a third person by way of assignment of obligation, estate,.

In this unit, we will study articles 1976 through 1982 of the Civil Code and article 1983 through 1985 of the Civil Code that deal with delegation and assignment obligations respectively.

Objectives

At the end of this unit, you will be able to:

- Define delegation and assignment of obligations;
- Explain the validity requirements for delegation;
- Distinguish between perfect and imperfect delegation;
- Explain the effects of perfect and imperfect delegation;
- Discuss amalgamation of undertakings and formation of partnership; and
- Explain the effects of amalgamation and formation of partnership.

Section one: Delegation of Obligations

1) Principle of delegation

Delegation is the act by which a person delegates the performance of his obligation to a third person. There are three persons in cases of delegation. These are: the delegator, the person who makes the delegation; the delegatee, the creditor; and the delegate-debtor, the third party who is delegated and becomes a debtor. Article 1976 of the Civil Code states the principle governing delegations in that the debtor of a contractual obligation may substitute himself another debtor to perform the obligation. In case of delegation of obligation, in principle, unlike assignment of rights, the debtor has to ask the creditor to accept a third person as his debtor, who consents to bind himself to him. The change of debtor could be very detrimental to the creditor, this is why the latter's consent is required as a rule. But the Ethiopian law reserves cases where usage or the law itself allows such substitution of debtors without the consent of the creditor.

The interest of such an institution is first and foremost for the debtor to avoid performing the contract either because he does not wish to or simply cannot. The substituted debtor may accept the operation as a favor for the original debtor, or simply be paid to do so when for some reason the main debtor cannot perform. We are here often in the case where the substituted debtor is in fact a sub-contractor of the main debtor.

Most often the delegator is the creditor of the delegate debtor and delegation is a means whereby he frees himself from his obligations towards the delegatee. However, this is not always the case. The debtor assigns his own debtor to the creditor who is to perform his obligation in his place.

Generally, the economic importance of delegation is that it simplifies transactions and obtain, by means of a single act, the same result as if two payments will be made successively, one by the delegate debtor to the delegator the other by the delegator to the delegate.

However, for the delegation to be complete is the acceptance by the delegate-debtor. This is the fundamental requirement because the delegate assumes the position of substituted debtor, and may be compelled to perform the obligation. This is recalled in Article 1978 of the Civil Code. This provision stresses that such consent remains necessary even if the delegate is also the debtor of the debtor. He cannot be forced to perform a given obligation in respect of a creditor who was up to now alien to him, by the mere fact that he owes another obligation to the delegator.

This being said Article 1979 sub.2 of the Civil Code states that the delegate may accept the liability or perform the delegated obligation, even after the death or incapacity of the delegator. Moreover, once the delegate debtor has consented to the delegation or made performance to the creditor, the delegation may not be revoked. (See article 1979 of the Civil Code).

2) Types of delegation and their consequences

Delegation of obligations may be perfect delegation or imperfect delegation. This classification depends on the intention of the parties. The parties may agree that the old debt owed by the delegator towards the creditor will be extinguished and that the original debtor will be relieved from any obligation. For instance, a creditor who has been provided with sufficient securities by the delegate debtor may release the original debtor. This is a case of perfect delegation. In such cases the creditor has no right over the original debtor (debtor) after delegation.

On the contrary, they may have intended that the old debtor (delegator) will not be exonerated but rather the creditor will have a second debtor, delegator, in addition to the first one, delegate debtor. This is a case of imperfect delegation.

Article 1977 of the Civil Code seems to imply this distinction between perfect and imperfect delegation. This provision gives recognition for imperfect. delegation. The presumption of the

law is that of imperfect delegation where the creditor who has consented to delegation still retains his right against the original debtor.

In case of imperfect delegation, the relationship of the original debtor vis-a-vis the creditor is that of a simple guarantor and a creditor. The creditor retains his right against the original debtor but he may not demand satisfaction from the original debtor before demanding performance from the delegate debtor (see article 1977(2) of the Civil Code). The creditor may not proceed against the original debtor prior to demanding performance from the delegate debtor. It is because of this fact that imperfect delegation is said to resemble surety ship.

The situation might be entirely different where delegation is perfect. In such cases, the creditor has consented to discharge the delegator. In this regard, article 1981 talks about perfect delegation in case of insolvency of the delegate debtor. This provision approaches the situation from two aspects: firstly, the creditor is entitled to proceed against the original debtor who has been discharged, if the insolvency of the delegate debtor was judicially established at the time of delegation (Article 1981(2) of the Civil Code). This is because it is believed that there has been either error or fraud and that the liberation of the old debtor would not have been consented to had the insolvency of the new debtor been known by the creditor.

Secondly, if the insolvency of the delegate debtor occurred after the delegation, then the risk of insolvency is borne by the creditor. This is a normal risk assumed by every creditor.

However, article 1981(1) of the Civil Code provides the possibility for the creditor to foresee such risk and avoid it by expressly reserving his recourse against his old debtor in case the new debtor is unable to make payment.

3) Rights of the delegate

Article 1980 of the Civil Code lays down the rights of the delegate. They are in fact relatively restricted. Not only must he perform, but he may not oppose the creditor the rights derived from his own relation with the delegator nor the defenses only by the delegator against the creditor. He

is only entitled to oppose if necessary his own defenses, deriving from his personal relationship with the creditor. This expression should nevertheless be construed as granting the defenses open to all debtors such the cases of absolute nullity.

Regarding defenses available for the delegate debtor, they could arise from one of the three relationships. These are the relationship between the original debtor and the creditor; between the original debtor and the delegate; and between the delegate and the creditor.

When we see the defenses arising from the relationship between the original debtor and the creditor, you may for instance think of a case where the delegator has a claim that can be set-off with that owed by the creditor. The question, can the delegate raise the defense of set-off towards the creditor? He can't set up such defense pursuant to article 1980(1) of the Civil Code.

Defenses may also arise from the personal relationship of the delegate and the delegator. For instance, the delegate may have a claim against the delegator and raise set-off against him. But he may not raise such defense against the creditor as per article 1980(1).

Finally, defenses may also arise from the relationship of the delegate and the creditor. For instance the delegate may have a valid defense of set-off against the creditor. Accordingly the delegate may set-off his debt with the one owed to him by the creditor. Article 1980(2) allows the delegate to raise defenses arising from his personal relationship with the creditor.

4) Effect of delegation on third parties

The final question relates to delegation is: what is the effect of delegation on third parties who have secured the debtor up on their property or are guarantors? Third parties may be involved in the original contract as sureties (mortgagors, surety givers....). They may give a surety in respect of a precise contract, the one linking the original creditor to the original debtor, and cannot be presumed to have extended in to benefit the delegated debtor. Article 1982 of the Civil Code therefore decides that they shall not be liable, unless they consented to the delegation. This is because, they have given a surety in respect of the first contract; the one linking the original

creditor to the original debtor and cannot be presumed to have extended it to benefit the delegated debtor.

The difficulty here is what happens if for some reason the delegation does not work and the creditor returns back to the original debtor for payment. If the sureties have consented to the delegation, they cannot be presumed to have accepted more than the simple substitution of debtor. It follows that if the creditor sues the original debtor after a delegation was consented to, he may not claim the sureties granted by third parties. This would amount to presume they agreed to guarantee two debtors instead of one. The creditor will thus be prudent and see to it that this eventually is provided for in the instrument embodying the consent of the surety givers to the delegation.

Section two: Assignment of Obligation

Article 1983 to 1985 of the Civil Code consider special forms of delegation, which all rest on the same idea of an amalgamation of estates which include both assets and liabilities, thus making the identification of individual debts, and by consequence, their precise delegation, very difficult.

In the case of the assignment of an estate or an undertaking the acquirer (buyer) will be liable to the creditors for all the liabilities from the day he notified them of the assignment or published the transaction in the newspapers (Article 1983 (1) of the Civil Code). Note the imprecision here which newspaper; "Herald or Tribune?"

This calls for serious formalities to guarantee the effectiveness of such publicity measures. The assignee will be guaranteed by the joint liability of the assignor for a two year term from the publicity measures when debts are due, or from the date of maturity of the debtors in all other cases (Article 1983(2) and (3) of the Civil Code).

Article 1984 and 1985 of the Civil Code address respectively the issue of merger (amalgamation) of companies and the transformation of an individual undertaking into a general or limited partnership. Where two or more undertakings having independent legal personality of their own

merge by the mutual transfer of their assets and liabilities, the new undertaking formed will be held liable for the debts of each undertaking per article 1984 of the Civil Code.

The last instance where assignment of obligations may occur is in cases where an individual undertaking or a sole proprietorship having no legal personality of its own is transformed in to a general or limited partnership. After the transformation a new juridical person is born which undertakes the liabilities of the former individual undertaking as per article 1985 of the Civil Code.

Unit Four: Heirs and Creditors of the Parties

Introduction

The last instance in which contract produces effect is up on heirs and creditors of the parties. The heirs of the contracting parties may be accorded the right to acquire rights and duties from a contract made by the deceased by the mere fact that they are heirs. This is clearly governed by articles 1986 and 1987 of the Civil Code.

Similarly, creditors are accorded with certain rights so as to make them able to enforce their rights. These rights include preservatory measures and revocation, among others. Such rights are provided under articles 1988 through 1999 of the Civil Code.

Objectives

At the end of the study of this unit, you will be able to:

- Explain the rights of heirs of the contracting parties;
- Discuss the rights given to creditors of the parties;
- Distinguish simulated contracts from real contract (counter deed);
- Explain the preservatory measure or oblique actions that may be taken by creditors; and

- Discuss the action of revocation or paulian action.

Section One: Heirs of the Parties

Heirs are the other category of third party who may benefit or be obliged by the contract made by the principal contracting parties. They continue the person of the deceased, provided, of course, they have accepted the succession. The continuity of rights or obligations by heirs is provided under article 1986 of the Civil Code.

However, such continuity may be limited in two instances. These are where the nature of the contract doesn't provide room for substitution of the heirs; and where the parties agreed to restrict the continuity of rights and obligation by heirs. Thus, they will assume his contractual obligations, unless otherwise provided, or where the nature of the obligation prevents it (contracts "*intuitu personae*")

As you remember, in the principal contract there may be stipulation for the benefit of third party. It means in the contract, there is a third party beneficiary based on the contract made between the stipulator and promissor as per articles 1957 and the following.

The question is what would happen in cases of death of the third party beneficiary?

In the line of what was said above in respect of stipulations for third party beneficiaries (see Articles 1957 and following) the heirs of such a party are entitled to the performance of the obligation considered, if the deceased had already accepted the stipulation but dies before receiving the performance.

Section two: Creditors of the Parities

1) The principle attachment of the debtor's assets

Creditors are a special category of third parties in respect of the contracts made by their debtor. This derives from the very important principle stated by Article 1988 that the entire assets of the debtor are open to be used as a security for the performance of his obligations. Whoever obligates himself personally is held to fulfill his engagement on all his property movable or immovable, present or future. There is the maxim which says "the property of a debtor is the common pledge of his creditors". This means that a creditor has a general right to attach and have sold any asset belonging to the debtor in order to get paid. This rule is dictated by the necessity of enforcing the observance of civil obligations, without which contracts would remain a dead letter and the economy would have no basis for exchanges. It is thus directly to be linked with the rule which sets out the binding force of contracts in Article 1731 of the Civil Code, to which the reader can refer for further reading.

Of course this general right cannot be absolute, and it is framed within the rules governing attachment, as stated in the civil procedure code, and specially the rule stating that certain assets cannot be attached essentially the basic living commodities and tools of the debtor's trade. Accordingly, there are a number of things that are not seizable which the debtor can keep without paying his debt.

In most cases, the non-attachability is founded on the idea of humanity. The law declares that the objects necessary for the life of the debtor are not subject to attachment; to take them away would expose him to die of hungers; or at least reduces him to begging. Some of these non attachable properties are listed under article 404 of the Civil Procedure Code.

2) Agreements entered into by the debtor

Let us raise one question here. Does the fact that a person is a debtor of another person preclude the former from entering in to agreement regarding his patrimony? The principle of contractual freedom cannot be affected by the fact that the debtor already has an outstanding debt. The mere fact that someone is a debtor of another does not totally preclude him from entering in to agreements regarding his property. Therefore the principle is stated in Article 1989 (1) of the Civil Code that any other agreement entered in to by the debtor can be set up against his other creditors. Article 1989(2) of the Civil Code even goes to maintain his principle in respect of things upon which the creditors have acquired a right. For instance the pledger may sell the pledge despite the fact it is pledged (Article 2834 of the Civil Code). So the rights of the debtor over his own assets are far ranging, as they derive from his right of ownership.

But if the agreements are not legitimate, there still has to be a balance struck to maintain the rights of the creditor, hence the following exceptions to the principle incorporated under article 1989.

The first exception is article 1990 of the Civil Code which deals with preferred creditors. Preferred creditorship may arise from a contract. A debtor may give his movable or immovable property as security to his creditor. Preferred creditorship may also arise from the law. In such cases, there is no contract giving rise to such privilege. It is the laws, for various policy reasons, that makes certain creditors preferred from others. For instance, any claim of payment of worker arising from employment relations by virtue of proclamation No. 377/2003 and payment of tax to the tax authority by virtue of article 8 of pro. No 286/2002 makes workers and tax authority preferred creditors. Thus, in the above cases, the provision of article 1989 will not apply. Article 1990 adds one item to the list, where the debtor is deprived by a court of his right to manage his

properties. This frequently occurs in cases where a trader or a business organization is judicially declared bankrupt (article 1023 of the Comm. Code)

The second important exception is that of simulation. Simulation is defined by Article 1994 of the Civil Code as the case where the debtor enters a simulated contract with a third party, i.e. a contract which was not intended to be carried out. The simulated act is the apparent act, whilst the reality of the situation is in a hidden act, called the counted deed or back letter. For instance, the debtor shows the contract of sale for a car at 10,000 birr, when the counter-deed was in fact for 100,000 birr. Or the debtor states apparently that he loans 25,000 birr, whereas in reality it is a gift. This is the second situation where article 1989 is not applicable which is provided under articles 1994 and 1991 of the Civil Code.

The creditor will have the burden of proving that the apparent act is only a simulation, a sham. This might be difficult for him, but if he manages to prove it and obtains a court decision to this end, then Article 1991 of the Civil Code is applicable. The counter deed, or hidden agreement is not declared invalid, it is in fact binding on the debtor and the other contracting party. But it cannot be opposed to the creditor, who, quite on the contrary, and according to his interests, may avail himself of the apparent act. The debtor will stand to suffer the difference to take up the examples stated above, the creditor will declare that the sale at 10, 000 birr cannot be opposed to him, and thus will prove that the assets of this debtor have in fact been increased by 100, 000 birr. But in the second example, he will claim that the asset given is in fact loaned and be entitled to attach it as it will be deemed still in the ownership of the debtor.

Every simulation presupposes the concurrence of two contradictory agreements, to which it is impossible to give cumulative effective with regard to the same person. It is, therefore, necessary to choose between them, and to hold either to the apparent or the secret act by discarding one of the two. This depends on the relationship of parties *inter se* and that of the parties with third persons.

In case of relations of the parties *inter se*, considering the simulated contract, the intention of the parties is to give it no effect. This contract lacks the basic element of contract the *intentio*

obligandi. The parties did not intend to be bound by the apparent act or the simulated contract. As per article 1991(2) of the Civil Code, it is the counter-deed or secret contract, which alone is given effect.

On the other hand, third parties confronted by an act affected with simulation can have opposing interests. Some know of the existence of the secret act and have an interest in proving it because the apparent situation created by the simulated contract is prejudicial to them. Others have dealt with the parties on the basis of the apparent act, and accordingly they have an interest to set aside the counter deed agreement in order to maintain this apparent situation which is profitable to them. Thus, there are third parties against whom the secret agreement will not be effective and others against whom the apparent act is not admissible.

For those third parties against whom a secret agreement is not admissible, they should be able to rely on apparent acts as these are the only agreement known to them. That is why article 1991(2) clearly states that counter deeds shall bind contracting parties only. Thus, in all cases where the production of counter deed would entail unfavorable result as to those good faith third persons, the apparent act alone is observed.

On the other hand, for those third persons against whom the apparent act is not effective, their right is put under article 1994. In this case, whom the third parties confronted with the apparent act which the parties have made, they have the right to show that the act is only a sham and to disclose the real agreement which the parties have kept secret. If he proves the existence of simulation, the simulated contract will have no effect against such third persons and only the secret act will be taken in to consideration, giving effect to it.

3) Rights of the creditors of the parties

This being said, because of this general right, the creditor is interested in the use his debtor does of his contractual freedom. The risk is that either because of negligence or incapacity, the debtor loses a right which would increase his solvency, or that he diminishes his estate by concluding

other contracts, eventually with the intention of defrauding his creditor, or finally that he becomes bankrupt.

A) Preservation measures

As the possessor of a potential right the creditor "who yet has to be paid has an interest in seeing that the debtor does not lose an endangered right. Article 1992 of the Civil Code entitles him to act in their common interest by petitioning a preservation measure to secure his debtor's right. This provision entitles the creditor to take any preservatory measures aimed at preserving the patrimony of the debtor from being extinguished. But he could act of his own accord if this is the only way of preventing an imminent loss. The scope is endless. The creditor only has to show he has an outstanding right vis-a vis the debtor, to be allowed by the judge to take any preservation measure, at the debtor's final cost of course, or to obtain the refund of his expenses if he acted of his own initiative.

B) Exercise of debtor's right or oblique action

One clear instance where the creditor may be entitled to take preservatory measures is through an action called an oblique action or otherwise called exercise of the debtor's rights. One stage further is where the creditor seeks to avoid the impoverishment of his debtor, there again because such impoverishment diminishes the scope of the security offered to the creditor. The origin of the impoverishment is indifferent, provided the risk is there; it may be that the debtor is unaware of the risk, incompetent, absent or simply negligent.

The oblique action is the necessary consequence of the principle incorporated under Article 1988(1) of the Civil Code, "the debtor's property is the common pledge of his creditors" This general right of the creditor would be exposed to too many causes of loss or diminutions if the debtor could without any consequence let his patrimony perish. By lack of care or by negligence he would bring about his insolvency, or at least would accept a creeping impoverishment, which at the end would affect his creditors. The law thus affords creditors a means of preserving the debtor's patrimony, a kind of supervision. The action is based upon the psychological

observation that a debtor on the verge of insolvency often becomes discouraged and fails to manage his patrimony with the customary prudence. The oblique action's chief purpose is to prevent the debtor from negligently allowing his valuable rights to extinguish. In cases of oblique actions, creditors do not act in their own name, directly, against the debtors of their debtor.

The conditions of the action are nevertheless relatively strict to avoid any creditor intervening into his debtor's personal affairs on the flimsiest pretext. The creditor must first refer to the court and may not act of his own accord, contrary to simple preservation measures. The second condition is that the risk of impoverishment of the debtor is real and here again the burden of proof is on the creditor. Furthermore, he must prove that the impoverishment is such that it jeopardizes the payment of the debt: a proportion will therefore have to be demonstrated between the alleged impoverishment and the outstanding debt. These requirements show that this provision has little chance of being implemented unless the court devises speedy systems to answer such urgent requests.

For a creditor to take this action, he must fulfill certain conditions; which are set out by the law. These conditions are: 1) interest of the creditor: the oblique action is accorded to creditors only when the debtor is insolvent and neglects to act himself. This condition which is laid down under Article 1993(1) of the Civil Code provides that the oblique action is allowed to prevent impoverishment of the debtor which otherwise jeopardizes the creditor's right to payment. 2) Inaction of the debtor- it is also necessary that the debtor neglect to act himself. 3) The creditor must secure court authorization to take the oblique action. Thus, the court shall not grant application (Article 1993(3) of the Civil Code) where the rights are not endangered by the debtor's inaction, nor if insolvency is not in view ("is not to be feared" in the French text). The condition seriously restricts the scope of Article 1993, because by the time insolvency is proved to be near, the chances are the debtor will be bankrupt before the court decides to grant the creditor the permission he seeks. Speedy judicial decisions are here again essential.

Article 1993 of the Civil Code set out negative conditions. The court shall refuse the creditor's applications where the right he intends to exercise is too personal to the debtor, by law or by

nature. To put it differently, all actions are not equally susceptible of being exercised by the creditor. Thus, there are exceptions provided by law. Actions denied to creditors include extra-patrimonial actions and certain actions included in the patrimony of the debtor. As a consequence, all extra-patrimonial actions, that is, those that safeguard personal status, are not subject to seizure by creditors. Such actions are excluded by their very nature as the actions included in the oblique action are intended to apply only to actions having pecuniary object. Among the extra-patrimonial actions you may consider, for instance, the actions in reclamation or in contestation of filiations, demand for divorce and separation, marry a rich woman, accepting of donation with charges etc. This situation is clearly provided under Article 1993(2) of the Civil Code.

The second exception may relate to certain patrimonial actions. There are certain actions which, although patrimonial in nature because of their pecuniary object, are nevertheless beyond the reach of creditors and remain reserved to the debtor. For instance, you may consider Art 404 of the Civil Procedure Code, which was mentioned in relation to Article 1988 of the Civil Code. Those mentioned under Art. 404 of the Code of Procedure are not subject to attachment. Although such property is included in the patrimony of the debtor, it is not subject to the pledge of creditors. The latter, therefore, have no interest in exercising any action over such rights.

Should the debtor be made a party to the proceeding?

It is possible for the creditor to exercise the action of his debtor alone, and without the latter figuring in the case. But it seems more advisable to make the debtor a party.

The issue that may also be raised in connection with this is whether or not the judgment rendered by the court will have the effect of *res judicata*, regarding the debtor, the real owner of the right. There is no doubt that it will have a *res judicata* effect where the debtor has been made a party. When such precautions have not been taken i.e. where the debtor has not been made a party to the proceeding, it would be difficult to know what answer to give. Some jurists think that the judgment is never *res judicata* as regards the debtor because his creditor is not his representative and he is only taking preservatory measure, not judgement. Others argue that the judgment can always be used for or against the debtor. Still others make a distinction according to whether the judgment was or was not favorable to the creditor. It seems that the first position seems to be the sound.

The question is, can the creditor sue for the whole claim of his debtor even where his claim is smaller? Certain jurists believed that the creditor is not pursuing his own action. The amount of his credit is a matter of indifference. It is the right of the debtor, which he is exercising, right which is indivisible in the relations of the third party with the debtor. The creditor has, therefore, the right to demand a judgment for the total amount, regardless of the amount of his own credit.

Who benefits from the effects of the action? When the creditor wins his suit against the third party, who profits from the judgment obtained? You should note that the object of the judgment is property which forms part of the patrimony of the debtor and does not at all belong to the creditor pursuing the action. Whatever the subject matter of the suit which has been recovered, they form part of the estate of the debtor.

Thus, it necessarily follows that the value obtained by a diligent creditor is not attributed to him to the exclusion of others; it falls into the common pledge of all his creditors. The pursuing creditor is, therefore, required to share the profits with the others. He is subject to their rights to share according to their share and even is subordinated to them if they are privileged, unless he himself has a right of preference.

As to the types of creditors that are entitled to take the oblique action, the oblique action is available to any creditor, without distinction between secured or unsecured, privileged or unprivileged. The very fact that a person is a creditor, entitles him to such action, subject of course to the conditions laid down by the law.

Finally, you must note that the Civil Code provisions regarding oblique actions will not be operative in cases where there are special provisions in relation to specific matters (Article 2000 of the Civil Code)

C) The Paulian or Revocatory Action

There is something worse for creditors than the negligence of the debtor and that is his bad faith. A debtor burdened with debts, who is threatened with suits, is naturally tempted to conceal his assets from his creditors. For that purpose, he can have an understanding with a third party who will be reputed as having acquired his property by purchase or donation, and who will secretly recognize that he is not the real owner; he can liquidate his visible property, which could easily be seized and replace it by cash or other securities easy to conceal, he can even from ill intent and without profit to himself agree to transactions which enrich his relatives and friends and impoverishes him.

In this regard, where it is possible to discover the act which is fraudulent Article 1995 of the Civil Code opens the right to what is called "*actio pauliana*" by the name of the Roman jurist Paul who created it or "revocatory action." The Paulian or revocatory action is an action given to creditors to obtain the revocation of acts done by their debtor in fraud of their rights. The creditor will have to prove the fraud to his rights and thus obtain the annulment of the disputed agreement.

An act is deemed to a fraud, in the meaning of Article 1996 of the Civil Code, when it was intentionally made by the debtor so as to become insolvent, or with the intention of becoming insolvent. This often happens where the debtor tries to "save" certain assets with the complicity of a third party, who pretends in fact to buy them when his intention is only to keep the asset out of the creditor's reach to return it to the debtor or to let the debtor continue enjoying it. For

instance, the debtor sells his car to a friend for a very low price, and the friend, legally the owner, then lets him use it "free of charge" pretending it is a friendly loan.

Note here that the action is brought by the defrauded creditor in his own name and not as a representative of his debtor as in Article 1993. If he commits a fraud, if he tries to make his assets disappear in order to avoid paying his debts, his conduct gives birth to a new action in favor of his creditors, distinct from the first, for the fraud is a civil act and as such produces an obligation to repair the damage caused. The creditor thus sinned with a special action ceases to suffer the effect of the fraudulent act. This is because he is the direct victim of the fraud. Its object is to place the creditors in the same situation in which they were before the fraudulent act. Accordingly, the Paulian action may be used to reconstitute an impoverished patrimony but not to enrich it.

What is the creditor required proving to the satisfaction of the court to succeed in his revocatory action, against the debtor's act? The creditor is required to show two conditions which are to exist cumulatively. These are: 1) the act must have caused a prejudice to the creditor. A prejudice to creditors is said to have been caused where the act augments a pre-existing insolvency and the act be related to property that is subject to attachment by the creditors and that it forms part of their common pledge. 2) The prejudice must have been known by the debtor because fraud strictly speaking consists in the intention to harm. Similarly Article 1996(1) provides that an act is deemed to have been done in fraud of the rights of the creditors where it was done by the debtor so as to become insolvent or with the knowledge that he was thereby increasing his insolvency.

Apart from the above requirements, the creditor who attacks an act of his debtor should prove that his credit arose prior to the act attacked. If the credit arose after the fraudulent act, the creditor cannot complain of such act. The creditor could not have counted on property which has already left the patrimony of the debtor.

Regarding the effects of the revocatory action, the prime object of the revocatory action is to make reparation to the creditors for the damage they have suffered by the fraud committed against them by the debtor. When the conditions are satisfied, the fraudulent act is only annulled

in the interest of the defrauded creditor and remains effective with all its consequences with regard to all other person.

Accordingly, you must note that the thing restored does not re-enter the patrimony of the debtor, nor does it become the common pledge of all his creditors, it can only be distributed to the creditor(s) who pursued the action. This seems the underlying difference between revocatory and oblique actions. In the case of oblique action, the creditor exercises a right belonging to the debtor with the effect of return of the property claimed into the common pledge of the creditors. On the other hand, revocatory action is pursued by the creditor as a personal action belonging to him and the result, therefore, can profit only those who took the action.

The revocation is to be pronounced only to the extent of the damage suffered by the creditor who took the action. As a consequence, if the damage is less than the value of the thing reclaimed, the third party has a right to keep it on satisfying the claim of the creditor. The fraudulent act, according to Article 1991, does not lose its effect in the relations of the third party with the debtor and regarding other creditors of the debtor.

On top of this, the action has to be brought within two years form the act challenged (Article 1998 of the Civil Code). Its effect is that the act declared fraudulent cannot be opposed to the creditor. Article 1998 set a two years period within which the creditor is to begin a revocatory action. Such period is to be calculated from the date of the formation of the fraudulent act which is challenged.

However, two limitations are set out concerning alleged fraudulent acts. The first one is payment of mature debts, which are in fact rarely fraudulent, may not be challenged by the creditor (Article 1996(2)). Second, third parties may resists the action of the creditor on the basis of fraud, if they prove the double condition of their own good faith and the fact that the act itself of the act through which the third party acquired his rights, were done for a consideration (Article 1997).

When the third party has transacted with the debtor under an onerous title, i.e. by way of purchase or an exchange etc, the creditor cannot succeed against him unless he establishes the

bad faith of such third party. If, on the other hand, the third party transacted with the debtor on a gratuitous basis, the creditor obtains the revocation of the act without the necessity of proving that the third person was conscious of the fraud. This rule is incorporated under Article 1997.

Article 2000 refers the creditor to the rules governing bankruptcies, when the debtor is declared bankrupt, and where the creditor wishes to exercise the debtor's rights or the "*actio pauliana*". This provision limits the scope of application of articles 1995 through 1999 by providing that these provisions are not to be applied in cases of bankruptcy. This is because there are special provisions in relation to actions that may be taken against fraudulent acts of a bankrupt debtor.

MODULE FIVE

PROOF IN RELATION TO CONTRACTS

Introduction

A right is nothing without proof of the contract in which it has its origin. The moment the act or fact is contested, it must be proved in order to convince the judge of the existence of the right, without which it cannot be respected. It is thus the proof alone which gives life to the right and makes it of value.

In Ethiopia, unlike the other branches of law, there is no comprehensive body of evidence rules but scattered rules of evidence. Among these scattered rules of evidence are those that deal with proofs in relation to contracts. The Civil Code provisions dealing with this are Articles 2001 through 2026 of the Civil Code. This unit attempts to discuss these provisions in an overview as you will see in detail when you will take the course Law of Evidence.

Objectives

After completing this unit, the student will be able to:

- Define evidence and explain burden of proof;
- Discuss admissibility and relevancy of proof;
- Explain the probatory value of written evidence;
- Explain presumption of payment; and
- Distinguish rebuttable presumption from irrebuttable presumption.

1. Definition of evidence

Though there is no comprehensive definition given by scholars. Black's Law Dictionary defines evidence as follows: "all the means by which any alleged matter of fact, the truth of which is submitted to investigation, is established or disproved."

In considering evidence, relevance is among the most important concepts for evidence of any fact, other than a fact in issue, must be evidence of a relevant fact before it will be admitted by the court for consideration in reaching its decision.

Note that it is only after we are sure a fact is in issue or relevant that it is necessary to determine the method of securing its consideration in court and which party deals the burden of securing its consideration. Particular evidence of relevant fact may not be admitted in court but unless evidence is relevant it will never be proper for the court to consider it in reaching its decision.

Apart from the requirement of relevance there is also the issue of admissibility of the means of evidence. Evidence is said to be admissible where it is not precluded by law from being produced as evidence in a court or law. It is only by legislation that a certain means of evidence could be made inadmissible.

The other important issue regarding evidence is what is called burden of proof.

2. Burden of proof

It is of utmost practical importance to determine which party must secure consideration of what facts or pay the penalty for failure to do so. Article 2001 states the very general rule that the person who claims a consequence deriving from contract shall bear the burden of proof. Thus the person who demands performance of an obligation, i.e.; the creditor, has to prove its existence. Conversely, the person who resists the performance of an obligation, i.e. the debtor, has to prove its nullity, variation or extinction. The rule is logical because it rests on the assumption that the first stage is incumbent on the creditor, and the second, once the obligation's existence has been proved, is incumbent on the debtor. In both cases, the onus of proof is of a positive element that is either the existence of the obligation, or the existence of the event which affected it.

The term burden of proof encompasses two separate burdens: the burden of production and the burden of persuasion. Burden of production is the burden of going forward with the evidence, or proceeding with the evidence on a particular issue at the start of the case. It is ordinarily with the same party who ultimately has the burden of persuasion by it may shift back and forth as the case goes on. That party having the burden of production bears the risk of non-production that is a preemptory ruling may be made against him in the case of he fails to produce evidence on issue. Burden of persuasion on the other hand is the burden of establishing the doubtful facts in the court's mind by preponderance of the evidence or beyond a reasonable doubt as the case may be. Always if the court is left in equilibrium as to the existence of the fact, the party with this burden fails to establish it.

In considering burden of proof, you must note that the admission made by the other party dispenses the party with the burden of proof from discharging his obligation. Apart from this, may have to take note of the fact that it is not all facts that need to be proved. There are certain facts that need not be proved. It seems for instance, a senseless waste of time to require the proof of facts which every one of ordinary intelligence in the community where the court sits already knows.

3. Admissibility of proof

Once it is ascertained on whose shoulder the burden of proof lies the next question would be what means of evidence should be used. What do you think are the various means of evidence that may be used to prove the existence or the non-existence of a fact?

Article 2002 of the Civil Code lists the means of evidence. These means are varied, from written documents, to testimonies, presumptions, admissions or oaths. There is no legal priority stated, and in the event of a contradiction between elements of proof; the judge shall exercise due caution and resort to the rules of this chapter and those set out in the civil procedure code. But it derives clearly from article 2002 that contracts do not as a rule need to be writing to be valid.

An exception to article 2002 is stated under article 2003 of the Civil Code in respect of the contracts for which a written form is imposed by law (example See art 2877 of the Civil Code for the sale of immovable, or the conclusion of administrative contracts). Where the law requires a written form for the validity of the contract, such contracts may not be proved by any other mode of evidence except by producing the written contract itself. The consequence is that witnesses or presumptions cannot be resorted to against such a contract. The exception is where proof is brought that the written document was destroyed, stolen or lost. Thus, where the written instrument is either destroyed, stolen or lost, in such cases the party who alleges that the written contract is destroyed, stolen or lost must first prove such fact before the court permits proof by mode of evidence other than in writing. After such fact is proved the party may then prove the contract by witnesses, presumptions, admission or oath by the other party.

Dear student, are the provisions of the code dealing with admissibility of proof permissive that parties can set them aside by their agreement? Article 2004 provides a solution to this question. This provision set out the rule that the parties cannot amend in their contract the legal provisions governing the proof in relation to contracts. In other words, rules governing such proof are mandatory, or public order rules.

Ethiopian law endorses the civil law rule that although every mode of proof is admissible, there is however a hierarchy in the probatory value of the various types of proof. Written proof occupies a predominant position, and amongst the various sorts of written evidence, authenticated deeds occupy the highest. To be sure, they are almost unassailable.

4. Written evidence

The parties may reduce their agreement in written form either because the law requires so they wish to. In this regard, the written contract may be private act or an authentic deed. The latter has grater probative value than the private act. The provisions of Articles 2005 through 2019 of the Civil Code deal with written evidence.

A) Probative value of written instruments Article 2005 of the Civil Code talks about probative value of written instruments. Save where the parties disclaim their signature or handwriting under Article 2007, a written instrument is conclusive evidence for the persons concerned who signed it, of its contents and date. To the signatories themselves are assimilated their heirs, by virtue of the principle of continuation of the decedent's will (article 1986) and the parties validly represented to the contract. The scope of this evidence is that no contrary proof (article 2006 *acontrario*) may be brought by the parties or assimilated persons by resorting to witnesses or presumptions. This clearly shows the superiority of written evidence in the Ethiopian law of evidence.

There are only two means of escaping this probatory value of a written document for the party who challenges it. He may either tender an oath to the other contracting party (article 2006(1) of the Civil Code), with the result that if such an oath is made, the contract is confirmed. Or he may formally disclaim his handwriting; in practice nowadays when contracts are often typed by disclaim his signature (Article 2007(1) of the Civil Code). Heirs of the decedent may raise the same defense, but without having to make it a formal disclaimer - a simple declaration will be sufficient. Such defense of disallowance of handwriting or signature opens the procedure for verification by the court (article 2008 of the Civil Code). In practice the judge will check the similarity of handwritings and signatures, either of his own accord or by resorting to a graphologist, by comparing the disputed document with samples of the party's hand writing or signature, preferably of course on documents predating the dispute. The court will then rule on

the alleged forgery and declares the document either void or valid. If a forgery appears, a penal prosecution for such offence may then be initiated.

Parties outside the contract, for instance a third party creditor, are entitled to prove by all means the falsity of the instrument, and especially the falsity of its date (article 2009 of the Civil Code) provided they can adduce such proof,

B) Verification of written documents

The signature or handwriting that is either disclaimed or not recognized will be verified by experts. This is done by the concerned department of the police. The signature or handwriting disclaimed or not recognized will be checked whether they match with the sample signatures or handwritings of the alleged author.

But there seems a difference between the *two* versions of Article 2008 of the Civil Code. The Amharic version seems to make the verification discretionary while the English one seems to imply that verification is mandatory. Is the result of the verification made by the concerned authority conclusive evidence? In this regard, please read Ato Tilahun's material on page 388.

The question is that can third parties challenge veracity of statements contained in a written instrument?

Article 2009 seems to deal with this issue from the point of view of third parties. Similar to Article 2007, Article 2009 of the Civil Code distinguishes written instruments that are authentic from the non-authentic ones. Accordingly, third parties may, in principle, prove by using any mode of evidence that statements contained in the private acts are false. If, however, the instrument is either drawn up or received by a public officer then their parties do not have such right.

The second sub-article further elaborates the preceding sub article by stating that third parties may prove by any means of proof listed under Article 2002 to prove by any means of proof listed under Article 2002 to prove falsity of the date contained in the written instrument. This, however, is not possible where the date is an authenticated one.

Despite the superiority of written instruments in terms of probatory value, the previous articles have shown that a number of possibilities are open, especially to third parties, to challenge their validity. This is the reason why the law has provided for the category of authenticated deeds, which are written documents drawn up or received by a duly qualified officer, who acts as an official witness. This is the fundamental role in other civil law countries of the notaries.

The probatory value of an authenticated deed is- as absolute as possible, and especially in respect of third parties. The principle is that their contents cannot be challenged, except by permission of the court (article 2010(2) of the Civil Code), which will of course require strong evidence of the alleged falsity, because it would amount to bringing evidence of a forgery by a public officer, which in itself is a serious penal offence. The probatory value is such that even copies or photocopies of the original instrument, as well as of parts of such instrument, will have the same probatory value as the instrument itself when the public officer has certified them (article 2011 of the Civil Code).

But article 2010(1) of the Civil Code states precisely the scope of this probative value. It does not cover statements made by the parties, even if they are entered into the instrument, which could not be verified personally by the public officer. Such statements may be freely challenged by third parties, and, also the provision does not say so, challenged by the parties in accordance with the rules set out under 2006 to 2008 of the Civil Code.

Regarding "authentic deed", similar to French law, our law makes a distinction between private acts and authentic deed. Article 2010 which defines an authentic deed states that it is an instrument that is drawn up or received by a duly qualified public officer. Note that the public officer must be a duly qualified one. Thus, statements which the public officer personally verified may not be challenged except with the permission of the court.

As stated above certified copies of authentic deeds have the same probative value as the deed itself (article 2011). Where copies are made from the original authentic deeds, such copies shall acquire the same probative value as the original deed where such copies are certified to be true copies by a public officer. Copies made from public registers of public or private documents shall have the same probative value as the originals, and thus follow the same rules for challenge (article 2012 of the Civil Code). Any copies of instruments that are kept in public register may be treated as having the same probative value as the originals where such copies are made in accordance with regulations. This rule is necessary because parties cannot request the presentation of the original document to the judges by the other party (article 2013 of the Civil Code). But they may however obtain at their own cost a photocopy of the original (article 2013(1)), and require the comparison, or collation, of such copy with the original (2013(1)). These rules enable to prove the contract with an indisputable copy.

The copies drawn up in the conditions stated above retain their authenticity, even if the original document has disappeared (be it destroyed, lost or stolen), provided the copy bears no suspicious alteration or erasures (article 2014 of the Civil Code), Parties will therefore be well inspired to have such certified copies drawn up systematically for important documents.

Accordingly, when the fact announced in the act is affirmed by the public officer who drew up or received it as having been accomplished by him, or as having taken place in his presence, such declaration may not be freely challenged by third parties. Where the declarations are made by the parties and which could not be verified personally by the public officer, third parties may freely challenge such statements.

The certainty of a date for a contract is in many cases a vital information. Article 2015 of the Civil Code gives the three ways of obtaining an authenticated date: a) it is the date of an instrument drawn up or received by a public officer, b) where the instrument is referred to in an instrument which was drawn up or received by a public officer, but at the date of this second instrument, c) where one of the signatories has died or become incapable, at the date of such event, provided of course it is itself conclusively demonstrated, which in essence calls for an efficient civil status system.

In this regard it is of no consequence in what capacity the deceased or the incapable signs the act, he can be a simple witness. In all these cases Article 2009 of the Civil Code prohibits third parties from freely challenging such dates. Article 2016 through 2018 of the Civil Code deals with trade books and domestic records or papers. Article 2016 of the Civil Code addresses the issue of trade books. The books are those listed under Article 66, 67 and 70 of the Commercial Code. Their entries cannot be advanced in favor of the trader who made them, but they can be used by others against the trader, provided the applicant does not discard entries contrary to his claim.

Article 2017 and 2018 of the Civil Code deal with domestic records and papers. Domestic papers and records are of no value in favor of the person who made them, says article 2017. The *accontrario* analysis is that they may be used against him. This is what is addressed under the following article, provided such entries formally mention a payment, or that they include an express statement that the entry was made to replace the lack of proof in favor of the creditor.

Article 2019 of the Civil Code states several rules in respect of the proof of the cause of contracts. A promise to pay or an acknowledgement of debt is self-sufficient when it is made by the debtor, and the creditor does not have to prove the cause of the obligation. Agreements are presumed valid until the person claiming the contrary brings the necessary proof. In the case when a party has proved that an act had a simulated cause, it is for the defendant to bear the burden of proving that the act has another, second lawful cause.

Regarding the requirements of cause professor Rene David stated the following on page 21-28 of his commentary.

"The subjects of the "object" and "cause" of contracts have given rise to continuing controversies among western legal scholars, primarily because different writers use the terms to mean different thing. For this reason, it is necessary at the outset to define what the code means by the object and cause of a contract. The object of a contract is the obligations undertaken by the parties, not the things to which the obligations relate. The object of a contract of sale, for example, is the seller's obligation to pay the

price; the thing sold, movable immovable, is not the contract. The cause of the contract, on the other hand, is the relationship of the parties' obligations to each other. Article 1716 (2) 1717 of the code show why this notion is useful and how it is distinguished from the object of the contract and the motive of the contracting parties,"

5. Presumption of payment

A) In general

Presumption is the inference that a fact exists, based on the proved existence of other facts. Presumptions may be classified into presumptions of fact and presumptions of law. Furthermore, presumption may be classified as rebuttable and irrebutable. The former type of presumptions may be rebutted by proving to the contrary. On the other hand, for the latter, contrary proof cannot be allowed.

To make proof of contracts easier, the civil code has enacted a certain number of presumptions of payment that is it states that given certain elements, one can infer that the contract has been validly performed. Four cases of presumptions are provided for and they must be considered as limitative. Once the presumption is proved, it can only be rebutted in precise cases. The presumptions laid down in Articles 2020 through 2022 of the Civil Code are presumptions based on the existence of certain facts while those listed under Article 2023 through 2024 of the Civil Code are presumptions based on the passage of time. On the other hand articles 2025 and 2026 of the Civil Code deal with contrary evidence.

B) Different categories of presumption of payment

i) Presumptions based on handing over of document of title

The first presumption of payment is where the debtor has handed over the document of title. This presumes of course that this is the original document and not a copy, and that it was obtained lawfully (article 2020 of the Civil Code). Ordinarily, the creditor carefully guards the title, which establishes the credit. When he gives it to the debtor, it is because he has no further need for it either because it is paid or because he had renounced the right to demand further payment. The

law presumes, when a document has been handed over to the debtor, then the credit is extinguished. In this regard, you may recall Article 1761 of the Civil Code.

ii) Presumptions based on creditor's entries

Article 2021 of the Civil Code deals with presumption of payment based on entries made by the creditor on the document of title. Entries made by the creditor on the original document's margin, end or back, which tend to state the release of the debtor, are conclusive evidence of the presumption of payment, even if they are not dated or signed, and provided the creditor kept such documents at all times in his possession.

iii) Presumptions based on prior or concomitant debts

Where the creditor gives a receipt for a given amount, without any contrary reservation, he is deemed to have acknowledged the period of interests or periodical dues for the periods prior to the date (article 2022 of the Civil Code). Regarding sub article (1), you may take as example rents, annuities, loan, etc. In such cases it is presumed that the creditor gives a receipt for payments of each period. Thus if the creditor issues a receipt for the last month without any indication in the text as to unpaid debts, the law presumes that all the debts preceding such period are already paid. Regarding sub article (2), where the creditor issues a receipt for the principal the law presumes that the debtor has already paid interests accruing on the principal.

iv) Presumptions based on passing of time

Recalling the previous lectures on limitation, one will remember that in the specific cases listed under article 2023 and 2024 of the Civil Code, the passing of respectively, six months and two years, amounts to a presumption of payment. These debts are all generally short-term ones and all concern professionals who are deemed capable of tendering to their interests, and specially to initiate proceedings speedily. In this regard, the law presumes that there has been payment where a certain fixed period of time has lapsed after such debt is due.

C) The possibility of setting aside of presumptions Articles 2025 and 2026 of the Civil Code deal with inapplicability and rebuttal of the presumptions of payment respectively. The principle of presumption of payment is that no contrary proof, of any kind, may be brought to challenge the

presumptions set out under articles 2020 to 2024 of the Civil Code. The phrase "the presumptions laid down in the preceding articles" in article 2025 refers to the presumptions of payment laid down under articles 2020 through 2024.

Sub article (1) of article 2025 of the Civil Code provides that the presumptions may not apply where the debtor has acknowledged the debt in writing. In this regard no special document is required. Thus the acknowledgment could even be made on any writing e.g. a letter.

Dear student, when should the debtor acknowledge the debt?

In this respect, the law is silent on whether or not such acknowledgment is to be made prior to the expiry of the period fixed under articles 2023 and 2024. Some argued that it seems that such acknowledgement should be made prior to the expiry of the period fixed by law. To argue otherwise would be to argue contrary to what is laid down under Article 2026 of the Civil Code. Sub-article 2 of article 2025 of the Civil Code similarly states that the legal presumptions are not applicable where prior to the expiry of the period, the creditor has instituted a court action for the payment of the debt. See also Article 1851 of the Civil Code.

Under Article 2026 of the Civil Code oath is allowed to rebut the presumptions laid down under articles 2020 through 2024 of the Civil Code. Other means of evidence is, however, inadmissible.

In general, restricted possibilities of rebutting presumptions of payment are provided under articles 2025 and 2026 of the Civil Code. There are only three means of setting aside of the effect of such presumptions. These are: to prove that the debtor has acknowledged the debt in writing, to initiate proceedings before the expiry of the time limits set out under articles 2023 and 2024 of the Civil Code, or to render an oath to the other party or his heirs.

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